

REPUBLIC OF KENYA



Enhancing Accountability

REPORT

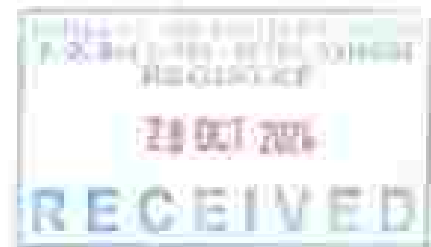
OF

THE AUDITOR-GENERAL

ON

**THE KENYA POWER AND LIGHTING
COMPANY PLC**

**FOR THE YEAR ENDED
30 JUNE, 2024**



Kenya Power

**ANNUAL REPORT
AND
FINANCIAL STATEMENTS**

FOR THE YEAR ENDED 30 JUNE 2024

Prepared in accordance with the International Financial Reporting Standards (IFRS)

CORPORATE INFORMATION	4
DIRECTORS	5
BOARD PROFILE	6
EXECUTIVE MANAGEMENT	13
STATEMENT BY THE CHAIRMAN	16
MESSAGE FROM THE MANAGING DIRECTOR & CEO	18
STATEMENT OF PERFORMANCE AGAINST PRE-DETERMINED OBJECTIVES	28
SUSTAINABILITY REPORT	32
CORPORATE GOVERNANCE	53
DIRECTORS' REPORT	68
DIRECTORS' REMUNERATION REPORT	70
STATEMENT OF DIRECTORS' RESPONSIBILITIES	73
REPORT OF THE AUDITOR-GENERAL ON THE KENYA POWER AND LIGHTING COMPANY PLC FOR THE YEAR ENDED 30 JUNE 202	74
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE 2024	75
STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2024	76
STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30 JUNE 2024	77
STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30 JUNE 2024	78
NOTES TO THE FINANCIAL STATEMENTS	79
ANNEXURE I : IMPLEMENTATION STATUS OF AUDITOR-GENERAL PRIOR YEAR RECOMMENDATIONS	158
ANNEXURE II : TOP 20 SHAREHOLDERS AS AT 30TH JUNE 2024	163

ABBREVIATIONS AND ACRONYMS

AFD	French Development Agency
AfDB	African Development Bank
Ag	Acting
AGPO	Access to Government Procurement Opportunities
AMI	Advanced Metering Infrastructure
CAIDI	Customer Average Interruption Duration Index
COVID-19	Corona Virus Disease-2019
EIB	European Investment Bank
ENIS	E-Mobility Network Infrastructure System
EPCs	Electric Pressure Cookers
ESG	Environment, Social and Governance
ESIA	Environmental Social Impact Assessments
EU	European Union
EVs	Electric Vehicles
FTTX	Fiber-To-The-Premise
GHG	Greenhouse Gases
GoK	Government of Kenya
GWh	Gigawatt hours
HIV/AIDS	Human Immunodeficiency Virus/Acquired Immune Deficiency Syndrome
KEMF	Kenya Electricity Modernisation Project
KSh	Kenya Shillings
KOSAP	Kenya Off-grid Solar Access Project
KPLC	Kenya Power The Kenya Power and Lighting Company Plc
kV	Kilovolt
LMCP	Last Mile Connectivity Project
MD	Managing Director
MW	Megawatts
NDC	Nationally Determined Contributions towards climate change mitigation
NEMA	National Environment Management Authority
OGW	Order of the Grand Warrior of Kenya
OSH	Occupational Safety and Health
OSHA	Occupational Safety and Health Act
PPADA	Public Procurement and Asset Disposal Act
PPADR	Public Procurement and Asset Disposal Regulations
SAIFI	System Average Interruption Frequency Index
SCAC	State Corporations Advisory Committee
SCADA	System Control and Data Acquisition
SDGs	United Nation's Sustainable Development Goals
SMEs	Small and Microenterprises

SPMA	Supplies Practitioners Management Act
STEM	Science, Technology and Mathematics
TVET	Technical, Vocational and Education Training
UNEP	United Nations Environment Programme
UNFCCC	United Nations Framework Convention on Climate Change
USD	United States Dollar World Bank
IDA	International Development Association - World Bank

CORPORATE INFORMATION

KEY ENTITY INFORMATION

Background information

The Kenya Power and Lighting Company PLC, a public company domiciled in the Republic of Kenya, was incorporated on 6 January 1922, as East Africa Power & Lighting Limited. The Company changed its name on 11 October 1983.

The Government has a controlling stake at 50.1% of shareholding, with private investors at 49.9%. Kenya Power is listed on the Nairobi Securities Exchange.

Principal Activities

The core business of the Company continues to be the transmission, distribution and retail of electricity. Kenya Power's key mandate is to plan for sufficient electricity generation and transmission capacity to meet demand, build and maintain the power distribution and transmission network and retail electricity to its customers.

Mission

Powering people for better lives by innovatively securing business sustainability.

By striving to provide world-class products and services that delight our customers and transform lives as we ensure viability of our business.

Vision

Energy solutions provider of choice

By becoming the preferred energy solution for businesses and individuals, we empower our customers to achieve more and reach their full potential.

Core Values

We put our customers first as they matter most.

We work together as one team to achieve our goals.

We are passionate about powering the nation.

We believe in integrity and delivering on our promises.

We strive for excellence in all that we do.

We are accountable to our customers and stakeholders.

DIRECTORS

Joy Brenda Maundu
 Dr. Eng. Joseph Sior
 Prof. Ngũgũ Nding'u, CBS
 Mr. Alex Wachira, BSCN
 Logan Christ Hambrick
 Eng. James Kariya Raga
 Ezekiel Saina HSC
 CPA Dr. Caleb B. Manyaga
 Ruth Muriu
 Mr. Humphrey Muha
 Eng. Benson Mwakina
 Eng. Isaac Kiya

Vasuki Kangogo
 Mr. Kaino Thuo
 Dr. Duncan Owang
 Eng. Albert Mugo

Chairman
 Managing Director & CEO
 Cabinet Secretary, National Treasury & Economic Planning
 Principal Secretary, Ministry of Energy

Elected on 8 December 2023
 Elected on 8 December 2023
 Elected on 8 December 2023
 Elected on 8 December 2023
 Alternate Director to Cabinet Secretary, National Treasury
 Ceased to be a Director on 25 April 2024
 Appointed as alternate to Principal Secretary, Ministry of Energy on 25 April 2024
 Ceased to be a Director on 8 December 2023
 Ceased to be a Director on 8 December 2023
 Ceased to be a Director on 8 December 2023

COMPANY SECRETARY

Inelda Eore
 Certified Public Secretary (Kenya)
 P.O. Box 30099 – 00100, Nairobi

REGISTERED OFFICE

Stima Plaza
 Koloboi Road, Parklands
 P.O. Box 30098 – 00100, Nairobi

BANKERS

Standard Chartered Bank Kenya Limited
 Harambee Avenue
 P.O. Box 20063- 00200, Nairobi

CIF N.A.
 Upper Hill Road
 P.O. Box 30711- 00100, Nairobi

Kenya Commercial Bank Limited
 Mx Avenue
 P.O. Box 30081 – 00100, Nairobi

Equity Bank Kenya Limited
 Hospital Road
 P.O. Box 75104 – 00100, Nairobi

The Co-operative Bank of Kenya Limited
 Stima Plaza
 P.O. Box 48231 – 00100, Nairobi

NCBA Bank Kenya Plc
 Mars Rd, Upper hill
 P.O. Box 44599 – 00100, Nairobi

Stanbic Bank Limited
 Kenyatta Avenue
 P.O. Box 30550 – 00100, Nairobi

Abta Bank Kenya Plc
 Abta Headquarters, Wariyaki Way
 P.O. Box 30120 – 00100, Nairobi

PRINCIPAL AUDITOR

The Auditor General
 Anniversary Towers
 P.O. Box 30084 – 00100, Nairobi

PRINCIPAL LEGAL ADVISOR

Dentons Hamilton Harrison & Mathews
 Delta Office Suites, Wariyaki Way
 P.O. Box 30333 – 00100, Nairobi

BOARD PROFILE

Ms. Joy Brenda Masinde
Chairman of the Board of Directors



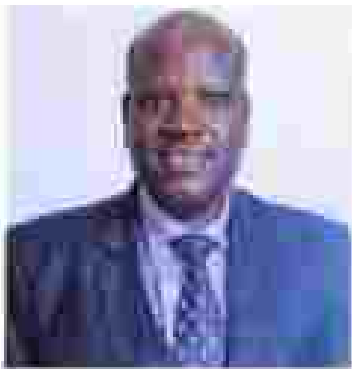
Ms. Joy Brenda Masinde is an Advocate of the High Court of Kenya with 19 years standing. She is the Executive Director of the East Africa Centre for Law and Justice, EACLJ, a position she has held for the last ten years. Previously, Ms. Masinde was an Executive Director of The Christian Legal Education Aid and Research, CLEAR Kenya, which is the Legal Aid branch of the Kenya Christian Lawyers Fellowship.

Prior to joining the civil society, Ms. Masinde worked with the Kenyan Judiciary for six years starting as a District Magistrate, rising to the rank of Senior Resident Magistrate before her resignation from public service. She currently serves on several boards, including the Evangelical Alliance of Kenya, the Kenya Students Christian Fellowship, and the Deliverance Church International Council.

Ms. Masinde is a member of the Law Society of Kenya, where she previously served as a Council Member of the Law Society of Kenya, Nairobi Branch. She is also a member of the Kenya Christian Professional Forum and the Kenya Christian Lawyers Fellowship.

She holds a Bachelor of Laws degree from the University of Nairobi and is currently undertaking a Master of Arts degree in Leadership from the International Leadership University.

Dr. Eng. Joseph Siror
Managing Director & CEO



Dr. Eng. Joseph Siror was appointed as the Managing & CEO of the Company on 2 May 2023. He holds a Doctor of Philosophy (PhD) degree in Engineering from Shanghai Jiaotong University (China) majoring in Radio Frequency Identification (RFID), a Master of Business Administration (MBA) degree and a Bachelor of Science in Electrical Engineering degree from the University of Nairobi. He also holds a Bachelor's degree in Law from the University of London, a pre-Kenya School of Law certificate from Ruara University, and a Postgraduate Certificate in Applied Radiation Protection from the University of Nairobi.

Prior to his appointment, Dr. Siror was the General Manager in charge of Technical Services (System Operations and Power Management) at the Kenya Electricity Transmission Company (KETRACO). He has experience spanning over 30 years in diverse business portfolios, ranging from telecommunications, income tax and customs, manufacturing, information communication, and technology and energy transmission.

He previously worked as a Director of Science, Technology Innovation and Communication at the National Economic and Social Council (NESC). He has also served as a Senior Assistant Commissioner at the Kenya Revenue Authority (KRA) and as an Executive Engineer and a Senior Systems Analyst at the Kenya Posts and Telecommunications Corporation and FirstStone East Africa Limited respectively.

Dr. Siror is a member of the Institute of Electrical and Electronics Engineers (IEEE) and a licensed Professional Electrical Engineer with the Engineers Board of Kenya (EBK). He is also a Corporate Member of the Institute of Engineers in Kenya (IEK).

Dr. Siror brings a wealth of experience, expertise, integrity, and energy to the Company.

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

Prof. Njuguna Ndung'u, CBS
Cabinet Secretary, National Treasury & Economic Planning



Prof. Njuguna Ndung'u was the Cabinet Secretary, National Treasury & Economic Planning from October 2022 to July 2024. Prior to his appointment, Prof. Ndung'u served as the Executive Director of the African Economic Research Consortium (AERC). Prof. Ndung'u is an associate professor of economics at the University of Nairobi, and previously served as a Governor of the Central Bank of Kenya. He has been a member of the Global Advisory Council of the World Economic Forum, Visiting Fellow of Practice at Blavatnik School of Government, Oxford University, Director of Training at AERC, Programme specialist at IDRC, and Team Leader in Macro-modeling at the Kenya Institute for Public Policy Research and Analysis. He holds a PhD in economics from University of Gothenburg, Sweden. He is a member of Brookings Africa Growth Initiative, member of the Advisory Committee of the Alliance for Financial Inclusion, and a senior advisor for the UNCDF-based Better Than Cash Alliance.

Mr. Alex Wachira
Principal Secretary, Ministry of Energy & Petroleum, State Department of Energy



Mr. Alex Wachira was appointed the Principal Secretary, State Department of Energy on 2 December 2022. He holds a Bachelor of Science degree in Nursing from the University of Nairobi and is currently pursuing a Master of Arts degree in Leadership at Pan African Christian University. He has a wealth of experience from the private sector where he worked as an investment banker. He previously worked with Faida Investment Bank where he traded and structured treasury bonds and corporate bonds at the Nairobi Securities Exchange. He has also worked with Oyer & Ilair Investment Bank and Gangetic Capital limited.

Mr. Wachira was a founding member of the Bonds Market Association as well as a member of the Steering Committee of the Kenya Association of Stock Brokers and Investment Bankers. He has spearheaded community initiatives such as youth mentorship programmes and sports tournaments.

Mr. Ezekiel Saina, HSC



Ezekiel Saina (HSC) brings a robust blend of expertise in corporate leadership and technology, aligning with over two decades of experience at the Kenya Revenue Authority (KRA). Holding an MBA from Strathmore Business School and a Post-Graduate Diploma in Computer Science from the University of Nairobi, he has steered numerous transformative initiatives in tax administration, spearheading large-scale technological implementations. With extensive certifications in leadership, project management, IT governance, and risk management, his tenure at KRA involved strategic roles in ICT, finance, procurement, and human resources. He played a pivotal role in optimising revenue collection systems, receiving accolades for innovative ICT utilisation. His background showcases a profound commitment to driving change, fostering efficiency, and shaping impactful strategies across diverse organisational domains.

Ms. Ruth Muiuri



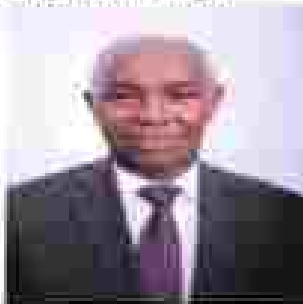
Ruth Muiuri is a proficient legal professional with a robust career history that showcases her adeptness in leadership, business strategy, and risk management. She has had diverse responsibilities ranging from contract negotiation and debt collection to strategic planning and compliance. These include roles as Head of Legal at Kenya Mortgage Refinance Company Limited and Guaranty Trust Bank (Kenya) Limited. She currently holds the position of Head of Commercial, Conveyancing, and Financial Services at S. K. Mwendu & Co Advocates. Ms. Muiuri holds a Bachelor of Laws (LLB) from the University of Nairobi, Post Graduate Diploma in Law from Kenya School of Law and is pursuing a Masters in Business Administration (MBA), with a focus on Strategic Management, at the United States International University (USIU). She is also a member of the Law Society of Kenya and East African Law Society. Beyond her professional endeavours, Ms. Muiuri actively engages in community service, serving on boards and contributing to legal aid clinics, exemplifying a holistic commitment to her profession and society.

Ms. Logan Christi Hambrick



Logan Christi Hambrick is a graduate of the George Washington University Law School in Washington DC (JD with honors) and a graduate of Furman University in South Carolina (BA in Political Science, magna cum laude). She has over fifteen years' experience in written advocacy, field work, and investigations at international and regional tribunals, criminal justice and arbitrations, international humanitarian law, conflicts and elections in West and East Africa, gender policy, and start up and management of NGOs and business ventures in multi-cultural and fast-paced environments. She has undergone training in corporate governance and labor law in Kenya and is knowledgeable about organizational change management programmes. She is also a proven entrepreneur in the healthcare industry and a skilled trainer in medico-legal ethics and service excellence.

Eng. Allan Mugo



Eng. Mugo has over 38 years of experience in the energy sector, including 10 years in operations and maintenance of power systems and over 20 years in planning and development of the generation and transmission of electricity supply. Eng. Mugo has worked in the energy sector for various entities including Kenya Pipeline Company, Kenya Power, and KenGen. He served as Managing Director of KenGen from January 2014 until his retirement in August 2017 and previously held senior positions in KenGen from 2005. As the Director, Business Development and Strategy, he spearheaded several major projects including the 120 MW Kipevu III power plant in Mombasa and over 370 MW of geothermal capacity development in Olkaria between 2008 and 2013. Previously, he worked at the Kenya Pipeline Company and for twenty-eight years in Kenya Power and Lighting Company, where he rose to the position of Chief Engineer in Corporate Planning and later became the Manager, Power System Development.

Eng. Mugo was a Board member of Rusumo Power Company, Rwanda from 2018 to Dec 2022. He currently serves on the Boards of Sima Sacco and Africa 50.

Eng. Mugo holds a Bachelor of Science degree in Electrical Engineering and a Masters of Business Administration degree in Strategic Management from the University of Nairobi. He undertook an Advanced Management Programme in Shaftesbury and has trained in various management and leadership courses including The Effective Director, Corporate Governance, and Mwangazi Code of Conduct. He is a registered Engineer, member of Institution of Engineers of Kenya and Institute of Directors, Kenya.

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

Eng. Mugo is a certified professional mediator and qualified Executive Coach. He has passion for leadership and governance as well as energy development.

CPA Dr. Caleb S. Manyaga



CPA Dr. Caleb Manyaga is a finance expert with over three decades of experience in strategic management, finance, and accounting. He holds a PhD in Business Administration from Jomo Kenyatta University of Agriculture and Technology, an MBA in Financial Management from the University of Strathclyde UK, and a BSc in Business Administration from the United States International University-Africa.

With a proven track record in managing multi-billion projects, negotiating financing agreements, and expertise in financial reporting, cash flow management, and budgetary control, his career highlights include serving as Finance Manager at Kenya Pipeline Company Limited. Additionally, he has held diverse leadership roles in different organizations, serving as a Director, Treasurer, Secretary General, and actively engaging in cooperative movements and church leadership roles. Alongside his corporate achievements, he has been an adjunct lecturer in esteemed universities, contributing insights into investments, financial markets, and corporate finance.

Mr. Humphrey Muhi

Alternate Director to the Cabinet Secretary, National Treasury & Economic Planning



Humphrey Muhi is the Alternate Director to the Cabinet Secretary, National Treasury and the Deputy Director, Investments. Mr. MUHI joined the Board on 25 June 2024 as Alternate Director to the Cabinet Secretary, the National Treasury. He holds a Master of Arts in Economics from the University of Nairobi, a Bachelor of Science (Mathematics & Statistics) from Kenyatta University, and a Bachelor of Philosophy (Economics) and a Diploma in Financial Management from KCA University. Mr. Muhi is an Economist with over 30 years' experience in various Government ministries and departments.

Eng. Isaac Kiva, ODW BSc (Eng.), R. Eng., MIEX
Alternate Director to the Principal Secretary, Ministry of Energy & Petroleum, State Department of Energy



Eng. Isaac Kiva is currently the Secretary for Renewable Energy at the Ministry of Energy. Eng. Kiva has wide experience in public sector management, having held senior Government positions for over 20 years. He is a registered Professional Engineer with the Engineers Board of Kenya and a member of the Institution of Engineers of Kenya. He is also a gold member of the Association of Energy Professionals (East Africa). Eng. Kiva joined the Board on 26 April 2023 as an Alternate Director to the Principal Secretary Ministry of Energy.

Ms. Imelda Bore
General Manager, Legal Services, Regulatory Affairs & Company Secretary



Imelda Bore is the Secretary to the Board of Directors. Imelda was appointed in July 2016 in an acting capacity and was confirmed in December 2019.

She holds a Master of Laws (Public Finance) from the University of Nairobi, a Bachelor of Laws from Moi University, a Diploma in Law from the Kenya School of Law, and a Higher Diploma in Human Resource Management. She is an Advocate of the High Court of Kenya with over 15 years' post-admission experience and is a Commissioner for Oaths and a Notary Public. Imelda joined Kenya Power in November 2008 having previously worked at the State Law Office as a Litigation Counsel. She is an active member of the Law Society of Kenya, a Certified Secretary CPS (K), and an associate member of the Chartered Institute of Arbitrators.

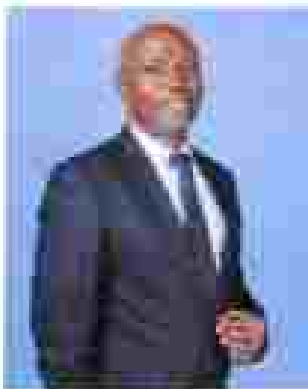
EXECUTIVE MANAGEMENT



Dr. Eng. Joseph Siror
Managing Director & Chief Executive Officer
B.Sc (Elec. Eng.), LL.B, MBA,
PhD, R. Eng., MEX, MIEEE



Imelda Bore
General Manager, Corporate Affairs &
Company Secretary, LL.B, LL.M, Dip(Law),
H.Dip (HR), CPS(K), AMCIAB



Eng. Geoffrey Muti
General Manager, Regional Coordination
BSc (Elec. Eng.), MBA, R. Eng., MEX



CPA Stephen Vikiro
General Manager, Finance
Bcom (Finance), MBA, CPA (K)



Eng. Aggrey Machasio
 General Manager, Business Strategy
 BSc. (Elec. Tech.), R. Eng., MIEK, MIEEE



Cecilia Kalungu
 General Manager, Human Resources & Administration
 Bsc, MBA, MCIPD



Rosemary Odour
 General Manager, Commercial Services & Sales
 BTech. (Elec. & Comms.) MBA, R.Eng.



Robert Mugo
 General Manager, Information & Communication Technology
 BSc. (Elec. Eng.), MBA, AMP



Dr. Jeremiah Kiplagat
 Director, Institute of Energy Studies & Research
 BSc. (Appropriate Tech.), MSc. (Tech.), PhD (Engineering), MET



Charles Mwaure
 General Manager, Network Management
 BSc. (Elec. Eng.), MBA, Reg. Eng., MIEK



Dr. John Ngeno
General Manager, Supply Chain & Logistics
Bcom, Msc Procurement, PhD Business
Management



Charles Cherulyot
General Manager,
Internal Audit
B.Com (Accounting), MBA, CIA (US), CPA (K)



John Rutthia
Ag. General Manager,
Power Purchase and Planning
Bachelor of Commerce (Hons)

STATEMENT BY THE CHAIRMAN

Dear Shareholders,

I am pleased to preside over my second Annual General Meeting as the Chairman of the Board of Directors. As you will recall, the current Board was reconstituted at the last AGM held on 20th December 2023, with the aim of ensuring fair representation of both the majority and minority shareholders in the Board in line with best corporate governance practices, and specifically to give a voice to our minority shareholders.

Stabilising the Business

Upon assuming office, the Board was confronted with several challenges that hampered the Company's business operations, chief among them being service delivery constraints arising from inadequacy of human and material resources. The Company was also experiencing high employee attrition especially arising from retirements and resignations of highly skilled staff in the crucial functions. Additionally, there was a shortage of critical materials, particularly transformers and meters, mainly due to the spillover effects of protracted procurement lags from the previous year and rising metal prices in the international market, which are essential components in the manufacture of transformers, meters, and conductors.

To address these challenges, the Board promptly instituted short-term measures to resolve the bottlenecks affecting the availability of critical materials and formed an ad hoc committee to advise on retaining critical skills and rejuvenating the workforce.

Return to Profitability

The period was also characterised by volatile foreign exchange rates affecting the performance of the Company, given that most of our power purchase contracts and our loan obligations are denominated in foreign currency. Notably, over the last five years, the Kenya Shilling depreciated by up to 54 percent against the US Dollar.

Despite the challenging business environment evidenced by the depreciation of the Kenyan Shilling, which began in 2021 and continued to February 2024, the Company registered a profit before tax of KShs 43.87 billion for the year ended 30th June 2024 compared to a loss before tax of KShs 4.43 billion in the previous period.

This performance was largely driven by a 21 percent increase in revenue and strengthening of the local currency against major global currencies in the second half of the financial year. Given that the Company's major financial obligations are primarily denominated in foreign currencies, this shift in exchange rates positively impacted our financial performance.

Sustaining the Good Performance

To improve Company performance in the medium to long term, the Board fast-tracked the development of the Five-Year Corporate Strategic Plan which was launched during the first half of the year under review. The Plan outlines key focus areas centered on attaining financial sustainability, provision of customer centered service, operational excellence and strengthening of our human capital.

The corporate strategic plan also aims to integrate sustainability in all our business operations. In line with this, the Board guided the development of the recently launched sustainability strategy.

demonstrating the Company's commitment to sustainable business practices encompassing environmental, social, and governance aspects.

In addition, we launched the Kenya Power Foundation, underscoring our commitment to corporate social responsibility and community investments. As a result of the adopted sustainability principles, this is our first integrated annual report, providing a holistic view of the Company's performance.

Dividends and Shareholder Returns

In view of the improved financial performance, the Board is delighted to recommend a first and final dividend of KShs 0.70 (previous year nil) per ordinary share for the year ended 30th June 2024, subject to approval by shareholders at the Annual General Meeting. If approved, the dividend will be paid on or about 28th February 2025.

In determining the proposed dividend, several factors were considered, including implementation of our strategic plan which requires significant resources to enhance reliability, settle outstanding obligations, drive revenue growth, address the current negative working capital, and ensure financial sustainability.

Board Changes

At the last AGM, shareholders elected four new Directors to represent Class A shareholders for ordinary shares held other than those held by the National Treasury. They are Eng. James Ruge, Ruth Munori, CPA Dr. Caleb B. Manyaga and Ezekiel Sana. The National Treasury, designated as Class B shareholder, appointed the Cabinet Secretary, National Treasury, the Principal Secretary, State Department of Energy as Directors in addition to Logan Hambrick, Eng. Albert Mugo and myself, Joy Brenda Masinde, to the Board.

I wish to thank former Directors Kairo Thuo, Yeaka Kangogo and Dr. Duncan Opieng who served diligently up to the first half of the year.

Conclusion

The Company is committed to inspiring our people and transforming our processes in order to create positive change in the environment within which we operate. The Board will continue to guide the Company toward achieving its mission of powering people for better lives by innovatively securing business sustainability.

Let me take this opportunity to thank our shareholders, the Board, the management team, employees, and all stakeholders for their unwavering support. I look forward to continued partnerships to steer the Company to greater prosperity.

Ms. Joy Brenda Masinde
Chairman, Board of Directors

MESSAGE FROM THE MANAGING DIRECTOR & CEO

Esteemed shareholders,

I am delighted to present Kenya Power's business performance and operational highlights for the financial year ended 30th June 2024. This period was marked by currency volatility and constraints in material and human resources, yet we have demonstrated remarkable resilience and adaptability, culminating in a profit of KShs 43.67 billion. This stands in stark contrast to the previous period when the Company reported a loss of KShs 4.43 billion due to increased finance costs and credit losses.

The positive financial results were primarily driven by improved revenue growth, supported by increased electricity unit sales and the successful implementation of a cost-effective tariff regime that aligns our pricing with market realities. Additionally, a favourable foreign exchange rate environment significantly reduced finance costs, markedly improving our financial position compared to the previous year. This performance attests to our strategic focus and unwavering commitment to meeting stakeholder expectations as we deliver value to our shareholders, even amidst external pressures.

Fast-tracking new connections

The Company connected 447,251 new customers to the grid against our target of 400,000 customers, surpassing the connectivity target for the year by 16 percent. The accelerated connectivity, which increased our customer base to 9,660,000, was supported by the availability of critical materials during the period and the subsequent deployment of a Rapid Results Initiative (RRI) in October 2023. The RRI enabled the Company to fast-track meter installation for pending and new connections across the country. We will sustain this connectivity drive towards attaining universal access to electricity, with an additional four million customers targeted to be connected by the year 2030.

Addressing system constraints

A stable and flexible grid is critical in our quest to adequately serve our customers and grow electricity sales. It is the backbone upon which our economy is anchored, supporting the country's energy demand totalling 13,584 GWh as at the end of the year. The country's network spans a total of 310,616 km, of which 5,569 km is the transmission network and 301,029 km is the distribution network.

Currently, urban centres constitute the bulk of electricity consumption, with Nairobi and its environs being the major load centre. Due to the clustering of demand, transmission constraints between major generation and consumption hubs arise, leading to increased system instability and inflexibility while also contributing to system losses.

Delays in the completion of major transmission projects have severely impacted the stability of our grid, negatively affecting our ability to adequately meet our customers' demand. These projects include the Nairobi-Somer 132kV, Bondo-Ndhiwa 132kV, and the Jisalo-Nanyuki 132 kV lines, as well as critical installations such as the Marakani 400/220 kV substation. These transmission constraints resulted in four system-wide disruptions, and as the grid continues to expand, the effects of these disruptions may adversely affect our business and the economy.

We also face a constrained distribution network characterised by ageing infrastructure, encroachments on our wayleave truces, and inflexibility due to the radial structure of our power lines. We are also experiencing overloading of our distribution network arising from unplanned developments and third-party interferences, which often contribute to equipment failures, especially transformers. These constraints resulted in localised disruptions within the distribution network, amidst customer

expectations, and increased unserved energy, leading to loss of sales, increased system losses, and higher maintenance costs.

I am confident that the completion of planned transmission projects as outlined in the Least Cost Power Development Plan (LCPDP) and projects in the Company's distribution masterplan will greatly alleviate the current constraints faced by the grid. Recently commissioned transmission projects such as the Olkaria 5-Leasea and the Turkwel-Ortur 220kV lines have improved power supply flexibility in the western part of the country. The Company is coordinating with other sector players to complete additional pivotal projects.

Furthermore, continued refurbishment and reinforcement of the distribution network will enhance supply quality for customers across the country while reducing system-wide losses from 23.16 percent as of the end of the year. Additional information on projects to improve grid reliability is articulated on page ... of this report.

Employee productivity and welfare

A well-established, resourced, skilled, and motivated workforce is key to the achievement of our business aspirations as we deliver on our mandate. Recognising that we operate and manage an extensive grid, having an optimal staff establishment is paramount.

For this reason, the Company is implementing a three-year manpower development plan that will address staffing gaps and succession planning while prioritising critical skills. Under this plan, the Company hired 546 employees to fill resource gaps in key customer-facing functions towards bridging the current staffing deficit of 2,281 employees. This brought the total number of employees to 12,437 as of the end of the review period.

To improve employee productivity, the Company implemented various initiatives to address employee welfare, build capacity, and provide appropriate tools and a conducive work environment. Towards this, we reviewed the remuneration of our unionisable employees through the Collective Bargaining Agreement and provided a cost-of-living adjustment for the management staff. Further, we enhanced our employees' medical benefits, implemented wellness programmes, and conducted various training programmes to upskill them.

The various initiatives implemented by the Company paid off, as demonstrated by an improved employee engagement index of 69 percent, up from 62 percent the previous year.

Promoting ethics and integrity

The Company is committed to transforming its corporate culture by upholding the highest standards of ethics and integrity in all our operations, aligned with our comprehensive policies on these principles. We have zero tolerance for fraud, corruption, and bribery, and we take strict disciplinary action against any employee engaged in such unethical behaviour. To demonstrate our resolve, 49 employees were dismissed for contravening the Company's Code of Ethics.

Additionally, to reinforce our commitment, we actively sensitise our staff on the importance of adhering to the Code of Ethics. We also raise awareness among our customers about malpractices such as bribery, meter tampering, bypassing, and illegal power connections. These malpractices not only violate ethical standards but also contravene the law, and the Company will work with the relevant authorities to prosecute individuals engaged in these illegal activities.

Strengthening stakeholder relationships

Strategic engagements are crucial in strengthening the relationship between the Company and its stakeholders. During the year under review, the Company carried out engagements with various stakeholders, including Parliament, regulatory authorities, consumer associations, sector agencies, power producers, financiers, and the media. These forums provided opportunities for the Company to enlist stakeholder support towards the realisation of our aspirations.

Further, the engagements offered a platform to demonstrate the Company's commitment to addressing customer concerns while enlisting their support in the fight against vandalism and other illegal activities within the network that undermine the quality of power supply. The Company will continue engaging its stakeholders to advocate for measures that enhance our service delivery and promote balance within the overall energy landscape in Kenya.

Consequently, our corporate reputation index, which measures perceptions of our brand by different stakeholders, improved to 63 percent from 61 percent the previous year.

Roadmap to smart utility

During the year, the Company developed a new Corporate Strategic Plan covering the medium-term period up to June 2026. The plan aims to deliver projects and initiatives that strengthen the Company's competitive advantage, its financial health, improve power supply reliability and efficiency, and increase access to electricity across the country. The Company is focused on pursuing specific objectives aligned with four strategic areas: financial sustainability, customer-centricity, operational excellence, and human capital, ensuring that overall goals are achieved within established timelines.

The financial sustainability focus area aims to transform the Company into a commercially viable entity with solid operating profits to provide predictable returns to shareholders. This will be accomplished through initiatives aimed at increasing sales, optimising working capital and prudently managing costs, thus increasing profitability.

In positioning the Company as a customer-centric organisation, initiatives will be implemented to enhance customer experience by addressing significant issues such as supply outages, ease of access to our services and information, and the turnaround time for new connections. To improve operational excellence, the focus will be on enhancing power supply quality and reliability, increasing business effectiveness, and optimising network efficiency.

Additionally, we are working towards transforming the Company into a smart utility that leverages technology and innovation to enhance efficiency and service delivery. This transformation will involve inspiring staff to adopt effective processes and plans. Our strategic commitment includes enhancing workforce productivity, improving employee experience, and fostering a supportive work environment. The plan also places sustainability and climate change at the core of business practices, aligning the Company's sustainability strategy with these objectives.

Technology to drive efficiency

The Company recognises that a robust Information and Communication Technology (ICT) platform is critical in delivering the customer-focus and operational excellence pillars of our strategic plan. In light of this, the Company has adopted a holistic approach in its revamped ICT strategy to achieve digital transformation.

The strategy identifies the Enterprise Architecture and Business Process Re-engineering (EABPR) project as a critical enabler of this digital transformation. The EABPR project, which began during the period, will deliver a modern ICT platform that aligns the current and future needs of our business and integrates all our information systems and assets towards operational efficiency and productivity. The integration will also establish a business intelligence platform that would enhance our responsiveness to customer and business needs.

Going forward

Shareholders, in the last five years, the performance of the Company's share price at the Nairobi Securities Exchange (NSE) declined to KShs 1.40 at its lowest. I am happy to report that the share price has improved remarkably to a recent high of KShs 3.75 owing to renewed investor confidence in the Company.

To sustain investor and stakeholder confidence, we shall endeavour to strengthen the fundamentals that support our business growth and profitability to deliver value to our shareholders. Over the medium term, our focus is to implement high-impact projects and initiatives as outlined in our Strategic Plan and ensure that they are adequately resourced as we foster a culture of operational excellence that drives business growth.

Appreciations

I take this opportunity to thank the Board, Management, and Staff for their unwavering support during the year. Their dedication and commitment have been instrumental in achieving our objectives and navigating the challenges we faced. Together, we will continue to drive Kenya Power towards a brighter and more sustainable future.

May God bless Kenya Power, and may God bless Kenya.



Dr. (Eng.) Joseph Siror, FIEK
Managing Director and CEO

OPERATIONAL HIGHLIGHTS

The Company has made substantial progress in executing initiatives aligned with the Corporate Strategic Plan 2023/24-2027/28. These initiatives aim to deliver high-quality, reliable, and safe power while fostering a highly engaged workforce committed to performance, accountability, and collaboration. Our focus remains on solidifying Kenya Power's position as the preferred energy provider, with a strong emphasis on customer satisfaction and loyalty. Additionally, our diversified revenue streams support the Company's long-term sustainability and financial resilience.

Throughout the year, we continued to implement strategic initiatives across our key focus areas: sales growth, power supply reliability, customer experience, and revenue diversification.

1. Driving sales growth

Our sales growth is driven by increased demand from new and existing customer, increased system efficiency and improved quality and reliability of power supply.

1.1. Increased demand from new customers

Electricity sales grew by 2.76% to 10,516 GWh, up from 10,233 GWh the previous year. This increase was mainly due to new customer connections and the replacement of faulty meters, supported by an improved supply of meters. The Commercial and Industrial category, as well as domestic customers, recorded the highest growth rates at 5.1% and 5.5%, respectively. Notably, sales from electric vehicle (EV) charging contributed 1.2 GWh, marking it as a promising driver of electricity demand growth.

The Company also onboarded 463,416 customers, generating additional sales of 126.31 GWh and expanding the customer base to 9,850,005. Most of these new connections were achieved through the Company's rapid results initiative in the second half of the year, targeting all paid-up customers, supplemented by government-funded schemes.

Since 2013, the Company has been implementing the Last Mile Connectivity Project on behalf of the Government, connecting a total of 746,867 customers under Phases I, II, and III. To maintain this momentum, the Company commenced Phase V, targeting 11,000 customers in Nakuru, Nyandarua, Kilifi, and Kericho counties. This phase is funded by a KShs. 1.9 billion grant from the Japan International Cooperation Agency (JICA).

The Company also achieved a major milestone in Phase IV with the signing of contracts, enabling its implementation in the current financial year. This phase aims to connect an additional 280,000 customers to the grid at a total cost of KShs. 28 billion, and is expected to be completed by the end of the Financial Year 2025/2026. The project is financed by the European Union (EU), European Investment Bank (EIB), and the French Development Agency (AFD).

1.2. Improving system efficiency

Reducing energy losses remains a key focus area for driving sales growth and improving business performance. During the year, the Company strengthened its loss reduction initiatives, including transformer maintenance, smart meter installations, enhanced inspections, and faulty meter replacements.

A total of 105,071 smart meters were installed for new and existing Industrial and Small Commercial customers, enhancing real-time visibility of consumption, reducing energy theft, and improving responsiveness. Additionally, the Company conducted inspections across all Commercial and Industrial customers and 41% of the SME category. A total of 331,925 faulty meters were replaced, supported by an increased meter supply.

As a result of these efforts, along with intensified Low Voltage (LV) maintenance activities—such as wayleave trace maintenance, conductor re-tagging, replacement of deteriorated poles, and security

operations against illegal connections—distribution and commercial losses in the LV network were reduced.

However, losses on the Medium Voltage (MV) (33 kV and 11 kV), sub-transmission (66 kV), and transmission (132 kV and above) networks increased during the year. This was due to higher generation levels from hydro and wind sources, along with increased imports via the Ethiopia-Kenya interconnector, which placed additional loads on the existing transmission network. Consequently, overall system losses rose to 23.16%, a marginal increase of 0.16%, primarily attributed to higher transmission losses.

Efficiency improvements in the transmission network are anticipated upon the completion of ongoing projects. These include the expansion of the Kabarnet substation to provide alternative supply to Baringo, construction of a 33 kV interconnector between Naroik and Boromet to offload the Muhoroni-Chenosi-Kegadi line and shorten transmission to South Nyanza, completion of the Kanamai-Boromet 132 kV line to ease the strain on the network serving Kiarabola and Vipingo, and the completion of the Sondu-Ndriwa line to establish a direct connection from Sondu to South Nyanza, offering an efficient alternative supply to Homabay and Migori.

1.3. Improving supply quality and reliability

Network reliability is critical to our business as it enhances customer satisfaction and ensures sustained sales. During the year, the network length increased by 3% to 320,762 km from 310,818 km, mainly due to low voltage network extensions to connect new customers. To ensure the network can adequately serve growing electricity demand, the Company continued various initiatives to improve system flexibility and reliability, including network refurbishment, reinforcement, preventive maintenance, and expansion.

Completion of network projects

The Company completed construction of four new substations: Naivasha SEZ 66/11kV, 33/11kV Kabanga, Mo's Jirga, and Kiamokama, with a combined capacity of 112.5MVA. Additionally, we upgraded ten substations—Voi, Lanet, Mumias, Kanyokino, Syokimau, Makuyu, Nairobi North, Makanda, Boromet, and Likoni—to enhance capacity and ensure reliable power supply in these areas.

We also completed 147.68 km of new MV lines to strengthen the network for greater efficiency and reliability, including five 66kV lines at Matasia, Magadi, Karen, Ngong, and Uplands-Githunguri, as well as five 11kV feeders to Kiwara, Kenyatta University Campus, Mombasa, Kamukia, and Wundanyi.

The 500/400kV Suswa substation is a critical hub, integrating generation from various renewable energy sources: 841MW from Naivasha's geothermal fields in Olkaria, 300MW from Lake Turkana wind generation, and 200MW imports from Ethiopia. Historically, power evacuation from this substation to Nairobi relied on long and unreliable 66kV lines.

However, the completion and commissioning of the Kimuka 220/66kV substation, including four 66kV feed-outs, relieved the overloading of the Suswa-Nairobi North 220kV transmission lines. The Uplands-Githunguri 66kV link improved supply quality and flexibility for customers in Kiambu, Ngong, Mai Mahiu, and surrounding areas.

The Kimuka-Matasia link has also enhanced flexibility for Langata, reducing reliance on the Embakasi line. The Kimuka-Karen-Kisumu line will carry full load upon upgrading sections with a 150mm² conductor to 300mm². The Githunguri-Uplands link awaits the establishment of a bay at Limuru, allowing the Limuru-Uplands link to operate independently of the Limuru-Ngema line.

The Otun-Kisumu 220kV line, commissioned this financial year, enables effective supply evacuation from Turkana, previously constrained by new generation on the Turkana-Lessos line. Additionally, the completion of the Olkaria-Kibor 220kV line and Lessos 220/132kV substation has improved load

balance between the Lessos-Muhoroni and Kaumu-Muhoroni lines, enhancing system stability and power quality in the Western region.

Transmission constraints interventions

Despite efforts to strengthen the grid, transmission constraints persist, particularly in the western region, due to inadequate evacuation capacity, resulting in load management and widespread interruptions. Encroachment on wayleaves, caused by vegetation growth, led to increased transient faults, especially on distribution lines. This was compounded by critical material shortages due to global supply chain disruptions and foreign exchange rate fluctuations in the first half of the year, hampering preventive maintenance on the distribution network. Extreme weather conditions also caused flooding of substations and infrastructure damage, leading to widespread power interruptions.

These factors negatively affected electricity reliability indices, with the Customer Average Interruption Duration Index (CAIDI) increasing to 2.28 hours from 2.24 the previous year, and the System Average Interruption Frequency Index (SAIFI) declining to 47.5 from 44.9.

To address these challenges and ensure grid robustness, we are collaborating closely with the Kenya Electricity Transmission Company (KETRACO) to advance transmission and distribution projects nationwide. KETRACO is implementing key transmission projects, including the 132kV Narok-Bomet line, Lessos-Kalbarret 220/132kV substation and line, the Isiolo-Nanyuki 132kV line to complete the Mt. Kenya ring, the Malindi 220/66kV and Marikani 400/220kV substations, and the Kenya-Tanzania interconnector at Naranga.

In the short term, Kenya Power is fast-tracking the construction of the Ndhiwa-Soidu 132kV line to stabilise voltages and address overloading in South Nyanza and Central Rift regions. The Kiboa-Ahero 33kV link will facilitate load transfers from the Muhoroni substation, enhancing supply flexibility for customers in Ahero and its environs. We are also establishing a 33kV link from Narok to Bomet to relieve the Bomet substation and the Muhoroni-Chemosi line.

Furthermore, the commissioning of a third transformer at the Lessos substation will optimise the Oltara-Lessos-Kiboa 220kV line and support generation from Turkwel and solar sources. To enhance power supply flexibility in Kiambu County and meet growing demand in Ruiri, we have completed two feeders from the Thika Road 220/66kV line to the Ruiraka and Ruiri substations.

Focused maintenance for grid reliability

To ensure network stability and minimise power supply disruptions, the Company will continue both preventive and corrective maintenance of installations, including substations, transformers, and lines. Preventive maintenance aims to prevent system disruptions, while corrective maintenance focuses on restoring supply.

A comprehensive maintenance plan has been developed for each installation, covering transmission substations, feeders, secondary substations, and the low voltage network. This plan will guide medium- and long-term activities to establish a stable network. The Company will support this effort by utilising advanced technology for network inspections, both in LV and MV networks, to inform system improvements. These improvements include installing auto-reclosers, air-break switches, and jumper rehabilitation on MV circuits.

Following this plan, the Company will continue wayleave trace maintenance, managing vegetation and controlling human activities along power lines. Analysis shows that over 50% of power interruptions are caused by encroachment on wayleaves, primarily due to overgrown vegetation. Effective vegetation management is therefore crucial to minimising interruptions.

The Company is taking a holistic approach to vegetation management by employing multiple techniques, including conductor insulation and trimming tree branches near power lines. Additionally,

local youth are being engaged across the country for trace maintenance, and mechanised methods are being adopted to improve efficiency and safety.

To reduce outages caused by transformer failures, the Company will deploy dedicated teams for proactive maintenance. These activities will include checks for transformer overloads, shifting customer loads to other transformers for load balancing, distributing loads across transformer phases, fuse grading for fault detection, and installing and replacing transformer protection devices.

2. Investments to address generation capacity constraints

In the last five years, the uptake of renewable energy from geothermal, hydro, wind, and solar sources has increased, accounting for an average of 90.5% of the total energy mix. During the year, generation from renewable energy sources rose by 653 GWh to 12,557 GWh, representing 91.3% of the total energy mix. This increase is primarily attributed to a rise in hydro generation and imports from Ethiopia, facilitated by the commissioning of the 500 kV HVDC line.

As a result, thermal generation was significantly displaced, accounting for just 8.24% of total electricity generation.

Despite this increased reliance on renewable energy, the power system continues to face challenges in generation adequacy and transmission constraints. The installed capacity currently stands at 3,243 MW, with an effective interconnected capacity of 3,056 MW on the grid.

Of this, 535 MW is derived from wind and solar sources, whose intermittent nature may hinder the system's ability to meet peak demand of 2,242 MW, necessitating load management. Furthermore, the geographical concentration of generation plants and transmission installations at Suswa presents challenges to transmission adequacy and investment.

To support the system and provide the necessary ancillary services, it is crucial to address these capacity constraints and operational challenges. Strategic investments are required to ensure adequate system support during peak demand hours and sufficient spinning reserve capacity for contingencies.

Investment considerations include the development of large hydro power plants, pumped hydro storage, and Battery Energy Storage Systems (BESS). Additionally, there is a need to expedite the implementation of transmission projects to enhance system flexibility and enable optimal utilisation of available renewable generation. These investments will be guided by the Sector Least Cost Power Development Plan (LCPDP) 2024-2043, which outlines key system projects needed to address generation and transmission constraints in the medium term.

3. Growth of our fiber business

Over the years, we have built and currently operate over 8,000 kilometres of fibre network infrastructure, primarily to manage, communicate and control the power grid for enhanced operational efficiency and safety. Additionally, the company leases out dark fibre for additional revenues which have continued to grow registering a 16% increase to KSh 940 million during the trading period, up from KSh 812 million the previous year. This revenue growth is attributed to rising demand driven by the high quality and reliability of the overhead fibre network that runs on our electricity infrastructure.

To address the increasing demand from dark fibre customers and internal needs, the Company is installing an additional 657 kilometres of high-capacity fibre cable from Nairobi to all regions and counties at an estimated cost of KSh 340 million, with a projected return period of about five years. This expansion is expected to enhance our reach, bandwidth capacity, and potential customer base while strengthening the robustness of the telecommunication transport network by providing alternative routes across the country.

4. Enabling the digital superhighway

The Government, through the Information and Communication Technology (ICT) Authority, has contracted the Company to roll out last-mile fibre optic cable connectivity to approximately 6,000 government institutions across the country under the Digital Super Highway (DSH) project.

Key components of the project include the deployment of 100,000 kilometres of fibre cable, installation of 25,000 public Wi-Fi hotspots, establishment of 1,450 Digital Village Smart Hubs and Studios, the creation of three data centres with data protection and cybersecurity management, and connectivity to all public institutions utilising the Company's power lines.

The Company's role in the project involves designing, supplying, and installing fibre infrastructure across the country, covering various government institutions, and establishing public Wi-Fi hotspots at a total cost of KSh 2.085 billion, funded by the Government of Kenya. The project is expected to yield additional benefits for the Company, including remote monitoring and control of the network as well as metering automation.

5. Token identifier rollover campaign

The Company currently serves a customer base of 8.6 million, with 7.4 million customers metered through Standard Transfer Specification (STS) compliant prepaid meters. The STS technology is the global standard for the transfer of electricity and other utility prepayment tokens. Following advancements in technology, the STS Association upgraded the security protocols of the STS system, mandating that all STS systems worldwide comply with the new requirements by 24th November 2024.

To meet this compliance, the Company launched a campaign to encourage all prepaid customers to update their meters to the new standard ahead of the global deadline, setting an internal deadline of 31st August 2024. The campaign, conducted between April and August 2024, involved upgrading and enhancing the Company's IT systems to ensure readiness for the TID rollover. It also included replacing all non-STS compliant meters, training staff, and developing a consumer awareness media campaign with the tagline 'Update Token Meter Yako,' which began in April 2024.

The communication campaign aimed to educate customers on the step-by-step process of updating their meters, empowering them with information to support the process, reminding them of the deadline, and fostering public goodwill for the TID campaign. Additionally, customers were enabled to access key charge tokens using the Company's self-service platforms, namely USSD *977# and the MyPower App.

As of the end of September 2024, a total of 8 million meters, representing approximately 91% of the targeted meters, had been updated, with the remaining 19% expected to be completed before the global deadline.

6. Providing customer convenience

As the public facing entity of the electricity sub-sector, effective customer engagement is therefore an integral part of our business. As such, the Company continues to implement various strategies geared towards enhancing customer interactions for an improved experience. These interactions include the digital self-service platforms, educational videos, billboards, strategic media partnerships and regional customer expositions. We also conducted over 40 public engagements (barazas) in various counties to educate customers on our products and services.

The Company has deployed self-service platform such as *977# USSD Code and MyPower App and established social media presence to provide a convenient interaction touchpoint with customers. The service platforms enable customers to submit their meter readings for accurate billing, report incidents and service interruptions, access their bills and tokens, simulate their bills, track progress of their application for electricity connection, and verify the authenticity of persons presenting as Kenya Power staff, among others.

During the year, the number of customers subscribed to our digital self-service platforms grew significantly to 2.1 million up from 1.7 million in the previous year. Consequently, the number of interactions on the USSD 19778 and the MyPower App increased to 19.39 million and 15.76 million respectively. The increased utilisation of the digital platforms resulted in a substantial reduction of foot traffic in our banking halls by nearly 75%.

7. Resourcing the workforce for productivity

A skilled and adaptable workforce is the greatest asset to our business. To strengthen our human capital for optimum productivity and service delivery, we continuously assess skills gap within the workforce to inform our talent management mechanisms, change management and diversity inclusion initiatives.

At the close of the year under review, the workforce stood at 10,437 against an optimal establishment of 13,818. To continuously support business operations in various functions based on the optimal staff establishment, the Company implemented several initiatives including development of a three-year manpower plan which outlines optimal staff rationalisation and redeployment, reskilling, and hiring of additional workforce. In line with this plan, we onboarded 836 employees during the year as part of the first phase of implementation.

Furthermore, the Company undertook initiatives to strengthen employee welfare towards talent retention and improved productivity. These include career progression, review of salaries and allowances, and improvement of staff welfare such as wellness programmes and enhanced medical cover. Acknowledging that employee productivity is also a function of an organisation culture, the Company is working towards enhancing a positive work environment.



Dr. (Eng.) Joseph Sior, FIER

Managing Director and CEO

STATEMENT OF PERFORMANCE AGAINST PRE-DETERMINED OBJECTIVES

KPLC, in its vision to be the 'Energy solution provider of choice' has continued to be an effective partner in the National economic development agenda while at the same time strengthening its competitive edge for business sustainability.

Towards delivering on our strategic intent, there were eight (8) strategic objectives for the FY2023/24 namely: Ensure Financial Sustainability, Improve Customer Experience, Enhance Stakeholder Engagement, Enhance Network Reliability and Efficiency, Improve Business Efficiency, Improve Performance Culture, Increase Business Innovation and Leverage on Technology.

The extent to which the objectives were attained as at June 2024 is as tabulated in Table 1 below.

STRATEGIC OBJECTIVE	KPI	UNIT OF MEASURE	TARGET 2023/24	ACTUAL 2023/24	Variance	Strategic Initiative	Activities
Improve Financial Sustainability	Profit Before Tax	Kshs.(M)	8,720	43,808	34,308	Asset Refinance & Balance Sheet Restructure	Implementation of the Green Resilient Initiative Execution Balance Sheet Restructuring Roadmap Enhance incomes from Diversification programs
	Return on Investment	Ratio	0.58	0.72	0.14	Revenue Diversification	
	Debt to EBITDA	Ratio	14.00	7.48	6.50	Improve Foreign Exchange Fluctuations mitigating measures	Conversion of Foreign Exchange Dominated loans to Kenyan Shilling Development of foreign exchange risk management model
	Sales Growth	%	8.70	2.77	(5.93)	Implement Sales Growth Programs	Enhance connection and metering of Pending Connections above 30 days
						Revamp Revenue Collection	Adherence to the Revenue Collection Calendar Enhanced Revenue Collection

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

STRATEGIC OBJECTIVE	KPI	UNIT OF MEASURE	TARGET 2023/24	ACTUAL 2023/24	Variance	Strategic Initiative	Activities
Improve Customer Experience	Customer Charter Compliance	%	67	74	7		Ongoing customer inspection programme
	Customer Satisfaction Index	%	73.89	88	(14)	Redefine Customer Experience	-Re-define Customer Segments (31 Dec 23) -Conducted customer education programme -Development & Implementation of Stakeholder Engagement Work plan -Development & Implementation of Stakeholder Engagement Work plan
Enhance Stakeholder Engagement	Corporate Reputation Index	%	64	63.2	(0.8)	Build and Maintain a Stakeholder Ecosystem	-Tracking Corporate Reputation Index - Held E-Mchilly conference and EXPO (April 2024) - Held Two interactions with KARA (Kenya Alliance of Resident Associations)
						Build Brand Reputation	- Conducted Media trainings and sensitization - MD & CEO had engagements with the parliamentary energy Committee

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

STRATEGIC OBJECTIVE	KPI	UNIT OF MEASURE	TARGET 2023/24	ACTUAL 2023/24	Variance	Strategic Initiative	Activities
							- Planned over 241,250 trees through our employee-driven Mijani tree planting campaign. - Execution of Presidential Directive on Corporate Citizenship (30% Dec 2023).
Improve Network Reliability & Efficiency	SAIFI	No	32	47.34	(15.54)	Implement network refurbishment projects	- Completion of GIS refurbishment projects - Transformer Maintenance Project
						Upgrades of T&D Infrastructure	- Completion of New and upgrading of Substations - T&D Project Completion Rate
Improve Business Efficiency	CAIDI	Hrs	2.20	2.28	(0.08)	Employee Resourcing	Personnel Level of Human Resourcing and Optimization of staff
						Segregate & Measure System Losses	Data Clean-up Project

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

STRATEGIC OBJECTIVE	KPI	UNIT OF MEASURE	TARGET 2023/24	ACTUAL 2023/24	Variance	Strategic Initiative	Activities
	Collection Efficiency	%	100	98	(2)	Implement Loss Reduction Strategies	- Installation of smart meters. - SME Meter inspection of SME, Large Power and Domestic customers. - Rapid metering and replacement campaign.
	Board Contract Performing e (Score)	Score	300	307	7	Digitization of Field Workforce Activities	Using handheld devices/Smart Phones to execute field operations, integrated with back office systems for real-time updates.
	Employee Satisfaction	%	70	85	(15)	30th Cycle Board Performance Contract	Track Board Performance Contract Monitoring & Reporting
Improve Performance Culture						Improve Staff Satisfaction.	Carry out Employee Engagement survey twice yearly
							Implement recommendations of the employee satisfaction survey done half yearly
Increase Business Innovations	Innovations Successfully Implemented	No.	3	4	(1)	Review and Implement the Innovations Policy.	Reviewing of the Innovations Policy.

SUSTAINABILITY REPORT

Across the world companies are relooking at their strategies to incorporate sustainable operations that guarantee their long-term viability. A sustainable business effectively manages its financial, social and environmental obligations to meet its present needs without compromising the needs of current or future generations.

The United Nations outlines the indicators of sustainable development through the 17 Sustainable Development Goals (SDGs) aimed at ensuring peace and prosperity for people and the planet. In the same context, the United Nations considers climate change as the defining issue of our time and thus requires a concerted effort to mitigate global emissions. The Paris Agreement sets out a target to limit global temperature rise to not more than 1.5°C above pre-industrial levels, through country commitments and disclosure in their Nationally Determined Contributions (NDCs). Energy is one of the key drivers of human-induced emissions, and therefore accelerated energy transition, which entails energy management, uptake of renewable energy and diversification of energy use will play a key role as part of climate action.

As a signatory to the Paris Agreement, Kenya has committed to reduce emissions in several sectors such as agriculture, transport, energy, manufacturing, and building and construction in her NDCs. Linked to these NDCs is the country's target to achieve universal electricity access and 100% clean energy generation by 2030 therefore making the Company a key player in the achievement of these targets. Kenya Power's mission of *Powering People for Better Lives by Innovatively Securing Business Sustainability* promises to be integral in enabling the implementation of Kenya's energy transition plans while providing affordable and reliable power.

Cognisant of its position as a corporate citizen, Kenya Power has developed and launched its sustainability strategy which is aligned to the Corporate Strategic plan and our sustainability policy. The sustainability strategy focuses on four thematic areas namely environmental interaction and climate change, financial sustainability, social and governance, and operational excellence.

The Company has adopted the Global Reporting Initiative (GRI) framework as the reporting tool as it provides a robust platform for organisations to transparently communicate our sustainability initiatives in line with international best practice.

Material matters

In preparation of this report, the Company conducted an assessment of the major material areas affecting its business. The materiality assessment focused on identification of critical business dimensions based on their potential impacts and likelihood. From the assessment, the Company identified six material areas of strategic focus namely: Liquidity, Government Support, Grid Reliability, Customer Experience, Our People, and Social Investments. The material issues align with our Strategic focus areas of Financial Sustainability (SF1), Customer Centricity (SF2), Operational Excellence (SF3), and Human Capital (SF4) which have a direct impact on our service delivery in both the current and future environments.

Summary of material matters

Reference	Material Matter	Description	Linked Strategic Goal
L	Liquidity	The Company's ability to meet short-term financial obligations as a going concern. This entails initiatives to sustain positive sales growth trajectory in the short to long term, optimize finance costs, manage debt levels and implement a business diversification strategy.	SG1 ¹ , SG3
G	Government Support	The extent of Government support and assistance to Kenya Power. This includes deliberate initiatives to reduce debt owed to the Company by the national and county governments including Ministries, Departments and Agencies (MDAs). This also includes securing cost reflective tariffs and special tariffs to support the sector's value chain, as well as lifting the ongoing moratorium on new Power Purchase Agreements (PPAs) to improve energy security. This further includes support in reviewing and renegotiating existing PPAs.	SG1
R	Grid Reliability & Expansion	Initiatives implemented to enhance network reliability and flexibility through proactive system expansion and maintenance programmes. This also entails strategic loss reduction interventions, enforcement of safety standards and improving efficiency in the provision of materials. This will further include the development, expansion and digitization of grid infrastructure to support electric mobility, renewable energy integration and distributed generation.	SG2, SG3
C	Customer Experience	Implementation of initiatives to enhance customer satisfaction by ensuring adherence to quality standards of service delivery. This entails effective communication and responsiveness to inform and empower our customers. This will also entail strengthening the security protocols and warehousing of customer data. Further, it will include the roll out of programs to improve public safety.	SG2, SG3

¹SG = Strategic Goals, 1 = Financial Sustainability, 2 = Customer Centricity, 3 = Operational Excellence, 4 = Human Capital

Reference	Material Matter	Description	Linked Strategic Goal
		awareness.	
P	Our People	Implementing employee-centered initiatives aimed at retaining, motivating and attracting highly skilled and productive employees. It also includes transforming the organisational culture for improved performance.	SG3, SG4
S	Social Investments	Initiatives implemented to support social causes that improve livelihoods of the communities within which we operate.	SG2, SG4
E	Climate Change and Environmental Degradation	Strategies and actions in response to climate change and the company's detrimental impact to the natural environment. These include the measurement and reporting of activity emissions, and the development of mitigation and adaptation plans. This also includes mapping out negative environmental interactions with company infrastructure and activities and developing action plans.	SG3
PG	Public Governance	Initiatives aimed at safeguarding the interests of all stakeholders. This is geared towards regulatory compliance and reporting to promote transparency, accountability and ethical conduct within our operation.	SG3

f) Liquidity and the Impacts of Government support

With financial sustainability identified as a key result area in the Corporate Strategic Plan, a focus on improving the Company's fiscal health is imperative in safeguarding our long-term viability. As such, the Company is championing several initiatives towards ensuring its improved liquidity and solvency, such as debt restructuring, reduction of forex risk exposure, sales growth initiatives, business diversification strategies, and several Government-backed initiatives. The state supported initiatives include Power Purchase Agreements (PPAs) renegotiation, settling of outstanding government debts to the Company, and tariff reviews in light of emerging legislations.

Debt restructuring

The Company's gearing ratio, which assesses debt levels in comparison to equity, currently stands at 113%, and several initiatives are underway to reduce its reliance on debt. Under the debt restructure, key transmission infrastructure will be transferred to KETRACO to align with the federal mandates as outlined in the Energy Act, 2019. Valuation of these assets is currently ongoing, with the value of the assets being transferred to be credited to Kenya Power, serving to offset on-lent loans. Additionally, with 78% of debt financing acquired by the Company being fixed-rate and the other 22% being subject

to market fluctuations, initiatives are in place to reduce market-based debt, thereby insulating the Company from changes in lending rates while providing better debt financing rates.

Forex risk

The Company faces foreign exchange risks considering that its revenues are entirely in local currency, while its key financial obligations, mainly power purchase and a large portion of the Company's loan book, are denominated in foreign currencies. Depreciation of the Kenya Shilling against foreign currencies affects our cash outflows arising from these transactions, thus presenting a significant transaction risk exposure in terms of the exchange losses. For instance, in the previous year we recorded an unrealised foreign exchange loss of KShs 15.558 billion arising from depreciation of the Shilling against the USD and EURD in which some of the loans are denominated.

To mitigate this forex risk exposure, the Company is reviewing the current treatment of the unrealised exchange losses through its income statement. This review is informed by Kenya Power's right to recover its unrealised exchange losses through the Foreign Exchange Rate Fluctuation Adjustment (FERFA) model, as provided by the Energy and Petroleum Regulatory Authority (EPRA). To further mitigate the foreign exchange risk, the Company will continue to collaborate with its bankers to negotiate discounted exchange rates when acquiring foreign currency to settle its due obligations.

Sales growth

The Company continues to promote key initiatives that promise to drive the growth of our sales. Additional to the projected sales growth from increased economic activity, the Company has championed the development of several demand stimulating initiatives, such as the Time of Use (ToU) tariff, and driving the uptake of e-mobility and e-cooking. The Company has also put in place measures to reduce system losses as a sales growth strategy. As such, Kenya Power targets to grow its sales by a projected year-on-year average of 5.5%.

Revenue diversification

Revenue diversification has not only emerged as an effective mitigation against financial uncertainties but also as a promising driver for growth. The Company's intent is to mitigate business risks associated with the core business and also ensure the sustainability of its business in the medium to long-term. Underpinning this drive is the pursuit of the revenue diversification agenda. Our medium-term revenue diversification portfolio covers several sectors, including property leasing, consultancy, and energy storage, with the telecommunications sector through our fiber optic business being the most mature.

Growing fiber business

Over the years we have built and operated over 8,000 kilometres (kms) of fiber network infrastructure primarily to manage and modernize the power grid for improved operational efficiency. Additionally, our fiber leasing business continues to register steady growth in revenues as shown by a 10% increase to KShs 940 million during the trading period up from KShs 812 million the previous year. The revenue growth is attributed to rising demand due to the high quality and reliability of the Company's fiber network.

To meet this rising demand from dark fiber customers and internal needs, the Company is installing an additional 657 kilometres of high-capacity fiber cable from Nairobi to all regions and counties at an estimated cost of KShs 340 million and a projected return period of about five years. This is projected to increase the reach, bandwidth capacity and potential number of fiber customers while increasing the robustness of the telecommunication transport network, by providing alternative routes across the country.

Enabling the digital super highway

The Government through the Information and Communication Technology (ICT) Authority has contracted the Company to roll out last mile Fiber Optic Cable connectivity to about 5,000 government institutions spread across the country under the Digital Super Highway (DSH) project. Key components of the project include the deployment of 100,000 kms of fiber cable, installation of 25,000 public Wi-Fi hotspots, establishment of 1,400 Digital Village Smart Hubs and Studios, establishment of three data centers with data protection and cyber security management, and connectivity to all public institutions while utilising the Company's power lines.

The Company's role in the project is to design, supply and install fiber infrastructure across the country covering various government institutions and establish public Wi-Fi hotspots at a total cost of Kshs 2.655 billion funded by the Government of Kenya. Related benefits to the Company arising from this project include remote monitoring and control of the network through to metering automation.

Public debt and Government-backed initiatives

Under the Rural Electrification Schemes (RES), the Government targeted to achieve universal electricity access to far flung areas through grid expansion, Stand-alone Solar Home Systems and mini-grids solutions. Kenya Power has been contracted by the Government to operate and maintain the RES assets, with the costs undertaken in the Company's activities to be reimbursed. As at the end of the period under review, the total unreimbursed deficit accrued by the Company amounted to approximately KShs 30.73 billion, despite approval through a Cabinet memo for reimbursement of up to KShs 18 billion to account for RES expenditure, of which we have received KShs 810 million to date. As such, continuous engagements with the Government to support the RES initiatives are ongoing with a view towards settling the balance.

2) Power supply reliability, grid expansion and modernization efforts

Our expanding national grid currently comprises 6,137 km of transmission lines, 86,212 km of medium voltage lines, and 225,413 km of low voltage distribution lines supporting a customer base of 9.5 million. The 2024-2043 LCPDP envisions further grid expansion with additional 1,700km of transmission lines by the end of 2029 that will aid greatly in improved network flexibility and stability.

At the distribution level, the Company is implementing a comprehensive network maintenance plan, focused on minimizing power disruptions and improving service quality. The Company has also committed KShs 6.5 billion to implement various preventive maintenance and system reinforcement projects across the country in the medium-term.

In addition, the Company is scaling up its grid digitization programme to improve operational efficiency by facilitating faster fault location and resolution and providing improved data acquisition to aid in power system planning. Grid digitization ensures that we have visibility of the network for transmission through the distribution network and to customer metering points. To effectively manage the transmission network, we have integrated 243 substations to the Supervisory Control and Data Acquisition (SCADA) system with plans underway to link an additional 79 substations. The Company is also expanding the Automated Distribution Management System (ADMS) to other regions following the successful rollout in Nairobi. Both SCADA and ADMS enable remote monitoring and operation of the network. Further, Kenya Power is targeting to migrate all customers who consume more than 500KWh to smart meters to enhance visibility of the metering installations for continuous communication and monitoring. All these grid digitization initiatives will enable real-time demand side management.

Implementation of the grid digitization and focused maintenance programmes are expected to contribute to the reduction of system losses to 15.5 percent and improve CAIDI and SAIFI indices to 2.15 and 25 respectively by 2028.

Over the next four years, demand is projected to grow to 2.815MW considering a reserve margin of 13 percent. To meet this expected growth, the LCPDP has earmarked various energy generation projects for onboarding in the medium term amounting to an additional 651MW of firm capacity and 554MW of VRE sources. However, following the Government moratorium on new PPAs which stopped onboarding of new generation plants as well as the renegotiation of any expired PPAs, there is a potential supply risk that may negatively impact generation adequacy to meet the country's growing energy demand. This is likely to increase reliance on expensive thermal energy sources. As such, Kenya Power is continually engaging the Government on the lifting of the moratorium.

3) Customer experience

Customer satisfaction is at the heart of our business operations and the Company is therefore improving customer experience by addressing major concerns related to power supply reliability, creating convenience in accessing services and information, and the turnaround time for new electricity connections.

To promote safe use of electricity and prevent public electrical accidents, the Company conducted a public awareness campaign through mainstream and digital media. We also undertook 476 public electrical safety awareness campaigns including public safety awareness barazas, school electrical safety awareness sessions, safety talks in place of worship and targeted customer safety education forums. As a result, we recorded a 0.3% reduction in electrocutions during the year to 118 cases. To further reduce these incidents, during the current financial year we target to conduct 500 public safety campaigns.

As our customer base expands there is increasing need to segment our customers beyond the tariff categories with the aim of providing them with tailored interventions for improved service delivery. On this front, we are working towards conducting data campaigns to ensure that salient customer features are captured both for new and existing customers to enrich customer profiling.

4) Our people and their role in our strategic objectives

We appreciate the pivotal role that our employees play in providing quality service to our customers and stakeholders. Various initiatives have been implemented to enhance the capabilities of the employees, optimize and align them to achieve defined results. In doing so, the Company aspires to maintain its position as an employer of choice, attracting and retaining requisite talent through solid career progression and providing growth opportunities.

Our workforce stood at 10,437 as at the end of the year under review, with a gender mix of 21.27% female and 78.73% male. In addition, we have a total of 115 employees with disability. To address existing gender and disability gaps, the Company has developed an action plan aimed at promoting diversity and inclusion in line with its gender and disability mainstreaming policies.

We continue to develop the capacity of our employees by offering various training opportunities for skills development. During the year, we achieved a training coverage of 68%, with an average of 4.5 hours per employee. Further, so as to foster employee-driven learning experience, we have collaborated with LinkedIn Learning, a digital platform that provides an array of courses designed to address individual needs.

Our aspiration is to provide an employee value proposition that will lead to high employee engagement. To this end, we achieved an employee engagement index of 59% through an employee survey where 81% of employees said they were aligned with the Company's mission and vision, and 74% were positive about their future in the Company. The Company has adopted initiatives aimed at improving these indices through workforce motivation and productivity through market rate compensation, improved wellness programs and enhanced skills development through capacity building. These wellness programs included initiatives such as enhanced medical cover for our employees and their

families, organization of various medical health camps in all the Company depots for early detection and management of existing and emerging medical conditions, provision of private rooms for lactating mothers in three of our regional offices to support employees with young children, and acquisition of office space that is fit-for-purpose, optimal and sustainable to improve ergonomics.

The Company has zero tolerance to employee fraud and corruption. Various internal controls are in place and embedded in the disciplinary policy geared towards deterrence and punishment of fraudulent activities. During the period, 49 employees were dismissed due to engaging in fraudulent activities. The Company continues to engage employees through training and review of processes where lapses are detected, with controls instituted, and policies on ethical behavior clearly outlined.

All of these initiatives target to improve employee productivity through enhanced efficiency and overall growth. With performance metrics tracked across various operational areas, the Company commits to improved service delivery.

Safety of our employees

The safety of our employees, contractors and the public is paramount in our business operations. The Company has established and maintained an occupational health and safety management system comprising a Safety Health and Environment (SHE) policy, hazard identification and risk assessment spearheaded by the SHE Department, whose mandate is to champion safety and health in the Company. The SHE policy includes the provision and enforcement of use of Personal Protective Equipment (PPE), safety and health training, provision of suitable working tools and equipment, and enforcement of safe working procedures among others. During the year, the Company procured network safety tools and equipment worth KShs 870 million and PPE worth KShs 100 million. Further, we have allocated adequate resources to procure additional PPE in the current financial year. We also conducted 22 staff safety training sessions and 253 safety talks across the Company depots and offices.

Regrettably, there were 10 staff fatalities and 115 non-fatal injuries arising from work related incidents in the period. In addition, we recorded three fatalities from externally contracted workforce. Each of these incidences was thoroughly investigated and corrective measures were instituted to prevent recurrence and improve safety in the Company.

Innovation

The Company through the Institute of Energy Studies and Research (IESR) is in the process of operationalizing the innovation hub to support the implementation of research projects aligned towards the realization of our strategy on leveraging technology, automation and innovation for operational excellence. IESR will collaborate with researchers and innovators working on various pertinent issues that support our business including improving system performance, enhancing customer experience, increasing sales and protecting revenues. Previously, the Company in partnership with the University of Southampton (United Kingdom) set up three grid-tied solar mini-grids each with a capacity of 10KWp in Kitonyoni in Matueni county, and Oloka and Shompole both in Kajiado county. The mini-grids are now being used for training and research by both Company staff and other interested parties within the energy sector.

Currently, our research and innovation activities are structured in four areas namely renewable energy, energy in transport, power systems, and data analytics and Internet of Things (IoT). We plan to expand our research to cover smart grid solutions, high voltage innovations and material science relevant to the energy sector. Under energy in transport, the Company is spearheading the adoption of electric vehicles with an aim to grow electricity demand. In this regard, Kenya Power is rolling out electric vehicle charging stations across major towns in the country. In regard to the power system, the Company has undertaken a number of studies on reduction of transformer failures and system protection with the objective of improving power supply quality and reliability. Company employees have also been trained

on big data analytics for electric utilities through a collaboration with the University of California Berkeley.

To build the culture of innovativeness within the Company, we encourage employees across our business regions to ideate and share potential solutions to address challenges facing the Company operations.

Summary of research and innovation projects

Project/Programme	Description
Special Utility Pole	These are poles integrated within the electricity network, supporting electrical distribution conductors and cables while at the same time supporting transmission cables for last-mile wireless telecommunication networks.
Remote Monitoring and control of Pole Mounted Switchgear	The research focused on developing and integrating locally designed smart devices into existing pole-mounted switchgear, which lacked remote communication. Paving is currently underway in six sites having 15 devices in total.
Automated Transformer Winding Drying Oven	A locally fabricated transformer drying oven with a capacity of one 315 KVA transformer and more than one for smaller sizes of transformers.
LV power outage and asset monitoring tool	A locally fabricated Internet of Things (IoT) solution that leverages on automated power outage reporting and utility asset management.

5) Climate change and environmental degradation:

The vulnerability to the effects of climate change on power supply infrastructure manifests in many ways, including destruction of energy supply infrastructure such as power lines, submergence of sub-stations; lowering of water levels in dams; and damage to dams due to flooding and extremely high dam levels. With vulnerability in power generation felt most pressingly in hydrological cycles, a diminished capacity for hydroelectric power generation typically leads to increased energy dispatch from emissive thermal plants, which in turn catalyzes climate change.

Kenya Power has undertaken various projects and initiatives in line with Kenya's national commitments as outlined in the Kenya National Energy Efficiency and Conservation Strategy and the National Climate Change Action Plan (NCCAP) II 2023-2027. These initiatives, targeted at reducing emissions from the company's activities, include off-grid plant hybridization, conversion of our transport fleet to electric, improved energy management measures, as well as wider initiatives to transparently measure, report and reduce emissions resulting from our activities.

The off-grid power generation station retrofit plan commenced with the hybridization of four off-grid power generation stations from use of diesel fuel to a hybrid of solar and diesel energy sources. In these inaugural projects located in Eldas, Elusik, Itaberswein and Meri off-grid stations, the use of about 2,164 million litres of fuel, which would contribute to approximately 5 million kgCO₂e annually, will be avoided.

Additionally, the Company is also participating in and supporting tree growing initiatives in government forests and public schools aimed at carbon sequestration. In this regard, the Company directly supported the planting of 350,000 trees over the trading period.

The Company has also championed sector coupling initiatives targeted at reducing emissions from the wider energy sector. These initiatives include the promotion of productive uses of energy under the e-cooking and e-mobility initiatives.

Under the e-cooking strategy, the Company is promoting initiatives to enable migration from traditional biomass and oil sources of energy. In the period under review, the Company partnered with local and international partners organizations to deliver 12 different projects under two UK-Aid-funded initiatives, namely MECS and UK PACT. As such, a program to accelerate the adoption of eCooking, dubbed the eCooking Capacity Building & Market Development Programme (eCAP), was created. Within this program, Kenya Power directly implemented five projects, with three being implemented by the IESR, namely: the scalable feedback mechanisms, which targeted to understand eCooking's contribution to demand stimulation, institutional eCooking, which saw the installation of electric appliances to substitute LPG consumption at the institute, and Pika na Power Academy, which trained 15 champions and seed-funded 7 participants to launch innovative projects that promote energy-efficient eCooking within their communities.

With the local transport sector contributing to about 67% of all emissions in the energy sector and 12% of national emissions, the Company has committed to supporting the electrification of the local transport system. Contemporary data on new vehicle registration statistics over the last six years (2017-2023) indicate that there are at least 3,753 electric-powered vehicles in the country's roads, ranging from two-wheelers, three-wheelers and four-wheelers. So as to support accelerated EV uptake, the Company has committed KShs 258 million over the next three years towards the promotion of E-Mobility in Kenya. We have established an electric vehicle charging station at Sina Plaza Nairobi and plans are underway to roll-out charging stations across the country.

E-mobility

Further, so as to catalyse the conversation on the uptake and growth of E-mobility in the country, the Company held its second E-Mobility Conference and EXPO on April 24th and 25th, 2024 at the Kenyatta International Convention Centre (KICC). In partnership with GIZ. The two-day event brought together more than 1,000 key stakeholders and 30 exhibitors driving E-mobility in Kenya and the region to review the recommendations made in the last forum, discuss the gains made so far towards the support of E-mobility and interrogate the missing link and discuss ways to scale up adoption of EVs in the country, particularly in view of the central role charging infrastructure plays in enhancing uptake, and address range anxiety, safety issues, environmental issues, among others.

During the E-Mobility Conference, the Company committed to invest KShs 258 million over the next three years towards the promotion of E-Mobility in Kenya. The investment will cater for setting up of charging stations at various Company offices across the country, and purchase of electric vehicles and motor cycles to green the Company fleet.

With network infrastructure traversing vast areas of the country, there have been some adverse interactions of natural biodiversity with our infrastructure as it passes through their ecosystem. Such interactions are as exemplified by the unfortunate incident that saw the demise of giraffes that came into contact with electric power infrastructure near Soyambu. Due to this and other interactions, the company has put in place measures to reduce impact on local biodiversity, such as raising of lines to increase clearances near where elephant and giraffe crossings coincide with electrical infrastructure; line relocations and aerial ball installation near known bird flight paths and migration routes; installation of cones and bird guards to deter perching and breaches of clearance on our towers; and insulation of power lines near wildlife sanctuaries, conservancies and high vegetation areas to prevent electrocution.

events. Further, the company has committed to conservation efforts, donating KShs 171,000 to the Colobus Conservation Trust towards habitat restoration. Finally, the Company has established an Environmental Management System (EMS) and is working towards ISO 14001: 2015 certification.

8) Social and environmental reach and awareness

Democratising access to energy

Our commitment to inclusivity in energy access remains a cornerstone of our customer experience strategy. Through initiatives such as the Last Mile Connectivity Project we have connected 746,867 households under the donor and Government funded schemes (Phases I, II and III) so far. We have also rolled out phase IV and V of the project which will connect 291,000 households towards bridging the energy divide, bringing reliable electricity to underserved communities. The Last Mile project, implemented by the Company on behalf of Government, has been instrumental in enhancing energy access to over 75 percent of the Kenyan household and will remain critical to the attainment of universal electricity access by the year 2030.

In addition, the Country's policies on uniform tariff design underscore the sector's commitment in ensuring fairness and equity in electricity pricing. This ensures that vulnerable customers are able to access the electricity service at an affordable rate, and ensures that all customers, regardless of geographic location, pay for electricity at applicable rates depending on their consumption levels.

Corporate social and environmental programmes

Our Corporate social Responsibility and Investments (CSRI) programmes focus on empowering communities, nurturing goodwill, and fostering allegiance to ensure business sustainability. In the year, our initiatives spanned environmental conservation, education, and social impact activities, each tailored to address the unique needs of the communities we serve.

Summary of Corporate Social Responsibility and Investments Programmes (2023-24)

CSRI	Description
Safeguarding our Ecosystems	As a company reliant on natural resources, environmental conservation is a critical pillar of our sustainability strategy. During the year, we continued our dedication to afforestation through the Kijari tree planting campaign. Over 350,000 trees were planted across key forests, institutions, and water catchment areas such as Bonon, Mumbere, and Narana in Baringo county, and Kiu in Makueni county. Working in collaboration with Kenya Forest Service and local Community-Based Organisations, we aim to restore the country's forest cover and improve ecosystem while mitigating the effects of climate change.

GRI	Description
Educating Our Young	Recognising the transformative power of education, Kenya Power remains committed to supporting academic development at all levels. We are prioritising Science, Technology, Engineering, and Mathematics (STEM) education, especially for girls, to bridge the gender gap in technical fields and nurture future talent for the energy sector. During the year, the Company conducted mentorship programs at Sarake Girls and Boys Centres, Nairobi School, University of Nairobi, and Masinde Muliro University of Science and Technology. Through our partnership with Mentorthon, we mentored over 10,000 students in Elgeyo Marakwet and Baringo Counties. Through the Kenya Power Endowment Fund, we continued to support students from disadvantaged backgrounds. During the year, we sponsored over 10 students at Sarake Girls and Boys Centre and donated Ksh 500,000 towards Machakos Girls High School's endowment fund. In addition, we renovated facilities at Umoja Primary and Nairobi School and constructed a classroom at Nimalihue Primary in Bungoma County. To address infrastructure challenges, we contributed to the construction of a 600-bed hostel at Kaptebet Girls, easing accommodation pressures. Under the new "Luku Bili" campaign that provides school uniforms to children from disadvantaged backgrounds, we provided school uniforms to over 500 children from Mathare, Daniel Comboni, and Kwa Nge'o primary schools in Nairobi County, helping to restore their dignity and improve their learning experience.
Promoting community wellness	The Company actively supports programmes that address social welfare and humanitarian needs across our operational areas. In the health sector, we partnered with Medifons Hospital to offer free medical screenings for the public and Company employees in Kisumu County, and collaborated with the Embu County Professionals Development Association (ECPDA) to host a wellness clinic at Kiseru Teachers College.
Sports and Uplifting Communities	Sports are integral to national pride and talent development. This year, we sponsored the Strims Darts Club to participate in the International Open Darts Championship, competing alongside teams from Tanzania, Rwanda, Burundi, South Sudan, and Uganda. We also donated food and diapers to St. Stephen's Children's Home and New Life Home Trust, provided personal effects to Nakuru Women Prisoners, and sponsored the Turkana Peace and Development Initiative to promote peace and cohesion among local communities.

Looking to the future: The Kenya Power Foundation

The Company has long supported social and environmental programs through its 2007 Corporate Social Responsibility (CSR) policy, which committed 1% of the Company's net profit towards initiatives that enhance socio-economic development within the communities we serve in four key areas: environment, education, health, and sports. Over the past decade, the Company has invested approximately KSh 100 million in various initiatives aligned with these thematic areas.

However, due to resource constraints arising during periods of reduced cashflow and profitability, sustaining these community support programmes has been challenging. To address this, the Company has established the Kenya Power Foundation as a vehicle to secure additional funding and ensure sustainable implementation of these programmes. This is underpinned by the newly revised CSR policy which sustains the 1 percent net profit allocation, while also committing a minimum of KSh 30 million in periods that the Company does not post a profit.

Foundation purpose statements

- **Who we are:** The Foundation is dedicated to creating a brighter future by promoting environmental stewardship, economic empowerment, and social impact.
- **Mission statement:** Empowering communities by leveraging partnerships to transform lives.
- **Vision statement:** To Empower communities for a brighter and sustainable future.

Thematic focus areas

The Foundation's programs are aligned with the United Nations Sustainable Development Goals (SDGs) and will focus on three key thematic areas: energy and environment, education and skills development, and social investment and community wellness.

Thematic area	Description
Energy and environment	The Foundation will support initiatives that promote environmental conservation and the protection of endangered species. Key focus areas include: - Promoting clean energy transitions such as clean cooking technologies and e-mobility. - Protecting natural ecosystems by advocating for environmentally friendly energy systems. - Increasing forest cover through tree-planting initiatives around water catchment areas, schools, and hospitals. - Partnering with organizations to protect and conserve endangered species in various regions across the country.
Education and skills development	To support education and skills development programmes, the Foundation will implement the following initiatives: - Improving learning facilities in schools and scaling up endowment funds to support marginalized children. - Undertaking mentorship programs for students from underserved communities. - Implementing youth empowerment initiatives. - Supporting skills development programmes, especially in STEM, including enhancing competencies for the Company's technical staff and equipping students in technical institutions.

Thematic area	Description
Social Investment and community Wellbeing	The Foundation will implement the following social and health community programmes: Strategic social impact programmes for underserved communities, such as the Lulu Saff Initiative, which provides school uniforms to children in slum areas. Engage in philanthropy and charitable giving, particularly in response to disasters or emergencies. Partner with healthcare providers and community organizations to host medical camps and health-related events. Support the development of sports talent and grassroots sporting activities and channeling funds raised towards community projects that align with the Foundation's objectives.

7) Public Governance

The Company has put in place various initiatives aimed at safeguarding the interests of all its stakeholders. The Company also actively monitors and reports on its compliance with legal and regulatory requirements, promote transparency and accountability while upholding high standards of ethical conduct within our business operations.

Our approach to stakeholder management

The Company recognizes the importance of building and maintaining trust, addressing concerns, and fostering collaboration with all its stakeholders, which include customers, employees, communities, regulators, suppliers, shareholders, and other agencies. The Company's approach to stakeholder engagement is guided by principles of inclusivity, transparency, accountability, respect, accessibility, and the pursuit of mutual benefit. The Company has established clear processes for identifying, prioritizing, and engaging with its stakeholders.

These interventions contributed to the growth of the Corporate Reputation Index during the year to 63.2% compared to 61.3% recorded during the previous year.

In the year under review, the Company undertook various stakeholder engagements in line with our Corporate Strategic Plan and Stakeholder Engagement Policy.

Stakeholder group	Stakeholder role	Stakeholder expectations	How we engaged in FY23/24
Banks/Financial Institutions	Project financing	i. National development goals ii. Social and economic welfare iii. Financial sustainability iv. Investment opportunities Business threats and risks	During the first quarter of the year, the company faced challenges in acquiring foreign currency to meet our loans and supplier payment obligations, primarily denominated in US dollars and Euros. In response, the company organized a luncheon on 11 December 2023 with our bankers to strengthen our relationships and seek their support. The primary objective of this luncheon was to foster a collaborative relationship with the banking sector, ensuring that our company is prioritised when sourcing foreign

Stakeholder group	Stakeholder role	Stakeholder expectations	How we engaged in FY2024
			currencies. During the event, we assured our bankers of the company's stable liquidity position and the availability of local currency, despite the ongoing difficulties in obtaining foreign currency. This engagement was crucial in reinforcing our commitment to maintaining strong partnerships with our financial institutions and ensuring the smooth operation of our financial transactions.
Shareholders	i. Elect directors and approve corporate actions ii. Declaration of dividends iii. Invest in the Company iv. Safeguard the interests of the Company	i. Trading performance ii. Business sustainability iii. Growth in share value iv. Safeguard business interests v. Disclosure of business information vi. Business threats and risks	The Company held a Shareholders briefing on 24th October 2023 to explain the proposed amendments on Company's Articles of Association, aimed ensuring fair representation of shareholders in the Board and which were approved during the EDM held on 10th November 2023. We also held an AGM on 8th December 2023 where shareholders engaged with the Board and management on business performance.
Customers	i. Source of revenue to the Company ii. Provide crucial operational information such as power disruptions iii. Safeguard the Company's assets and infrastructure iv. Provide feedback on the service level	i. Quality of supply ii. Billing iii. Education on cost of electricity iv. Good customer service v. Information on products, services, and the Company vi. Connectivity	The Company held engagement forums in Nairobi, Kisumu, Nakuru, Eldoret, and Mombasa in partnership with the Kenya Alliance of Residents Association (KARA), an umbrella body whose membership mainly constitute domestic electricity consumers. These forums provided an opportunity for the Company to directly engage with domestic customers on various issues such as billing, management of localised power outages, safe use of electricity, theft of power and fraud, among other issues. The Company also held joint engagement forums with the Consumers Federation of Kenya (Cofek) and Scrap Metal Dealer in an effort to rally support for the war against vandalism and theft of electricity. These initiatives reflect our commitment to enhancing customer experience through digital

Stakeholder group	Stakeholder role	Stakeholder expectations	How we engaged in FY23/24
			transformation and effective customer engagement strategies.
Members of Parliament	i. Legislation of laws and policies that impact on Kenya Power	i. Quality of power supply ii. Cost of power iii. Billing iv. Service delivery v. Customer service vi. Information on products, services, and the Company vii. Connectivity	The Company held various engagements with Parliamentary and Senate Committees to discuss issues related to legislations affecting KPLC, service delivery, power supply reliability, cost of power including power purchase costs, business operations and policy clarifications.
Media	i. Communicate effectively on Kenya Power's operations such as power interruptions ii. Sensitisation campaigns on safety and dangers of vandalism	i. Provide information accurately ii. Provide information promptly iii. Newsworthy content iv. Build positive public perception v. Timely responses to media clarifications	Being one of our key strategic stakeholders, continuous capacity building and engagement with the media is crucial to build an understanding of the Company brand and its key achievements and activities. To drive positive and balanced media reporting, during the year, the Company engaged with the media through press conferences, media launches, press releases on topical issues, press statements to offer clarification on public interest matters as well as customer alerts to notify customers of system hitches. Additionally, the Company undertook regional media capacity workshops in Mombasa, Kisumu, Kirinyaga and Meru Counties with a total of 80 journalists sensitised on various Company operations to deepen their understanding of Kenya Power mandate and the energy sector at large. During the current financial year, the Company intends to carry out similar workshops in Kisumu, Eldoret, Nakuru, Kericho, Machakos, Thika and Nyeri targeting a combined total of 140 journalists.
Power producers	i. Building capacity by power generation	i. Trading performance ii. Energy demand/supply forecasts	

Stakeholder group	Stakeholder role	Stakeholder expectations	How we engaged in FY23/24
Other energy sector players: KenGen, REREC, GDC and KETRACO	i. Collaboration sector expectations	ii. Conformity to regulatory requirements v. Synergistic unified positions	ii. Collaboration with Kenya Power to achieve its mandate Sectoral engagements for system stability studies were held in August 2024. This entailed the development of metrics to study the ancillary service needs of the Kenyan Power system to ensure improved system stability. It involved engagement with the MoEP, EPRA, KENGEN and NUPEA. Sectoral engagement were also held to develop the Kenyan energy markets framework from September 2023. This is to actualize the markets as outlined in the Energy Act, 2019 and drafting of the Energy Markets, Bulk Purchase and Open Access Regulations and spanned engagements with the MoEP, EPRA, KENGEN and NUPEA.
MoEP	i. Develop policies and regulations	i. Business performance ii. Legal provisions iii. Regulatory compliance iv. Financial sustainability v. Sector stability vi. Energy inclusivity	The Company participated in the development of the Least Cost Power Development Plan 2024/2043. This engagement included participation from all state sector Agencies and was approved by MoEP in July 2024. Similarly, MoEP organized a stakeholder engagement meeting on 14th June 2024 that brought together KenGen and Independent Power Producers (IPPs) in Nairobi to discuss pertinent issues encountered in the Power Generation segment.
Suppliers	i. Quality supplies ii. Timely supplies iii. Supportive cost reductions	i. Service level agreements ii. Brand representation iii. Ethical conduct iv. Effective and secure processes v. Financial sustainability vi. Supplier evaluation and	

Stakeholder group	Stakeholder role	Stakeholder expectations	How we engaged in FY23/24
National Treasury	i. Approve borrowings for the projects ii. Release of development funds from donors and other financial institutions	- monitoring processes vi. Partnerships vii. National development goals viii. Social and economic welfare ix. Financial sustainability x. Investment opportunities xi. Business threats and risks	As part of its core mandate, the National Treasury approved the Company's annual and subsidiary budgets. The Company downscaled its commercial banking facilities, necessitating the closure of several bank accounts, which required approval from the National Treasury. In compliance with the Public Finance Management (PFM) Act, the National Treasury approved closure of the bank accounts. Additionally, the company submits management accounts to the National Treasury on a quarterly basis. As part of our liquidity management strategy, the company was granted a moratorium on the repayment of on-lent loans from April 2020 to June 2024. We have also engaged with the National Treasury to address the treatment of accrued interest obligations during the moratorium period.
EPRA	i. Regulating power distribution ii. Approval tariffs iii. Promote the Company's growth and development iv. Strengthen Kenya Power's research, data management and information dissemination v. Enhance regulatory awareness, compliance and safety	i. Quality of power supply ii. Cost of power iii. Billing service delivery iv. Energy sector policies	Participated in the regulatory impact assessment of the Captive Power and Net Metering Regulations (2024) in June 2024. This was to ensure standardised work practices and ensure continuity of quality of supply, and was submitted to EPRA and the MoEP.

Stakeholder group	Stakeholder role	Stakeholder expectations	How we engaged in FY2024
Employees	i) Effective execution of the strategy	i) Customer service best practice ii) Job security iii) Remuneration and benefits iv) Employee productivity v) Reward and recognition vi) Employee relations	The Company has been collaborating with the Kenya Electrical & Allied Workers Union (KETAWU) as a key stakeholder in management of employees productivity. This is through various leadership forums where terms and conditions of employment for Unionisable employees who account for 67% of employees was discussed. The collaboration enabled the signing and registration of the Collective Bargaining Agreement for the year 2021-2024 in December, 2023.

Regulatory compliance

Considering the nature of industry within which the Company operates, compliance with a wide range of laws and regulations from different regulators is required. As such, the Company has established internal procedures and monitoring systems to promote compliance with applicable laws and regulations, and is supported by qualified legal and compliance professionals. During the year under review, various regulations were enacted key among them being The Capital Markets (Public Offers, Listings and Disclosures) Regulations, 2023 and The Energy (Net Metering) Regulations, 2023. The Company is continually focusing on complying with relevant legal and regulatory obligations.

Transparency and accountability

The Company recognizes that disclosure is a powerful tool in enabling our stakeholders to understand our activities, performance with regard to financial, environmental, governance and ethical standards, as well as our relationship with the communities within which we operate. We also appreciate that disclosure helps protect investors, attract capital and maintain confidence in capital markets.

In this regard, the Company continually ensures timely and balanced disclosure of all material information concerning the company in compliance with the disclosure requirements set out in the CMA listing requirements. The company has made the required disclosures both in the annual report and the Company's website in line with the recommended disclosure practices under the CMA Code.

Our commitment to an ethical work environment

The Board of Kenya Power has established a corporate ethical culture that permeates the whole company through development of a Code of Ethics and Conduct and establishment of appropriate internal systems to support, promote and ensure compliance. The Company has further demonstrated a consistent commitment to implementing the requirements under the Leadership and Integrity Act, 2012; the Mkenya Code of Governance for State Corporations and the 20th Cycle Performance Contracting Guidelines on Corruption eradication as guided by The Ethics and Anti-Corruption Commission (EACC). The guidelines require all institutions to maintain high standards of ethical culture by combating and eradicating all forms of corruption and unethical conduct.

The Code of Conduct and Ethics is a reference point for all our employees for value-based decision making and ethical behaviour. The Code is the main tool that enables us to consolidate and strengthen a culture of integrity and openness in order to achieve our vision and facilitate a sustainable business. There are also other ethics related policies such as the Conflict of Interest Policy, Gift Policy and Whistleblowing Policy that support an ethical culture.

During the Period under review, an assessment was carried out to determine the level of adherence to relevant ethics related policies since their development. As the Company operations evolve, there arose a need to refine these policies to align them with the changing business environment and legal and regulatory requirements. All ethics related policies have now been reviewed in accordance with applicable laws, approved by the Board and disseminated to staff. Copies are also uploaded in the website for access by all stakeholders.

Besides, the Company carried out a robust training and sensitization programme to embed the right ethical culture among staff and other stakeholders. The key focus was on the frontline staff who form the first port of interface and interaction with customers. The aim was to align this category of staff to the Company's values and enhance integrity and accountability in the conduct of Company business.

Additionally, a voluntary staff survey was conducted during the period, which revealed that 85% of employees understood the provisions of the Code of Conduct and Ethics. However, there is still a need for more interactive and inclusive engagement and training on values and standards of conduct to enhance the ability of employees to effectively apply the Code of Conduct and Ethics in their day-to-day operations.

The Company received and responded to a total of 195 complaints of various allegations of misconduct and unethical practices. Cases of attempted extortion by persons impersonating KPLC staff, which have been rampant, have significantly reduced. This is attributed to the company implementing measures such as restricted access and masking of customer data.

The Company has similarly established whistle-blowing mechanisms that encourage stakeholders to bring out information helpful in enforcing good corporate governance practices and ethical practices. Accordingly, the Company acquired the services of a Third party anonymous whistleblowing platform in line with our Whistleblowing Policy that encourages anonymous reporting of unethical practices that go against the provisions of the Code of Conduct and Ethics and other applicable laws, regulations and policies. This is intended to enhance transparency, accountability and individual responsibility. Similarly, other reporting channels such as corruption reporting boxes, Hotline number 0718999000 or through online reporting platform on the website are in place. All reports are absolutely confidential and users are expected to report in a responsible and ethical manner.

8) Risk analysis of material areas

Risk category	Description	Material alignment	Treatment plan
Financial	The Company's financial sustainability remains highly susceptible to foreign exchange fluctuations that greatly impact its cost of sales (power purchase costs). Additionally, a declining rate of sales-growth coupled with growing levels of debt may offset the positive impacts of the new cost-reflective tariff. Lastly, worsening system losses with the expanding network further undermines our ability to meet our	L, E	• Ongoing GOK interventions to stabilize the Shilling in the near-term while the Company reduces its foreign-exchange payables in the medium to long-term. • Focus on growth strategies while addressing customer pain-points to reduce grid-defection. • Intensify debt reduction efforts. • Implement debt restructuring initiatives.

L = Liquidity; G = Government Support; E = Grid Reliability; C = Customer Dependence; P = Our People; S = Social Investments

Risk category	Description	Materiality alignment	Treatment plan
	financial obligations.		• Targeted interventions towards system losses and unserved energy.
Operational	The Company's network performance is hampered by aged infrastructure and system constraints that often culminate in frequent outages and widespread blackouts. In addition, increased pilferage and vandalism of the network infrastructure aggravates the deteriorating system reliability indices, and adversely impacts supply quality.	R, C, E	• Focused infrastructure maintenance and network refurbishment. • Complete key transmission and distribution infrastructure projects. • Adopt a multi-pronged approach to system losses including technical, economic and socially-responsive solutions. • Continued upgrade of the network towards a Smart grid.
Climate Change Resilience and Adaptation	The growing effects of climate change including major weather events such as floods and significant temperature variations, are increasingly impacting Company operations. Such effects result in damage to electricity infrastructure which increases the maintenance costs and distort the load profile which increases uncertainties in energy planning. In addition, national and sector commitments towards Net-Zero emissions impose policy realignments on the Company.	L, R, S	• Implement the sustainability roadmap under the corporate strategic plan. • Climate-related capacity building within the electricity sector towards climate-proof energy planning and infrastructure development. • Monitor, report and mitigate emissions from Company operations with a view to reduce our carbon footprint.
People	The Company recognizes that its people are a key strategic pillar towards a sustainable business. However, the lack and loss of critical skills may impact this progress and contribute towards stressful or unsafe working environments. This exposure is heightened by the continued expansion of the network and customer base, both with ever increasing demands on the existing workforce. These risks ultimately impact service delivery to our customers.	P, S	• Talent management and retention, including optimal staff establishment, upskilling of the deployed workforce, with appropriate succession planning. • Improve employee welfare and the workplace environment.
Technology	Technological advancements in our operational environment present both opportunities and	R, C	• Incubate and allocate resources to a platform that promotes the deployment of innovative

Risk category	Description	Materiality Significant	Treatment plan
	risks impacting our value proposition to our customers. These advancements and related innovation can be leveraged towards significant operational and customer experience improvements, with the Company pivoting towards increased grid digitization and our smart grid ambitions. However, the increased deployment of ICT-backed solutions also presents significant (cyber-security) exposures with exponential impacts when they materialize.		solutions to be leveraged for emerging technology development and analysis of business data. • Resource and strengthen the innovation unit to drive the development and adoption of emerging technologies. • Incubate innovativeness across the business. • Prioritize completion of the Enterprise Architecture review and Business Process Re-engineering with the attendant security improvements.
Regulatory	Compliance with new and expected regulations may require both strategic and operational realignments of the business as the energy sector seeks to encourage market participation while maintaining system integrity under increasing captive generation. These regulations include the approved Net-Metering Regulations, 2024 as well as the Electricity Markets, Bulk Supply and Open Access Draft Regulations. In addition, the existing moratorium on new Power Purchase Agreements (PPA) presents a risk to power supply security.	L/G	• Advocacy with energy sector players and other regulatory bodies at all levels including regulatory gap on captive power. • Enforcement of Grid Code standards for grid connectivity including on captive generation. • Operational realignment and contingencies towards the new regulations.

CORPORATE GOVERNANCE

The current global perspective on corporate governance emphasizes transparency, accountability and ethical behavior. Some of the key trends shaping the corporate governance landscape include increased regulatory requirements such board diversity and shareholder rights and adopting business sustainability practices. Globally, organizations are required to be accountable to their stakeholders on their environmental, social and governance practices. These trends reflect a broad shift towards more responsible corporate governance not just at the global level but also locally as envisaged under the Constitution of Kenya, 2010 that stipulates national values and principles of governance. Overall, corporate governance plays a crucial role in promoting responsible management and ensuring that companies operate in the best interest of all stakeholders.

1) Statement of policy on good governance

In line with global best practices, the Board of Directors of Kenya Power is resolved in upholding principles of good corporate governance in steering the Company to achieve its mandate for sustainable growth in shareholder value and to meet stakeholder expectations. The Board is committed to providing leadership that promotes transparency, accountability, ethics and integrity as pillars of good corporate governance.

The Company endeavor to comply with provisions of the Capital Markets Authority Code of Corporate Governance Practices for issuers of Securities to the Public, 2015 (CMA Code) and the Mwangizi Code of Governance for State Corporations, among other best governance practices.

2) Corporate governance assessment report

The Company is continually applying and implementing provisions of the CMA Code by embedding various internal procedures that support implementation of good corporate governance practices.

CMA assessed the status of application of the Code for the financial year ended June 2023. The assessment was based on review of the following areas: Commitment to good corporate governance (90 percent rating); board operations and control (75 percent rating); Rights of shareholders (66 percent rating); Stakeholder Relations (63 percent rating); Ethics and Social Responsibility (77 percent rating); Accountability, Risk Management and Internal Control (80 percent rating); Transparency and Disclosure (68 percent rating). The Company attained an overall score of 74 percent. This a major improvement from the previous assessment where the Company had a rating of 57 percent, a testament to the Board's continued commitment to good corporate governance.

The Company continues to implement the recommendations of CMA to improve the level of implementation of the CMA Code and other good governance practices.

3) Roles and responsibilities of the Board

In undertaking its mandate, the Board draws its powers and authority from the Companies' Act 2016, applicable laws, the Company's Articles of Association and the Board Charter. The Board is collectively responsible for:

- Overseeing the Company's corporate governance framework;
- Approval of the vision, mission and values of the Company;
- Approval of the annual report and financial statements;
- Approval of the business plans and budgets;
- Approval of strategic plan and policies;
- Ensuring that the Company has adequate and effective systems and processes of accountability, risk management and internal controls and approval of the risk management strategies;
- Appointment and removal of the Managing Director /Chief Executive Officer;
- Setting up Board Committees and approving their composition and terms of reference;

- i) Approval of interim dividends and recommendations of the final dividend to shareholders for approval; and
- j) Oversight of compliance with statutory and regulatory obligations.

4) Board composition and changes in the Board

In line with best governance practices and to provide for fair representation of both the majority and minority shareholders in the Board to fairly reflect the Company's shareholding structure, the Articles of Association were amended during an Extraordinary General Meeting held on 10th November, 2023. Effectively, the rights attached to ordinary shares were varied as follows:

- a. **Class A:** Ordinary shares held by shareholders of the Company other than those held by the National Treasury
- b. **Class B:** Ordinary shares held by the National Treasury

As such, Class A shareholders are entitled to elect to the Board four (4) directors with Class B shareholder entitled to appoint the balance of the directors. Both Class A and Class B shareholders have the same rights and privileges except with respect to nomination and election of directors.

In line with these changes, during the Annual General Meeting held on 6th December 2024, Class A shareholders elected the following four directors: Eng. James Rege, Ms. Ruth Muriuri, CPA Dr. Caleb Swauma and Mr. Ezekiel Saina. Class B shareholder (the National Treasury) appointed the following directors: Cabinet Secretary, National Treasury, Principal Secretary, State Department of Energy, Joy Brenda Masinde, Logan Hambrick and Eng. Albert Mugo.

Board of Directors election/appointment summary

Shareholder Class	Elect/Elected
Class A Shareholders:	Eng. James Rege
	CPA Dr. Caleb S. Manyaga
	Mr. Ezekiel Saina
	Ms. Ruth Muriuri
Class B Shareholders (National Treasury)	Cabinet Secretary, National Treasury
	Principal Secretary, State Department of Energy
	Joy Brenda Masinde
	Logan Hambrick
	Eng. Albert Mugo

The following ceased being directors: Ms. Veska Kangogo, Dr. Duncan Ojwang and Mr. Kairo Thuo.

As at 30th June 2023, the Board comprised ten (10) directors, nine (9) being non-executive directors and one (1) executive director who is the Managing Director and CEO. Out of the nine non-executive directors, seven are independent, in line with the CMA Code which stipulates that at least two thirds of the total number of Board members shall be independent. The two non-independent directors represent the National Treasury and the Ministry of Energy and Petroleum.

5) Board Independence and diversity

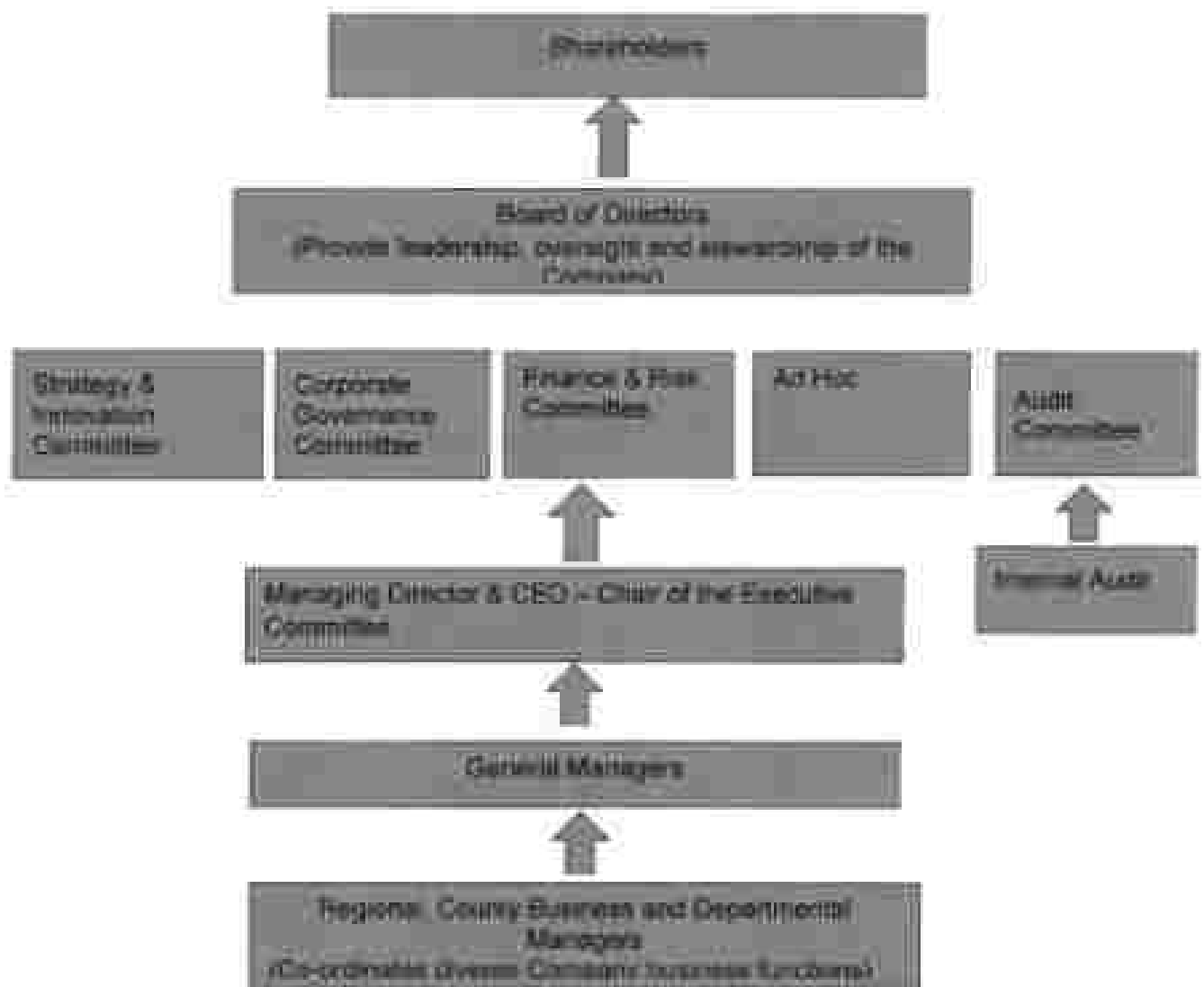
In line with the Independence of Directors and Conflict of Interest Policy, none of the independent directors has recently been employed by the Company in an executive capacity or served in the Board for more six years since they were first elected. In addition, none of the board members owns more than five percent of the Company's total issued shares in their individual capacity, pursuant to the provisions of the Capital Markets Authority Code of Corporate Governance for Issuers of Securities to the Public, 2015. As per the requirements of the CMA Code and demonstrated in the table below,

independent and other non-executive directors constitute more than a third of the Board and satisfies the requirement on representation of minority shareholders.

The Board also has a Diversity Policy to ensure achievement of diversity in its composition. The CMA Code stipulates that the Board shall be effective based on its size, diversity and demographics. The current Board has complied with this provision. The Board is composed of diverse and seasoned professionals in the fields of finance, business management, engineering, accounting, legal and ICT with extensive knowledge and understanding in various sectors. Their combined experience is leveraged to help inform Kenya Power's strategic direction for improved business performance. The Company is committed to take steps towards achieving the gender diversity requirement so that at least two thirds of the directors are of the same gender.

Name	Gender	Nationality	Profession	Date of Appointment	Independence Status
Joy Brenda Masinde	F	Kenyan	Law	8.12.2023	Independent
Dr. (Eng.) Joseph Bior	M	Kenyan	Engineering	2.5.2023	Non-Independent
Logan Othman	F	American	Law	8.12.2023	Independent
Ruth Mulinu	F	Kenyan	Law	8.12.2023	Independent
Eng. Albert Mugo	M	Kenyan	Engineering	8.12.2023	Independent
Ezekiel Saina, HSC	M	Kenyan	ICT	8.12.2023	Independent
CPA Dr. Caleb B. Manyoga	M	Kenyan	Financial Management	8.12.2023	Independent
Eng. James Raga	M	Kenyan	ICT	8.12.2023	Independent
Eng. Isaac Kivi	M	Kenyan	Engineering	26.04.2024	Non-Independent
Humphrey Mulu	M	Kenyan	Finance	19.10.2021	Non-Independent

6) Governance structure



7) The Board workplan

The Board prepares a Workplan for each financial year which is aligned to the Company's strategic goals outlining key activities for consideration during Board and Committees' meetings. The agenda for the meetings is prepared by the Company Secretary in consultation with the Chairman and the Managing Director & CEO. The agenda and papers for the meetings are circulated in time to allow for adequate preparations and for effective participation during meetings.

8) Board committees and changes

The Board approved the reconstitution of its committee structures and membership. Key to note is that the number of committees has increased from four (4) to six (6). This is to enhance efficiency and effectiveness while ensuring increased focus on the implementation of the mandate of each committee for the benefit of the Company as a whole and to allow for broader participation from all directors. The committees operate in accordance with specified terms of reference and the constitution of the Committees takes into consideration diversity of members, skills, expertise, and experience required to execute their responsibilities.

In line with best practices, the Chairman of the Board is not a member of any of the committees. The Chief Executive Officer is a member of all the committees except the Audit Committee. The Company Secretary is the secretary to the Board and its committees, except the Audit Committee where the General Manager, Internal Audit performs this function. Committee reports are presented to the full Board by respective chairpersons.

Reconstitution of committees

The Board approved changes and reconstitution of its committee structures and membership, from 1st January 2024 as follows:

- I. The number of committees increased from four (4) to six (6). This is to enhance efficiency and effectiveness while ensuring increased focus on the implementation of the mandate of each committee for the benefit of the Company as a whole and to allow for broader participation from all Directors.
- II. The Strategy & Innovation and Finance & Risk Committees were combined into Finance, Strategy & Risk Committee.
- III. The Corporate Governance Committee was renamed Governance & Human Resource Committee.
- IV. Two additional committees were constituted i.e The Technical Committee and Telecom, SCADA & ICT Committee.
- V. The Board also established an Ad hoc Committee on Critical Skills Retention Strategy Committee with the responsibility of identifying the critical roles in the company and advise the Board on the Company's strategy for attracting, developing, managing and retaining the critical skills.

The current membership and responsibilities of Board committees

Board Committee	Terms of Reference
Finance, Strategy & Risk Members 1. Eng. James Rege (Chair) 2. Humphrey Muhu 3. Albert Mugo 4. Isaac Kwa 5. MD & CEO By Invitation 1. GMs. Business Strategy Finance, Supply Chain 2. Rep. Inspectorate of state Corporations	1. To review the accounting and financial reporting policies, practices, and procedures of the Company. 2. To consider and review the monthly management accounts, quarterly financial statements, half year financial statements and annual financial statements. 3. To monitor on a quarterly basis the Company's key financial ratios. 4. To consider and determine the effect of regulatory and accounting developments, as well as any off-balance sheet arrangements, on the financial statements of the Company. 5. To present all financial goals and proposals to the Board of Directors for approval. 6. To set long-range financial goals along with funding strategies to achieve them. 7. To oversee the development of strategies of a financial nature and review of capital raising strategies. 8. To review the Company's capital and recurrent expenditure against the budget. 9. To review multi-year operating budgets that integrate with the Strategic Plan's objectives and initiatives. 10. To review and recommend the annual procurement plan to the Board for approval. 11. To monitor the implementation of the annual procurement plan and make recommendations to the Board as appropriate. 12. To oversee the financial restructuring of the Company. 13. To oversee the financial performance of the Kenya Power Pension Fund (both Defined Benefits and Defined Contributions). 14. To review, monitor, report and where appropriate, make recommendations to the Board on the Company's current and emerging business, operational, and financial risk exposures and the guidelines, policies and practices regarding risk assessment and risk management. 15. To assist the Board in fulfilling its oversight responsibilities relating to the medium and long-term strategic direction and development of the Company for business sustainability. 16. To advise the Board on strategies to enhance performance of the Company. 17. To review the Five Year Corporate Strategic Plan and oversee the annual implementation of the Company's Corporate Strategic Plan. 18. To recommend projects for implementation in line with the Corporate Strategic Plan. 19. To recommend the Corporate and Board Performance Contracts to the Board for approval. 20. To monitor corporate and Board performance on a quarterly basis and report to the Board. 21. To review the annual capital and operating budget before it is presented to the Finance and Risk Committee who will then recommend it to the Board for approval.

Board Committee	Terms of Reference
	22. To oversee and monitor the implementation of projects and make recommendations to the Board. 23. To oversee the operations of the Company and present periodic reports to the Board. 24. To safeguard the interests of shareholders, customers and other stakeholders to achieve cost-effective power purchase costs. 25. To provide oversight in the negotiation of power purchase agreements and related agreements between the Company and bulk power producers and recommend the agreements for approval by the Board. 26. To ensure adoption of technology that supports Company business, minimizes risks and achieves maximum benefits from the investments. 27. The Committee shall identify any challenges affecting technical operations, project management, contract management and recommend to the Board strategies for addressing the identified challenges. 28. The Committee shall assist the Board and Management to stay abreast of new developments, technologies and anticipate emerging concepts and trends in the industry. 29. To support innovation and research within the Company and make recommendations to the Board for the implementation of the same. 30. To oversee the operations of the Institute of Energy Studies and Research (IESR). 31. To oversee engagements with key strategic partners and recommend the entering into strategic partnerships including public private partnerships to the Board for approval. 32. Sustainability Strategy Oversight 33. Oversee the development and periodic update of the Company's sustainability strategy and recommend the adoption or any change to the Board for approval. 34. Monitor the objectives and targets set in relation to implementation the Company's Sustainability strategy. 35. Review the ongoing appropriateness of the Company's approach to sustainability issues in the context of best practice and compliance. 36. Review sustainability content and data to be published in the Company's annual report and accounts and making recommendations to the Board as appropriate. 37. Identify and oversight implementation of value creation opportunities, in the context of sustainability and recommend appropriate actions to the Board for approval.
Governance and Human Resource Members 1. Ruth Murun (Chair) 2. Lagan Christ	1. To oversee the appointment, promotion and disciplinary issues of senior staff (General Managers) of the Company for recommendation to the Board for approval. 2. To develop, review and recommend the remuneration structure for staff to the Board for approval. 3. To review periodically the adequacy and effectiveness of governance documents including the policies, terms of reference

Board Committee	Terms of Reference
1. Ezekiel Saina HSC 4. Isaac Kyia 5. MD & CEO By Invitation 1. GM, Human Resource 2. Rep. Inspectorate of state Corporations	for committees, and make recommendations for change as necessary to the Board. 4. To review the leadership and training needs of the Company's human resources and training and development of the Directors. 5. To oversee succession planning for senior staff and Board. 6. To oversee all matters relating to corporate governance including governance audits. 7. To oversee adherence to the Code of Ethics and upholding of ethical values and integrity in the Company. 8. To propose new nominees for appointment to the Board and formulate the Board's nomination/appointment policy. 9. To develop the procedures for evaluating the performance of the Board and Board Committees. 10. To develop and conduct an orientation and induction process for newly appointed Board Directors and provide on-boarding training and development. 11. To review the Board's composition and diversity, including skills mix at least once annually and make recommendations on any proposed changes to the Board. 12. To annually review the Board Remuneration Policy and recommend to the Board for approval, remuneration structure for Non-Executive Directors. 13. To assess the independence of Non-Executive Directors and review their annual confirmations on their independence.
Audit Committee Members 1. CPA Dr. Caleb B. Muriyaga (Chair) 2. Ruth Muriuri 3. Humphrey Muriu 4. Ezekiel Saina, HSC By Invitation 1. MD & CEO 2. GM, Internal Audit 3. Rep. Inspectorate of state Corporations	1. To oversee the Company's financial reporting process and the disclosure of its financial information to ensure that the financial statements are correct, sufficient and credible. 2. To review half-year and annual financial statements before submission to the Board for approval. 3. To recommend to the Board, the appointment, re-appointment and if required, the replacement or removal of the statutory auditor and fixation of audit fees. 4. To review the performance, objectivity, and independence of external auditors and consideration of audit findings by the external auditors. 5. To review the Company's internal control and risk management systems. 6. To evaluate effectiveness of controls aimed at preventing or detecting frauds. 7. To consider the major findings on internal investigations and management response. 8. To oversee the internal audit, including review and approve internal audit charter, annual audit plan, budgets of the internal audit function and establish whether this plan addresses the high-risk areas and that adequate resources are available to enable it to perform its functions effectively. 9. Review the activities of the internal audit function, including its coordination with the external auditors, the reports of significant

Board Committee	Terms of Reference
	investigations, and the responses of management to specific recommendations. 10. Approve the appointment, compensation, replacement, and dismissal of the head of internal audit. 11. Receive progress report from internal audit activities during regular meetings.
Technical Members 1. Albert Mugo (Chair) 2. CPA Dr. Caleb B. Manyaga 3. Isaac Fwa 4. Humphrey Mulu 5. MD & CEO By Invitation 1. GM, Network Management, Commercial Services & Sales 2. Rep. Inspectorate of state Corporations	1. To review the annual capital and operating budget before it is presented to the Finance, Strategy and Risk Committee who will then recommend it to the Board for approval. 2. To oversee and monitor the implementation of projects and make recommendations to the Board. 3. To oversee the Network Management, Infrastructure Development, Commercial Services and Regional Operations of the Company and present periodic reports to the Board. 4. To safeguard the interests of shareholders, customers and other stakeholders to achieve cost-effective power purchase costs. 5. To ensure adoption of technology that supports Company business, minimizes risks and achieves maximum benefits from the investments. 6. The Committee shall identify any challenges affecting technical operations, project management, contract management and recommend to the Board strategies for addressing the identified challenges. 7. The Committee shall assist the Board and Management to stay abreast of new developments, technologies and anticipate emerging concepts and trends in the industry. 8. To support innovation and research within the Company and make recommendations to the Board for the implementation of the same. 9. To oversee engagements with key strategic partners and recommend the entering into strategic partnerships including public private partnerships to the Board for approval.
Telecoms, SCADA, ICT & Innovation Members 1. Ezekiel Saini HSC (Chair) 2. James Rege 3. Logan Christ 4. MD & CEO By Invitation 3. GM, Network Management, Commercial Services & Sales 4. Rep. Inspectorate of state Corporations	1. To advise the Board on the Company's Telecoms, SCADA and ICT strategy and programs including providing high level guidance on their development and implementation. 2. Oversees the development of a Telecoms, SCADA and ICT Strategic plan aligned to the Corporate Strategic Plan and supportive of the organisational objectives. 3. Guide the review and re-engineering of Telecoms and ICT processes to ensure that they efficiently and effectively support company operations. 4. Evaluate the staffing levels, competencies and capabilities within the ICT function and advise the Board on appropriate actions to address any gaps. 5. Review the current Telecoms, SCADA and ICT Strategic Plan, Policies and Procedures and make recommendations for their improvement. 6. Receive updates on ICT security and audit matters and monitor progress on how they are being mitigated and resolved.

Board Committee	Terms of Reference
	7. Consider any matter related to Telecoms and ICT and where appropriate engage a third party or consultant to review and advise on any matter that is within the Committee's mandate. 8. Assist the Board and Management to stay abreast of new developments and new technologies and anticipate emerging concepts and trends in the industry. 9. Review, evaluate and advise the Board regarding the long-term goals and objectives and the quality and direction of the Company's ICT programs. 10. Review and advise the Board on the Company's major technology positions relative to emerging technologies, emerging concepts and changing market requirements. 11. Assist the Board with its oversight responsibility for risk management in areas affecting the Company's ICT matters. 12. Review and recommend to the Board for approval the commitment of long-term ICT plans and expenditures. 13. Review the implementation of the Company's ICT budget and expenditure. 14. Undertake such additional activities within the scope of its primary functions as the Committee may from time to time determine.
Ad Hoc Committee on Critical Skills Retention Strategy Members 1. Logan Christ (Chair) 2. Ezekiel Saina, HSC 3. Joy Masinde 4. Isaac Kiya 5. MD & CEO By Invitation 5. GM, Network Management, Commercial Services & Sales 6. Rep. Inspectorate of State Corporations	1. Identify the critical roles in the Company and advise the Board on the Company's strategy for attracting, developing, managing and retaining the critical skills. 2. Undertake an institutional skills gaps analysis for critical roles with the aim of improving the Company's general performance and staff attraction, development and retention through interventions like training, apprenticeship, periodic recruitment, mentoring and coaching among others. 3. Oversee the development of a critical skills gap plan for scarce and high priority skills aligned to the Corporate Strategic Plan and supportive of the organisational objectives. 4. Evaluate the staffing levels, competencies and capabilities for staff performing critical skills and advise the Board on appropriate actions to address any gaps. 5. Collect data, conduct analysis, and compile notes on key skills gaps and critical roles at risk of high turnover in the organization, highlight issues and identify recommended best practices for skills attraction, development and retention. 6. Determine comprehensive interventions/strategies to address the identified skills gaps in the attraction, development and retention of staff performing critical skills. 7. Prepare a policy paper and road map with timelines to guide on closing skills gaps in the Company in the identified priority areas.

Board Committee	Terms of Reference
	8 The Committee's other duties shall include to review and make recommendations in relation to recruitment incentives and staff attraction, development and retention policies for staff performing critical roles and people development and workforce training for staff performing critical roles.

9) Board induction and capacity development

Upon joining the Board, all new directors receive induction. The induction programme is initiated by the Chairman who ensures that new Board members receive a full, formal and tailored induction. The induction programme includes orientation in the area of the company's business which enables them become familiar with the company's operations, and includes detailed presentations by management. The four newly elected members of the Board underwent a comprehensive induction programme during the year and they also visited key Company facilities to familiarize themselves with the Company's operations. Additionally, the programme was tailored to acquaint them with their roles and responsibilities as well as the Company's strategy and operations.

During the year under review, the Company organised competence up-skilling programs for board members. The Directors engaged in trainings from credible sources on areas of governance. Topics discussed included training on Mwongozo Code of Governance for State Corporations, governance and ethics and an Audit Committee Master Class that was undertaken in September 2023 by the Institute of Certified Accountants (CPAK). In the year under review, each of the Directors who served for the full year was able to secure at least 12 hours of training on areas of governance as prescribed by the CMA Code.

10) Board evaluation

Assisted by the State Corporations Advisory Committee (SCAC), the Board undertook an annual self-evaluation exercise. The evaluation focused on the Board, the Committees, the Chairpersons of the Committees, the Managing Director & CEO and the Company Secretary. Areas of improvement were identified and implementation matrix developed for continuous growth and development to enhance collective performance.

11) Legal and Governance audits

During the year under review, an internal legal assessment was conducted with the objective of establishing the level of adherence to applicable laws, regulations and standards. The findings from the internal assessment confirmed that the Company was generally in compliance with the applicable laws and regulations. The Company is in the process of procuring independent Legal and Governance Auditors to undertake comprehensive legal and governance audits for the Company. The findings from the audits shall be disclosed in the next annual report, recommendations shall be acted upon and any non-compliance issues arising corrected as necessary.

12) Governance policies

The Company has put in place internal control systems designed to provide assurance on effectiveness and efficiency of our business operations and compliance with applicable laws and regulations. Some of the internal control systems put in place by the Board include establishment of relevant policies, some of which are highlighted below. Similarly, in line with the Capital Markets (Public Offers, Listings and Disclosures) Regulations, 2023, the Company has presented the following policies for shareholders' approval:

- a. Appointment of Directors Policy
- b. Board Remuneration Policy,
- c. Shareholders Communication Policy
- d. Stakeholder Engagement Policy
- e. Dispute Resolution Policy

(i) Whistleblowing Policy

The Company has a Whistleblowing Policy in place aimed at protecting staff and other stakeholders who wish to report any malpractices, unethical or fraudulent activities in a confidential manner. The Policy also provides assurance that any disclosures shall be taken seriously and managed without fear of retaliation.

The Company also has an anonymous whistleblowing platform for stakeholders to raise concerns regarding any suspected unethical conduct or malpractice and the policy details how such concerns are handled and addressed by the Company.

(ii) Corporate Social Responsibility Policy (CSR)

The Company has a CSR policy in place aimed at directing the Company's intent and commitment to strategic investments that are geared towards bringing about positive environmental and social change in the community within which it operates.

Although the Company is a commercial entity, it remains a responsible corporate citizen and is thus committed to maintaining a healthy balance between economic, social, environmental and governance interests. By looking beyond the financial gain, the Company is committed to the Triple Bottom Line approach of Profits, People and the Planet, which in turn enhances the potential of the Company to create economic value.

The CSR Policy similarly lays a solid ground for the operationalization of the much-awaited Kenya Power Foundation, which was launched in the current financial year. The Foundation will support three key thematic areas of energy & environment, education & skills development and sports & community wellness.

(iii) Sustainability Policy

The Company has in place a Sustainability Strategy and Policy, which focus on ensuring that the Company's business is conducted in a manner that promotes environmental stewardship, social responsibility, governance and economic resilience. The Policy integrates the various Social Development Goals (SDGs) key among them being Gender Equality, Affordable & Clean Energy, Sustainable supply chain and Climate Action. It further stipulates that the Company shall report its sustainability performance transparently and in line with the Global Reporting Initiatives (GRIs).

(iv) Stakeholder Engagement Policy

The Company's Stakeholder Engagement Policy underscores our dedication to engaging with our diverse range of stakeholders in a meaningful and mutually beneficial manner. The Company recognizes the importance of building and maintaining trust, addressing concerns, and fostering collaboration with all its stakeholders, which include customers, employees, communities, regulators, suppliers, shareholders, and non-governmental organizations (NGOs). The Company's approach to stakeholder engagement is guided by principles of inclusivity, transparency, accountability, respect, accessibility, and the pursuit of mutual benefit. Through this policy, the Company has established clear processes for identifying, prioritizing, and engaging with its stakeholders.

(v) Independence of Directors and Conflict of Interest Policy

The Board has an Independence of Directors and Conflict of Interest Policy to ensure independence of its members. The Board assesses the independence of its members on an annual basis to determine

who the Independent members are so as to ensure independent and objective judgement hence mitigating risks arising from conflict of interest or undue influence from interested parties. Directors are also obligated to fully disclose any actual or perceived conflict of interest which come to their attention. All business transactions with all parties, directors or their related parties are carried out at arm's length.

(vi) Board Remuneration Policy

The Company has a Board Remuneration Policy, which outlines the general guiding principles in remunerating directors and the types of remuneration aimed at attracting, retaining and motivating an effective Board. The Policy stipulates that the types of remuneration to the Board include Allowances, Incentive Program & Bonus Pay, Reimbursement of Expenses and Insurance Cover Scheme. It also provides that remuneration of directors shall be retroactively approved by shareholders in an Annual General Meeting.

(vii) Board Diversity and Inclusion Policy

The Company has a Board Diversity and Inclusion Policy that sets out the Company's commitment to the achievement of diversity in the composition of its Board of Directors with the objectives of:

- a) Ensuring an inclusive and diverse membership of the Board of directors of the Company
- b) Fostering optimal decision-making in the development and execution of the Company's strategy,
- c) Prompting effective appointments to the Board, on merit against a set of objective criteria, in the context of the skills, experience, independence and knowledge.
- d) Having a Board that reflects the diverse stakeholders the Company serves.

The Board is of the view that its composition is diverse, its size and demographics make it effective and it has complied with the Company's Diversity and Inclusion Policy as detailed under Note 3 above.

(viii) Enterprise Risk Management Policy (ERM)

The Company's ERM Policy sets out the Company's commitment to create an integrated approach to risk management and enables the Company to achieve its strategic and operational objectives while creating an environment where all members of staff assume responsibility for risk management. The Policy takes into account the various categories of risks which include strategic risks, financial risks, compliance risk, operational risks, business sustainability, ethics among others.

(ix) Dispute Resolution Policy

Kenya Power recognizes that disputes involving companies are an inevitable part of doing business and has therefore established a Dispute Resolution Policy as a mechanism for resolving the disputes with its stakeholders effectively, expeditiously, efficiently and in a timely manner.

(x) Procurement Policy

The Company has established a Supply Chain Policy aimed at continuously ensuring fair competition, equity, equality, supplier diversity, transparency, accountability and inspire confidence in KPLC's Procurement and Asset Disposal responsibilities. The objectives of the Policy are to:

- a) Ensure that the Procurement and Asset disposal system is properly implemented by complying with applicable laws, rules and guidelines;
- b) Ensure ethical practices and promote professionalism in Procurement and Asset Disposal system;
- c) Foster sustainable procurement practices;
- d) Standardize the Procurement and Asset Disposal system across the board;
- e) Continuously improve the efficiency of Procurement and Asset Disposal system by leveraging on technology;
- f) Promote efficiency and effectiveness, transparency and accountability, fairness, equity and value for money in Procurement and Asset Disposal.

(x) Policy on Insider Trading

As a Company whose shares are listed at the Nairobi Securities Exchange and in line with the continuing listing obligations, insider trading through disclosure of material or market sensitive information affecting the business that has not been made available to the public is expressly prohibited.

In this regard, Directors and employees of the Company are required to observe quiet periods commencing at half and full-year and expiring upon the release of the Company's performance to the public. Directors and employees of the Company are also prohibited from trading in securities of the Company with knowledge of material information affecting KPLC that has not been publicly disclosed. During the year under review, to the best of the Company's knowledge, there were no known cases of insider trading.

(xi) Shareholder Communication Policy

The company should disclose practical steps in the annual report on how it ensures equitable treatment of all holders of the same class of issued shares as stated in section 3.2.1 of the code. Minority shareholders should be protected from any adverse actions by the controlling shareholders, acting either directly or indirectly, and should have effective means of redress.

(xii) ICT Policy

The Company has an ICT Policy, a single unified document guiding effective and efficient management of ICT services and assets including systems owned by KPLC. The objectives of the Policy are to: guarantee the uninterrupted delivery of ICT services that are used in the Company's operations, protect data, have redundancies to ensure business continuity, ensure compliance with licensing in relation to ICT and ensure proper and acceptable use of ICT systems and services.

13) Accountability and audit

The Statement of Directors Responsibility is set out on page 73 and the Company's business review is outlined on page 68.

14) Directors' emoluments

Each non-executive Director is entitled to a fee payment KShs.800,000 per annum which is paid on pro rata basis for period served. In addition the Chairman is paid a monthly honorarium of Ksh. 80,000 per month. The fees are approved by shareholders during Annual General Meetings and paid annually in accordance with Government's guidelines for all state corporations. Directors are entitled to a sitting allowance and, where applicable, lunch allowance (to compensate for lunch being provided), accommodation allowance and mileage reimbursement as per the Government approved rates.

Details of Directors' emoluments amounting to Ksh. 51.97 million paid during the year is shown on page 70 of the Report.

15) Directors' Shareholding

During the year, none of the Directors owned more than five percent of the shareholding.

Directors shareholding

Director	Shares
Eng. Albert Mugo	1,955,802

16) Shareholder engagement and communication

The Company is committed to fostering strong and positive relationships with its shareholders through proactive and effective stakeholder management. The Board also protects the rights of all shareholders, regardless of whether they are majority or minority, institutional, individual, local, or foreign investors. Equitable treatment of all shareholders is a guiding principle upheld by the Board, ensuring fairness and equal consideration for every investor.

In alignment with this commitment, the Board provides shareholders with relevant information regarding the Company's strategy, operations and performance in a timely manner. We broadcast our half-year and full-year trading results through the media, publish annual reports and financial statements as well as hold regular investor briefings.

17) Shareholding structure

Attached as Appendix 1 is a list of the major shareholders and analysis as at 30 June 2024.



Joy Brenda Masinde
Chairman, Board of Directors

DIRECTORS' REPORT

The core business of the Company continues to be transmission, distribution and retail of electricity purchased in bulk from Kenya Electricity Generating Company Plc (KenGen), Independent Power Producers (IPPs), as well as imports from Uganda Electricity Transmission Company (UETCL), Ethiopia Electric Utility (EEU) and Tanzania Electric Supply Company Limited (TANESCO).

BUSINESS REVIEW

The Company reported a profit before tax amounting to KShs 43,666 Million, compared to a loss before tax of KShs 4,434 Million, the previous year. The profit is mainly attributed to a substantial 103% decrease in finance costs, which dropped from KShs 24,154 Million the previous year to a gain of KShs 333 Million. Notably, the unrealised foreign exchange differences decreased from a loss of KShs 16,668 Million to a gain of KShs 7,882 Million as a result of appreciation of the Kenyan shilling against major global currencies during the period. Electricity sales increased by 3% to 9,555GWh, and the revenue improved by 21% to KShs 231,124 million. The growth in revenue was supported by the increased sales and the approval of a cost-reflective electricity retail tariff review application by the Energy and Petroleum Regulatory Authority (EPRA) in April 2023.

The Company's working capital position improved from negative KShs 51,234 Million the previous year to negative KShs 27,439 million in the year under review.

Kenya Power underwent significant changes in its board of directors. During an Extraordinary General Meeting (EGM) held on 10 November 2023, shareholders approved a restructuring proposal aimed at enhancing corporate governance and improving the company's commercial performance. The key changes included the government, which holds 50.09% of Kenya Power's shares, appointing five directors to the board while the remaining shareholders, representing minority interests, will electing four directors. This restructuring seeks to proportionately reflect the company's shareholding structure and is part of a broader initiative to transform Kenya Power into a commercially viable entity operating on commercial principles.

During the last AGM held on 8 December 2023, the following were elected as Directors by Holders of Class A Ordinary Shares, being holders of Ordinary Shares other than those held by the National Treasury: Eng. James Rege, CPA Dr. Caleb B. Manyaga, Mr. Ezekiel Saina, HSC and Ms. Ruth Mainuri. These leadership changes collectively signify the organization's dedication to growth, adaptability, and innovation in the face of evolving challenges and opportunities.

RESULTS FOR THE YEAR

	2024	2023
	Shs'000	Shs'000
Profit/(Loss)/ before income tax:	43,666,029	(4,433,656)
Income tax (expense)/credit	(13,565,653)	(240,577)
Profit for the year	30,080,376	(3,193,129)

DIVIDEND

A dividend of Shs 1.93 million (2023: Shs 1.93 million) is payable on the cumulative preference shares and has been recognised in the statement of profit or loss and other comprehensive income under finance costs.

No interim dividend was paid in 2024 (2023: Nil). Subject to the approval of the shareholders, the Directors recommend payment of a final dividend of Kshs 0.70 per ordinary shares for the year ended 30 June 2024 (2023: Nil).

DIRECTORS

The current Directors are as shown on page 5.

STATEMENT AS TO DISCLOSURE TO THE COMPANY'S AUDITOR

With respect to each Director at the time this report was approved:

- there is, so far as the Director is aware, no relevant audit information of which the Company's auditor is unaware; and
- the Director has taken all the steps that the Director ought to have taken as a Director so as to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

TERMS OF APPOINTMENT OF THE AUDITOR

The Auditor General is responsible for the statutory audit of the Company's financial statements in accordance with article 228 of the constitution, the Public Finance Management Act, 2012 and the Public Audit Act, 2015.

BY ORDER OF THE BOARD


Imelda Bore
Company Secretary

28th October 2024

DIRECTORS' REMUNERATION REPORT

INFORMATION NOT SUBJECT TO AUDIT

Remuneration of the Company's Board is set within the Government limits for state corporations.

Statement of Company's policy on Directors' remuneration

During the year, there was no change to the Board remuneration. The current policy as guided by the Government through the State Corporations Advisory Committee (SCAC) will apply in subsequent years until the same is revised. The Company does not have any share options or long-term incentives plans. There was no compensation for past Directors, or any sum paid to third parties in respect of a Director's services.

The only executive Director is the Managing Director and Chief Executive Officer. He/she has performance targets for the year which apply to the Board. Non-Executive Directors' remuneration is fixed by SCAC.

Contract of service

The Non-Executive Directors are not under contract but are subject to retirement by rotation at the Annual General Meeting (AGM). Dr. Eng. Joseph Siar was appointed as Managing Director & Chief Executive Officer (CEO) on 02 May 2023.

Statement of voting at general meeting

During the last AGM held on 08 December 2023 the shareholders unanimously approved the Directors' fee of Shs 600,000 per year per Director on a pro-rata basis.

Summary of the remuneration policy

The following are highlights of the Board remuneration policy for the Company:

1. During every Board or Committee meeting, Directors are entitled to a sitting allowance, lunch allowance (in lieu of lunch being provided), accommodation allowance and mileage reimbursement at Automobile Association of Kenya rates.
2. The Chairman receives a monthly honorarium.
3. Directors' fees are paid annually upon approval by shareholders during the AGM in accordance with Government's guidelines for all state corporations.
4. Non-Executive Directors are paid a total of Shs 600,000 per annum or on pro rata basis for period served.
5. The remuneration for executive Directors is as per the negotiated employment contracts.
6. The Company will not propose to make any changes in the remuneration level during the current financial year.
7. There are no Directors' loans in the Company's loans.
8. There are no Directors' shares schemes.
9. A sitting allowance is paid to each Non-Executive Director for attending a duly convened and constituted meeting of the Board or of any of the committees.
10. An allowance is paid to Non-Executive Directors for any day of travel away from his regular station in order to attend to duties of the Company.
11. Medical insurance cover is provided to all Non-Executive Directors for their individual medical requirements covering both outpatient and in-patient services.

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

Directors' remuneration

Below is a summary of entitlement per Board Member:

Type of payment	Chairman	Member
Honoraria (per month)	Shs 80,000	N/A
Sitting allowance (per sitting)	Shs 20,000	Shs 20,000
Telephone – airtime for mobile phone (per month)	Shs 20,000	N/A
Transport allowance/mileage	N/A*	Automobile Association of Kenya (AAK) rates
Lunch allowance	Shs 2,000	Shs 2,000
Director's fees per annum on prorata basis	Shs 600,000	Shs 600,000
Director's bonus	N/A	N/A
Accommodation allowance outside Nairobi	Shs 18,200	Shs 18,200

* The Chairman is provided with a Company car.

INFORMATION SUBJECT TO AUDIT

For the financial years ended 30 June 2024 and 30 June 2023, the Directors' fees and remuneration are as below:

	Salary/ honoraria Shs'000	Fees Shs'000	Expense allowances Shs'000	Total Shs'000
Year ended 30 June 2024				
Executive Director				
Dr. Eng. Joseph Siron MD & CEO	13,490	-	9,773	23,263
Non-Executive Directors				
Joy Brenda Masinde - Chairman	600	600	2,454	5,044
PS, National Treasury	-	600	-	600
PS, Energy	-	600	-	600
CPA Dr. Caleb Barakuma	-	339	1,864	1,903
Ezekiel Saita	-	339	1,803	2,142
Eng. James Rago	-	339	747	1,086
Ruth Muriu	-	339	845	1,184
Kairo Thuo	-	263	457	720
Dr. Duncan Ojwang	-	263	2,427	2,690
Eng. Albert Mugo	-	600	2,033	2,633
Logan Christi Hambrick	-	600	2,979	3,579
Veska Kangogo	-	263	1,303	1,566
Isaac Kiva	-	-	100	100
Eng. Benson Mwakina	-	-	2,438	2,438
Mr. Humphrey Muha	-	-	2,128	2,128
	14,450	5,145	22,379	41,974

	Salary/ honoraria Shs'000	Fees Shs'000	Expense allowances Shs'000	Total Shs'000
Year ended 30 June 2023				
Executive Director				
Dr. Eng. Joseph Sior - MD & CEO	1,531	-	647	2,178
Eng. Geoffrey Mutu - Ag. Managing Director	6,018	-	1,762	7,780
Non-Executive Directors				
Joy Brenda Masinde - Chairman	560	324	2,201	3,085
Ms. Vivienne Yado - Former Chairman	400	376	248	1,024
PS. National Treasury	-	600	-	600
PS. Energy	-	600	-	600
Kairo Thuit	-	600	689	1,289
Dr. Duncan Gwang	-	324	1,272	1,596
Eng. Albert Mugo	-	324	1,227	1,551
Logan Chris Handrick	-	324	2,100	2,424
Veska Kiangogo	-	324	2,378	2,702
Sarah Mburaya	-	324	440	1,074
Justice (RTD) Aaron Gikonga Rongera	-	187	376	563
Eng (Ptd) James M. Gibbs (Ets)	-	234	900	1,134
Yida Kemeli	-	376	480	856
Eng. Benson Masakha	-	-	1,811	1,811
Mr. Humphrey Mutu	-	-	1,606	1,606
	8,899	4,627	19,954	33,381

BY ORDER OF THE BOARD


Imelda Bora
Company Secretary


20th October 2024

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act, 2015 requires the Directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Company as at the end of the financial year and of its profit or loss for that year. It also requires the Directors to ensure that the Company keeps proper accounting records that: (a) show and explain the transactions of the Company; (b) disclose, with reasonable accuracy, the financial position of the Company; and (c) enable the Directors to ensure that every financial statement required to be prepared complies with the requirements of the Companies Act, 2015.

The Directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- i) Designing, implementing and maintaining internal control as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- ii) Selecting suitable accounting policies and then applying them consistently; and
- iii) Making judgements and accounting estimates that are reasonable in the circumstances.

In preparing the financial statements, the Directors have assessed the Company's ability to continue as a going concern and disclosed, as applicable, matters relating to the use of going concern basis of preparation in Note 3 (a) of the financial statements.

The Directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibility.

Approved by the Board of Directors on 25th October 2024 and signed on its behalf by:



Joy Brenda Masinde
Chairman, Board



CPA Dr. Gileb B. Mwangi
Chairman, Audit Committee



Dr. Eng. Joseph Birir
Managing Director & CEO

REPUBLIC OF KENYA

Telephone: +254 (0)20 3344000
Email: info@oagkenya.go.ke
Website: www.oagkenya.go.ke



HEADQUARTERS
Anniversary Towers
Mumukia Street
P.O. Box 30084-00100
NAIROBI

REPORT OF THE AUDITOR-GENERAL ON THE KENYA POWER AND LIGHTING COMPANY PLC FOR THE YEAR ENDED 30 JUNE, 2024

PREAMBLE

I draw your attention to the contents of my report which is in three parts:

- A. Report on the Financial Statements that considers whether the financial statements are fairly presented in accordance with the applicable financial reporting framework, accounting standards and the relevant laws and regulations that have a direct effect on the financial statements.
- B. Report on Lawfulness and Effectiveness in Use of Public Resources which considers compliance with applicable laws, regulations, policies, gazette notices, circulars, guidelines and manuals and whether public resources are applied in a prudent, efficient, economic, transparent and accountable manner to ensure Government achieves value for money and that such funds are applied for the intended purpose.
- C. Report on the Effectiveness of Internal Controls, Risk Management and Governance which considers how the entity has instituted checks and balances to guide internal operations. This responds to the effectiveness of the governance structure, risk management environment and internal controls, developed and implemented by those charged with governance for orderly, efficient and effective operations of the entity.

An unmodified opinion does not necessarily mean that an entity has complied with all relevant laws and regulations and that its internal controls, risk management and governance systems are properly designed and were working effectively in the financial year under review.

The three parts of the report are aimed at addressing the statutory roles and responsibilities of the Auditor General as provided by Article 228 of the Constitution, the Public Finance Management Act, 2012 and the Public Audit Act, 2015. The three parts of the report when read together constitute the report of the Auditor-General.

REPORT ON THE FINANCIAL STATEMENTS

Opinion

I have audited the accompanying financial statements of The Kenya Power and Lighting Company PLC set out on pages 75 to 162, which comprise of the statement of financial

position as at 30 June, 2024, the statement of profit or loss and other comprehensive income, statement of changes in equity and the statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information in accordance with the provisions of Article 229 of the Constitution of Kenya and Section 35 of the Public Audit Act, 2015. I have obtained all the information and explanations which to the best of my knowledge and belief, were necessary for the purpose of the audit.

In my opinion, the financial statements present fairly, in all material respects, the financial position of The Kenya Power and Lighting Company PLC as at 30 June, 2024, and of its financial performance and its cash flows for the year then ended, in accordance with the International Financial Reporting Standards (IFRS) and comply with the Companies Act, 2015 and the Public Finance Management Act, 2012.

Basis for Opinion

The audit was conducted in accordance with the International Standards for Supreme Audit Institutions (ISSAIs). I am independent of The Kenya Power and Lighting Company PLC Management in accordance with ISSAI 130 on the Code of Ethics. I have fulfilled other ethical responsibilities in accordance with the ISSAI and in accordance with other ethical requirements applicable to performing audits of financial statements in Kenya. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Material Uncertainty Relating to Going Concern

I draw attention to Note 2(a) to the financial statements which discloses that the Company recorded a negative working capital of Kshs.27,439,000,000 (2023 - Kshs.51,234,000,000). The Company has remained in a negative working capital position for the eighth consecutive year. Over the years, the Board of Directors and Management indicated that strategic initiatives were being undertaken to improve the financial results of the Company. However, these initiatives were yet to yield the intended results as at 30 June, 2024. This indicates existence of material uncertainty that may cast significant doubt on the Company's ability to continue as a going concern. My Opinion is not modified in respect of this matter.

Emphasis of Matter

Land Without Titles

The statement of financial position reflects property, plant and equipment balance of Kshs.275,774,833,000 which, as disclosed in Note 15 to the financial statements, includes a balance of Kshs.785,710,000 in respect of freehold land. The latter balance includes sixteen (16) parcels of land in various locations valued at Kshs.29,724,258 for which the Company had no title deeds. Management indicated that most of the parcels were allotted from trust land, and there have been delays in demarcation of the areas and adjudication processes required to facilitate acquisition of title deeds. However, evidence of efforts made by Management to ensure that the process of land adjudication is concluded was not provided.

In the circumstances, the status of transfer of ownership of the parcels of land could not be confirmed.

My Opinion is not modified in respect of this matter.

Key Audit Matters

Key audit matters are those matters that, in my professional judgement, are of most significance in the audit of the financial statements. These matters were addressed in the context of the audit of the financial statements as a whole and in forming my opinion thereon. I do not provide a separate opinion on these matters. For each matter below, a description of how the audit addressed the matter is provided in that context.

Key Audit Matter	How the Audit Addressed the Key Audit Matter
Revenue Recognition As disclosed in Note 7 to the financial statements, the Company revenue is derived from different streams which are subject to different recognition and disclosure requirements based on the nature, timing, amount, and level of uncertainty. Electricity sales revenue is recognised when customers on post-paid metering are billed for power consumed each month based on meter readings or estimated consumption. Uncollected revenue is included in the accounts receivable. On the other hand, sales from prepaid metering are recognised when customers purchase electricity units and then adjusted for an estimated unconsumed power determined in average over a period. Other revenue charged to electricity sales include fuel cost recoveries as per monthly approved tariff by the Energy and Petroleum Regulatory Authority (EPRA) Fuel Cost Charge (FCC) and foreign cost adjustment which arises from foreign currency denominated obligations at a difference between tariff factored rates and realised exchange rates. The two revenue categories are passthrough costs to customers.	A revenue systems review was conducted to provide an understanding of the design and operating effectiveness of the systems and general controls over input, processes, integration, and transfer of revenue information between the multiple systems involved in recording revenue. In addition, the following Procedures were performed: - Existing controls over input changes in the billing systems arising from tariff adjustments were tested for adequacy and effectiveness; - Information Technology (IT) general controls over customer categorization and billing were tested to ascertain accuracy and completeness of generated reports utilised for revenue reporting; - An end-to-end testing of different revenue streams was conducted, and an evaluation done on reconciliations between billing data and journals processed in the general ledger;

Key Audit Matter	How the Audit Addressed the Key Audit Matter
The occurrence and accuracy of amounts recorded as revenue is susceptible to risks due to the complexity of the billing systems, changes in tariffs, and multiple electricity generation sources. The application of International Financial Reporting Standard (IFRS) 15: Revenue from contracts with customers for revenue recognition requires the use of complex rating, billing and accounting systems. The complexity is compounded by the significant number of revenue transactions that occur annually. My audit attention was directed at this area because of the significance of the number of revenue transactions, complexity of billing systems and the risk that inappropriate judgments or assumptions could lead to material misstatements in the financial statements. I therefore identified revenue recognition to be most significance during the year under review as a Key Audit Matter for the purposes of the audit.	iv. Analytical review procedures were performed over significant revenue streams; v. A sample-based testing of customer contracts was done to confirm validity and performance obligations as agreed by both parties and that revenue was appropriately recognised; vi. Unconsumed power data for selected months was evaluated to assess the reasonableness of estimates used in adjusting pre-paid electricity sales revenue; vii. Sampled journal entries were reviewed against supporting documentation to ascertain that they related to the correct period and were appropriately authorised; and viii. Accounting policies were reviewed and assessed for compliance with IFRS 15 for adequacy and consistency with other disclosures in the financial statements.

I have fulfilled the responsibilities described in the Auditor's Responsibilities for the Audit section of the report, including in relation to these matters. Accordingly, the audit included the performance of procedures designed to respond to the assessment of the risks of material misstatement of the financial statements. The results of the audit procedures, including the procedures performed to address the matters above, provide the basis for my audit opinion on the accompanying financial statements.

Other Information

Conclusion

The Directors are responsible for the other information set out on page 4 to 73 which comprise of corporate information, the Board of Directors, Executive Management Team, Chairman's statement, Report of the Managing Director and the Chief Executive Officer, Statement of Performance Against Predetermined Objectives, Sustainability Report, Corporate Governance, Directors' Report, Directors' Remuneration Report and

Statement of Directors' Responsibilities. The other information does not include the financial statements and my audit report thereon.

Basis for Conclusion

In connection with my audit on The Kenya Power and Lighting Company PLC financial statements, my responsibility is to read the other information and in doing so, consider whether the other information is materially inconsistent with the financial statements, or my knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work I have performed, I conclude that there is a material misstatement of this other information, I am required to report that fact. I have nothing to report in this regard.

REPORT ON LAWFULNESS AND EFFECTIVENESS IN USE OF PUBLIC RESOURCES

Conclusion

As required by Article 229(6) of the Constitution and based on the audit procedures performed, except for the matters described in the Basis for Conclusion on Lawfulness and Effectiveness in Use of Public Resources section of my report, I confirm that nothing else has come to my attention to cause me to believe that public resources have not been applied lawfully and in an effective way.

Basis for Conclusion

1. Procurement of Goods and Services

1.1 Unsupported Decline in Value of Leased Land

During the year under review, Management tendered for lease of unused parcels of land and houses owned by Company. Successful bids were recommended for award subsequent to an evaluation process. The leased properties included a parcel of land located in Nairobi measuring 2.9654 acres which was awarded to a firm at an annual rent of Kshs.3,709,445 per acre translating to total rental income of Kshs.110,000,000 for a period of ten (10) years based on a valuation carried out in February, 2023. However, according to an earlier valuation carried out in June, 2020, the annual rental reserve price per acre for the parcel of land was Kshs.8,700,000, which would have resulted in rental income of Kshs.257,989,800. The decline in rental reserve value of the land was not supported or explained. As a result, the Company was at a risk of losing rental income amounting to Kshs. 147,989,800 over the lease period.

In addition, the valuation carried out in February, 2023 was conducted by the Company's employees instead of independent professional valuers. Although the Company employees were qualified valuers, their independence and objectivity could not be confirmed.

In the circumstances, value for money in the leasing of public properties to third parties could not be confirmed.

1.2 Unprocedural Procurement of Off-Grid Generation Fuel

During the year under review, Management procured Low Sulphur Diesel for Off-Grid stations at a contract price of Kshs 3,858,659,072. The approved tender estimated the quantity required for the stations to be 31,020,000 litres annually totalling to 62,040,000 litres for two years, with a total cost estimate of Kshs 3.8 billion and Kshs 7.6 billion annually and for the two years respectively. However, the bidders quoted prices which were significantly higher than the budget estimates, with the most responsive bidder quoting Kshs 14,379,262,975, which was 205% above the budget estimate for the two years. Despite the tenderers quoting prices above the budget, the Evaluation Committee in a report dated 22 November, 2023 recommended award to the most responsive bidder who had quoted a price of Kshs 14,379,262,975 subject to the estimated annual budget of Kshs 3,858,659,072. This was contrary to Section 53(8) of the Public Procurement and Asset Disposal Act, 2015 which provides that the Accounting Officer shall not commence any procurement proceedings until satisfied that sufficient funds to meet the obligations of the resulting contract are reflected in its approved budget estimates.

In the circumstances, Management was in breach of the law.

2. Human Resource

2.1 Payment of Acting Allowances Beyond Allowable Period

Review of the records on appointments to acting positions and allowances paid thereof revealed that thirty-nine (39) employees were appointed on acting capacity for long periods and continued to draw acting allowances beyond the stipulated six months' period resulting in irregular payment of Kshs 60,459,459. In some instances, some appointees had been holding positions in an acting capacity for more than four (4) years, without a special approval from the General Manager, Human Resources and Administration as provided for in the Company policy. This is contrary to Section 34(3) of the Public Service Commission Act, 2017 which provides that an officer may be appointed in acting capacity for a period of at least thirty days but not exceeding six months. In addition, Section C14(1) of the Human Resource Policies and procedures Manual for the Public Service provides that acting allowance is not be payable to an officer for more than six (6) months.

In the circumstances, Management was in breach of the law.

2.2 Non-Compliance with the One-Third Basic Salary Rule

Analysis of the payroll data revealed that one thousand, one hundred and one (1,101) employees were paid a net salary which was less than a third (1/3) of their basic pay. This contravened Section 19(3) of the Employment Act, 2007 which provides that all deductions made by an employer from the wages or salaries of his employees at any one time shall not exceed two thirds of such wages or salaries.

In the circumstance, Management was in breach of the law.

2.3 Non-Authentication of Academic Qualifications for Employees

Review of the Human Resources records revealed that Management conducted an authentication of academic and professional certificates for management cadre employees in July 2021. However, authentication of academic and professional certificates for union staff who constituted 65% of the Company employees and managers who joined the Company after July, 2021 was yet to be conducted. This was contrary to the Public Service Commission (PSC) Circular issued on 19 October, 2022 requiring all Authorized Officers for government institutions to undertake an audit of academic and professional certificates of employees.

In the circumstances, Management was in breach of the law.

3. Non-Compliance with Age Limit Requirement for Appointment to Board

During the year under review, four (4) Directors were elected to the Board in an Annual General Meeting held in December, 2023. However, review of records relating to the Directors revealed that one Director was elected at the age of seventy-six (76). The election contravenes the Company's Articles of Association, Board Charter, and the Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015, which limits the age of a new Director to seventy (70).

In the circumstances, the Company was in breach of public listing guidelines and its Articles of Association.

4. Penalties on Overdue Invoices

During the year under review, the Company incurred an expenditure of Kshs.961,803,000 being interest on late payment of invoices. The expenditure resulted in the increase of cost of sales and negatively affected the Company's cash flows and profitability. Management attributed the delays in settling the invoices to acute shortage of foreign currency in the market which is used to settle foreign currency denominated obligations.

In the circumstances, there was no value for money incurred on the penalties on overdue invoices as it amounted to wastage of resources.

5. Comparative Cost of Power Purchase Between KenGen and Independent Power Producers

As disclosed in Note 8 to the financial statements, a total of Kshs.150,605,904,000 was paid for a total of 13,684 gigawatt-hour units of electricity purchased. Analysis of the units of electricity against the cost of purchase revealed disparities between the power purchased from the Kenya Electricity Generating Company PLC (KenGen) and the Power Procured from Independent Power Producers (IPPs). Analysis of power purchase revealed that KenGen supplied a total of 5,048 gigawatt hours (GWh) in thermal, geothermal and wind generated energy equivalent to 59% of total power purchased from the three sources while the IPPs supplied the remaining 3,483-gigawatt hours (GWh) or 41% from similar sources. However, the cost of the power purchased from KenGen in

respect of the three sources was Kshs.49,369,297,000 or 40% compared to the cost of power purchased from IPPs from similar sources totalling Kshs.73,723,453,000 or 60% of the total purchase cost for the three sources.

The analysis indicates that the cost per Kilowatt hours (KWh) was significantly higher for power purchased from the Independent Power Producers compared to power purchased from Kenya Electricity Generating Company PLC as summarized below:

	Cost of Power Purchased from IPPs (Ksh)	Energy Purchased from IPPs(kWh)	IPPs Cost per kWh	Cost of Power Purchased from KenGen (Ksh)	Energy Purchased from KenGen (kWh)	KenGen Cost Per kWh
Thermal	29,710,977,000	679,000,000	43.76	10,756,820,000	365,000,000	29.47
Geothermal	18,538,217,000	1,074,000,000	17.29	38,172,401,000	4,833,000,000	8.24
Wind	25,454,259,000	1,750,000,000	14.71	440,076,000	50,000,000	8.82
Total	73,723,453,000	3,483,000,000		49,369,297,000	5,948,000,000	

As previously reported, the disparity was mainly attributed to the terms contained in contracts entered with the Independent Power Producers (IPPs) where in some instances, realised sales were below the cost price. To mitigate against this disparity, a Presidential Taskforce appointed in March 2021 to undertake a comprehensive review of Power Purchase Agreements (PPA) with Independent Power Producers recommended a review of the PPAs with a view of renegotiation and exploring ways to address the disparity. However, Management did not provide evidence of the progress made in respect of the recommendation.

6. Failure to Prepare Financial Statements for a Donor Project

Note 42 (b) and (c) to the financial statements reflects that the Company expended Kshs 71,199,000 and 17,966,000 received from World Bank credit and grant financing respectively under the Kenya Electricity Modernization Program (KEMP) through Credit and Grant No 5587-KE. Review of the Project Agreement revealed that the Bank had committed a credit financing of Kshs.80,000,000,000. As at 30 June, 2024, the Bank had disbursed grants totalling Kshs. 15,996,633,000 and Kshs.9,273,038,000 under the credit. However, since inception of the project in 2015, Management have not prepared and submitted financial statements for the project to the Auditor-General for audit as required under Clause 90.3 (1) of the subsidiary loan agreement between the Government of Kenya and The Kenya Power and Lighting Company PLC dated 29 July, 2015.

In the circumstances, Management was in breach of the financing agreement.

The audit was conducted in accordance with ISSAIs 3000 and 4000. The standards requires that I comply with ethical requirements and plan and perform the audit to obtain assurance about whether the activities, financial transactions and information reflected in the financial statements comply, in all material respects, with the authorities that govern them. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my conclusion.

REPORT ON THE EFFECTIVENESS OF INTERNAL CONTROLS, RISK MANAGEMENT AND GOVERNANCE

Conclusion

As required by Section 7(1)(a) of the Public Audit Act, 2015 and based on the audit procedures performed, except for the matters described in the Basis for Conclusion on the Effectiveness of Internal Controls, Risk Management and Governance section of my report, I confirm that nothing else has come to my attention to cause me to believe that internal controls, risk management and governance were not effective.

Basis for Conclusion

1. Long Outstanding Receivables from Government Entities

The statement of financial position reflects current trade and other receivables amounting to Kshs.58,532,338,000. As disclosed in Note 21(b) to the financial statements, the balance is net of gross receivables and provisions totalling Kshs.86,373,208,000 and Kshs.28,573,863,000 respectively. Included in the current trade and other receivables balance is an amount of Kshs.5,267,438,169 due from fiber optic sales, Last Mile Connectivity program and commercial customers which have been long outstanding. Management efforts to recover the amounts have been unsuccessful.

Similarly, the trade and other receivables balance includes an amount of Kshs.36,903,084,935 in respect of receivables from National and County Government entities which had been long outstanding as detailed below:

- i. Receivables totalling Kshs.30,734,578,000 was in respect of Rural Electrification Scheme (RES) which the Company administers on behalf of the Government of Kenya. Management indicated that Rural Electrification Scheme (RES) is funded by the National Government and implemented by the Company on behalf of the Ministry of Energy and Petroleum (MOEP). The Schemes of RES are considered sub-economic, given that their operational and maintenance costs exceed their revenue, and it was agreed that the Government will reimburse the Company any deficit arising from the Scheme. The resultant accumulated deficit is recoverable from the Government of Kenya (GOK) as stipulated in the 1973 Mercado agreement signed between KPLC and the GOK through the MOEP. As at 30 June, 2024, no reimbursement had been made to cover the deficits despite a cabinet resolution to disburse Kshs.16,400,000,000 to settle the RES losses,
- ii. The receivables balance includes an amount of Kshs.158,393,000 due from the Ministry of Energy and Petroleum, Kenya Electricity Generating Company PLC (KenGen), Geothermal Development Company (GDC), Rural Electrification and Renewable Energy Corporation (REREC), Energy and Petroleum Regulatory Authority (EPRA) and Nuclear Power and Energy Agency (NuPEA), had been outstanding since 2015. The amount relates to media campaigns executed in November, 2014 through electronic, print, and online media to gauge demand for 5000+ MW from existing and potential investors as was directed by the then Cabinet Secretary for Ministry of Energy and Petroleum. Records at the Company indicate that the Ministry of Energy and Petroleum and its parastatals had agreed to share the costs of the integrated media advertising for

investors' power plan data gathering campaign. However, no evidence was provided to show how the Company ended up paying all the costs on behalf of the other entities.

- iii. The receivables balance includes Kshs.4,040,767,301 in respect of unpaid electricity bills from the forty-seven (47) County Governments which continue to accumulate. Management did not demonstrate efforts made to recover the amount. In addition, Kshs.74,402,114 in respect of street lighting maintenance costs was due from several County Governments for works done in the years 2016 and 2017. Management efforts to recover the amounts have not yielded results.

In the circumstances, the existence and effectiveness on controls on revenue collection from various Government and commercial entities could not be confirmed.

2. Outstanding Rent

The statements of financial position and as disclosed in Note 21(b) to the financial statements reflects net current trade and other receivables balance of Kshs.58,532,339,006. Included in the balance is an amount of Kshs.13,907,730 due from thirty-eight (38) tenants that leased the Company premises in Mombasa. However, the tenants have since vacated the premises without settling the outstanding rents, with some of the debts dating back to eight (8) years. Management did not provide measures put in place to recover the outstanding rents.

In the circumstances, the existence and effectiveness on controls on revenue collection could not be confirmed.

3. Delays in Completion of Customer Electricity Connection Projects

The statement of financial position and as disclosed in Note 16 to the financial statements reflects work in progress balance of Kshs.20,000,201,000. Included in the balance are projects for which customers had paid a total of Kshs.12,323,601,525 for electricity connections. Review of a list of the works revealed that two thousand, two hundred and two (2,202) projects with a total capital contribution of Kshs.147,722,976 paid for by customers were yet to start. This denied the customers electricity supply and at the same time denied the Company revenues. This was contrary to the Company's Customer Charter on connection of electricity which provides for timelines within which electricity connection for customers are to be carried out depending on the type of connection ranging from seven (7) days to twenty-eight (28) days. Management attributes the delays in completion of projects to non-availability of materials, wayleaves acquisition challenges leading to re-design, abandonment of projects by customers, premises not ready for connections and customer requests for refunds or transfers to other sites.

In the circumstances, the effectiveness of controls in place to monitor customer connections could not be confirmed.

4. Weaknesses in Project Management

Review of the project management practices and work in progress records at the Company as at 30 June, 2024 revealed significant delays in the execution of projects. For instance, ten thousand and seventy-eight (10,078) projects with a cost of

Kshs 2,689,291,582 were behind their respective execution schedules having been outstanding for a period ranging from two (2) to fifteen (15) years. In addition, the Company lacked a robust project management framework, including regular progress monitoring, root cause analysis for delays, and corrective action plans. Management indicated that the projects are at different levels of execution and delays are occasioned by lack of materials in prior years preceding the year under review.

In the circumstances, the customers may not have realized value for money spent on the projects and the objectives of the projects may not be achieved.

5. Weaknesses in Electricity Consumption Billings

The statement of profit or loss and other comprehensive income reflects revenue from contracts with customers amounting to Kshs 231,123,597,000. As disclosed in Note 7(a) to the financial statements, the revenue relates to electricity sales on post-paid and prepaid metering. Review of the billing systems revealed the following weaknesses and anomalies:

- i. Analysis of the customer billing data revealed that ninety-nine thousand nine hundred and seventy-five (99,975) customer accounts, were billed a total Kshs 649,364,841 based on estimated consumption for more than three (3) consecutive months. No corrective actions had been taken as provided for in Paragraph 6.3 of the Company's Operating Procedures on handling consecutive estimates, which requires corrective measures to be taken after three (3) consecutive months of bill estimation. Additionally, 11,735 customer accounts had zero estimates for the entire year despite the accounts remaining active. The foregoing indicates lack of oversight and adequate systems and controls within the billing department, which failed to trigger the required corrective actions and reporting mechanisms as stipulated in the Company's procedures;
- ii. A comparative analysis of post-pay meters and billing of customers revealed that 8,359 customer accounts which were active as at 30 June, 2024 were not billed. This was an indication of control weakness in the billing and reconciliation process, insufficient monitoring and automation of billing procedures.
- iii. During the year under review, a total of 100,748,518 units billed to customers for electricity consumption equivalent to Kshs 2,469,582,303 remained unpaid. The amount includes 93,764 units attributed to active and vending meters with a consumption of Kshs 1,357,861,643. Reasons for non-payment and measures taken by Management to collect the unpaid amount were not confirmed.
- iv. Review of the receivables revealed an amount of Kshs 5,474,313,031 due from postpaid customers whose accounts were terminated for non-payment of bills with some dating back to over twenty (20) years ago. However, meter numbers for the terminated accounts had been reassigned to new customers without reconciliation of the outstanding balances. Reassignment of the meter numbers increases the risk of loss of revenue arising from untracking of terminated accounts.

In the circumstances, the adequacy and effectiveness of controls for customer connections and billing could not be confirmed.

6. Network inefficiencies

6.1 Power Losses

The statement of profit or loss and other comprehensive income reflects revenue from contracts with customers amounting to Kshs.231,123,597,000. As disclosed in Note 7(a) to the financial statements, the revenue includes electricity sales amounting to Kshs.150,969,121,000 and Kshs.34,297,848,000 in respect of postpaid and prepaid electricity sales respectively. Review of units of electricity purchased against units sold revealed a total of 13,684 in gigawatt-hours (GWh) purchased from power producers out of which 10,518 GWh were sold to customers resulting in energy losses of 3,168 GWh or 23.16%. The industry regulator, Energy and Petroleum Regulatory Authority (EPRA) approved for the Company to recover from consumers system losses of up to 19.5% that is deemed to be normal loss. The excess of 3.68% power loss above the allowed loss constitutes inefficiency power loss which is borne by the Company thus increasing operating costs.

In addition, review of the power transmission data revealed that the losses occurred in the distribution and transmission networks. However, KPLC does not break down losses arising from those networks which, if accurately determined, can be attributed and borne by respective distribution schemes under the Rural Electrification and Renewable Energy Corporation (REREC) and the Kenya Transmission Company Limited (KETRACO).

In the circumstances, effectiveness and efficiency in the pricing of the power supply could not be ascertained.

6.2 Instabilities in the Power Supply Network

The Company uses System Average Interruption Frequency Index (SAIFI) to measure average number power supply of interruptions a customer experiences over a specific period, with lower values indicating better performance. During the year under review, the actual SAIFI was 47.54, which significantly exceeded a set annual target of 32 in the Company's Strategic Plan. The significantly high interruptions index indicates inefficiencies in the Company's power distribution network.

In the circumstances, the effectiveness of measures implemented to mitigate against power supply interruptions could not be confirmed.

7. Weaknesses in Management of Risks

During the year under review, Management identified several fraud incidences through internal processes comprising of internal audit assessment and voluntary reporting from employees and customers. The identified risks were referred to the Security Department for investigations. Review of the status of the incidences reported and investigations undertaken during the year revealed the following weaknesses.

- i. As at the time of conclusion of the audit in September, 2024, Management was yet to fully implement recommendations of investigations, especially those requiring putting in place measures to prevent reoccurrence of similar fraud schemes.
- ii. An internal investigation into alleged theft of generation fuel at off-grid stations in Turkana County conducted during the year under review revealed that between October, 2021 and December, 2023, a total of 1,183,583 litres of diesel valued at Kshs 207,653,022 could not be accounted for. Several employees, security guards and fuel tanker drivers were found culpable. The investigation report recommended that investigation be expanded to other Counties with off-grid stations given that the same tanker drivers were supplying the other regions. Additionally, a demand letter was sent to the supplier for compensation of the lost fuel. However, as at the time of conclusion of the Audit in September, 2024, no documents were provided indicating commencement of the investigation to other stations. Measures taken against the security company and the transporter as well as the response to the demand letter to the supplier were provided for verification.
- iii. Similarly, an internal investigation was conducted into alleged misappropriation of meters in Central Rift region in 2022/2023 financial year. Several employees were implicated in irregular issuance of meters and unauthorised meter separation which occasioned an estimated loss of Kshs 17,475,000. However, Management did not provide evidence of measures put in place to prevent similar occurrences as well as ascertaining prevalence of the scheme in other regions.
- iv. Reported fraud incidents were referred to the Security Department where they would be reviewed and recommended for investigation or any appropriate action. However, the outcome of some of the investigations were not shared to the Internal Audit Department. As a result, the Internal Audit Department and the Board Audit Committee were not able to track implementation of recommendations arising from the investigations.

In the circumstances, the adequacy, effectiveness, and oversight of controls on fraud risks could not be confirmed.

The audit was conducted in accordance with ISSAI 2315 and ISSAI 2330. The standards require that I plan and perform the audit to obtain assurance about whether effective processes and systems of internal controls, risk management and overall governance were operating effectively, in all material respects. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my conclusion.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

Conclusion

As required by the Companies Act, I report based on my audit that I have obtained all the information and explanations which to the best of my knowledge and belief, were necessary for the purpose of the audit. In my opinion, I confirm that:

- i. Information given in the Directors' report on pages 67 to 68 is consistent with the financial statements; and
- ii. The auditable part of the Directors' remuneration report on pages 69 to 71 has been properly prepared in accordance with the Companies Act, 2015.

The Companies Act, 2015 requires that I report on the legal or regulatory requirements, or on performance information disclosed. These matters require expressing a separate opinion as to the Company's compliance with laws and regulations. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my conclusion.

Responsibilities of Management and the Board of Directors

Management is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and for maintaining effective internal controls as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error and for its assessment of the effectiveness of internal controls, risk management and governance.

In preparing the financial statements, Management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Management is aware of the intention to cease operations.

Management is also responsible for the submission of the financial statements to the Auditor-General in accordance with the provisions of Section 47 of the Public Audit Act, 2015.

In addition to the responsibility for the preparation and presentation of the financial statements described above, Management is also responsible for ensuring that the activities, financial transactions and information reflected in the financial statements comply with the authorities which govern them and that public resources are applied in an effective way.

The Board of Directors is responsible for overseeing the Company's financial reporting process, reviewing the effectiveness of how Management monitors compliance with relevant legislative and regulatory requirements, ensuring that effective processes and systems are in place to address key roles and responsibilities in relation to governance and risk management, and ensuring the adequacy and effectiveness of the control environment.

Auditor-General's Responsibilities for the Audit

My responsibility is to conduct an audit of the financial statements in accordance with Article 229(4) of the Constitution, Section 35 of the Public Audit Act, 2015 and the INTOSAI Framework of Professional Pronouncements (IFPP). The Framework requires that, in conducting the audit, I obtain reasonable assurance about whether the financial statements as a whole are free from material misstatements, whether due to fraud or error

and to issue an auditor's report that includes my opinion in accordance with Section 48 of the Public Audit Act, 2015. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with IFPP will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

In conducting the audit, Article 229(6) of the Constitution also requires that I express a conclusion on whether or not in all material respects, the activities, financial transactions and information reflected in the financial statements are in compliance with the authorities that govern them and that public resources are applied in an effective way. In addition, I also consider the entity's control environment in order to give an assurance on the effectiveness of internal controls, risk management and governance processes and systems in accordance with the provisions of Section 7 (1) (a) of the Public Audit Act, 2015.

Further, I am required to submit the audit report in accordance with Article 229(7) of the Constitution.

Detailed description of my responsibilities for the audit is located at the Office of the Auditor-General's website at <https://www.oagkenya.go.ke/auditor-generals-responsibilities-for-audit/>. This description forms part of my auditor's report.


FCPA Nancy Githungu, CBS
AUDITOR-GENERAL

Nairobi

28 October, 2024

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR
ENDED 30 JUNE 2024

	Notes	2024 Shs'000	2023 Shs'000
Revenue from contracts with customers	7(a)	251,133,367	190,874,354
Cost of sales	8	(152,555,308)	(142,575,570)
Gross profit		98,578,059	47,298,784
Net operating expenses			
Network management	8(a)	(22,872,820)	(20,884,398)
Commercial services	8(b)	(5,398,218)	(2,878,823)
Administration	8(c)	(18,170,313)	(11,288,611)
Expected credit losses on financial assets	9(d)	(1,178,488)	(2,371,088)
		(47,520,439)	(37,423,920)
Operating income		54,259,754	10,111,807
Other income	7(c)	7,249,321	3,395,818
Operating profit		61,489,075	13,513,428
Finance income	11(a)	1,483,556	505,640
Finance costs	11(b)	642,758	(24,153,920)
Profit (Loss) before income tax		43,689,873	(4,432,856)
Income tax (expense)/credit	13(a)	(13,585,858)	1,249,677
Profit for the year		30,080,378	(3,183,179)
Basic and diluted earnings per share (KSh)	14	15.41	(1.54)
Profit (Loss) for the year		30,080,378	(3,183,179)
Other comprehensive income			
Items that will not or subsequently reclassified to profit or loss			
Remeasurement of the retirement benefit asset	32	495,042	538,302
Remeasurement of the gratuity arrangement	33(a)	83,456	36,883
Deferred income tax relating to remeasurement of the retirement benefit asset and gratuity arrangement	27	(167,351)	(172,523)
Other comprehensive income, net of taxes		390,957	392,552
Total comprehensive income for the year		30,471,335	(2,790,627)

THE KENTA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2024

ASSETS	Notes	2024 Shw'000	2023 Shw'000
Non-current assets			
Property and equipment	16	275,774,633	267,674,460
Leasehold land	17	654,058	655,694
Intangible assets	18	2,012,505	1,864,123
Retirement benefit asset	32	734,307	1,116,536
Right of use asset	19	683,787	862,762
Trade and other receivables	21(a)	160,480	380,102
		<u>280,059,667</u>	<u>272,693,715</u>
Current assets			
Inventories	20	9,249,406	8,072,565
Trade and other receivables	21(b)	58,532,339	58,737,372
Current income tax	13(c)		
Short-term deposits	22(a)	543,100	591,065
Bank and cash balances	22(b)	9,721,867	12,730,146
		<u>78,086,512</u>	<u>81,041,567</u>
TOTAL ASSETS		<u>358,086,185</u>	<u>353,725,272</u>
EQUITY AND LIABILITIES			
Equity attributable to owners			
Ordinary share capital	23	4,878,667	4,878,667
Share premium	24	22,021,219	22,021,219
Retained earnings	25	60,414,278	28,942,955
TOTAL EQUITY		87,314,162	55,842,841
Non-current liabilities			
Deferred income tax	27	37,523,737	27,217,478
Deferred income	26	15,700,478	12,775,248
Trade and other payables	28(a)	29,704,173	28,082,883
Lease liabilities	29	410,341	651,882
Borrowings	30	61,885,385	94,438,542
Preference shares	31	43,000	43,000
		<u>195,277,619</u>	<u>194,608,943</u>
Current liabilities			
Trade and other payables	28(b)	80,339,230	115,564,922
Deferred income	26	3,540,546	4,277,426
Current income tax	13(c)	2,801,362	12,126
Provisions	33	855,162	658,540
Lease liabilities	29	230,844	309,658
Borrowings	30	15,619,134	20,951,156
Dividends payable	34	746,189	751,812
		<u>105,494,419</u>	<u>132,275,488</u>
TOTAL EQUITY AND LIABILITIES		<u>358,086,185</u>	<u>353,725,272</u>

The financial statements on pages 75 to 157 were approved and authorised for issue by the Board of Directors on 25th October 2024 and were signed on its behalf by:



Joy Brenda Masinde
Chairman, Board



CPA Dr. Calet B. Manyaga
Chairman, Audit Committee



Dr. Eric Joseph Gitui
Managing Director & CEO

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30 JUNE 2024

	Ordinary share capital (Note 23) Shs'000	Share premium (Note 24) Shs'000	Retained earnings (Note 25) Shs'000	Total Shs'000
Year ended 30 June 2023				
Balance at 1 July 2022	4,878,667	22,021,219	32,733,582	62,633,468
Profit for the year	-	-	(3,193,179)	(3,193,179)
Other comprehensive income	-	-	402,552	402,552
Total comprehensive income for the year	-	-	(2,790,627)	(2,790,627)
At 30 June 2023	4,878,667	22,021,219	29,942,955	56,842,841
Year ended 30 June 2024				
Balance at 1 July 2023	4,878,667	22,021,219	29,942,955	56,842,841
Profit for the year	-	-	30,080,370	30,080,370
Other comprehensive income	-	-	300,951	300,951
Total comprehensive income for the year	-	-	30,471,321	30,471,321
At 30 June 2024	4,878,667	22,021,219	60,414,276	87,314,162

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30 JUNE 2024

		2024	2023
	Notes	Shs '000	Shs '000
Cash flows from operating activities			
Cash generated from operations	35(a)	32,581,946	37,544,511
Income tax paid	13(c)	(557,725)	(137,470)
Interest received	35(g)	1,525,722	466,238
Gratuity paid	33(c)	(457,208)	(248,043)
Repayment of interest portion of lease liabilities	28	(76,813)	(102,983)
Interest paid	35(e)	<u>(4,801,705)</u>	<u>(4,873,487)</u>
Net cash flows generated from operating activities		26,374,215	32,651,786
Cash flows from investing activities			
Purchase of property and equipment	36(i)	(24,382,155)	(12,300,538)
Purchase of intangible assets	18	(557,378)	(1,519,868)
Prepayment of lease relating to leasehold land	17	-	(75,870)
Proceeds from disposal of property and equipment	36(d)	<u>192,123</u>	<u>233,130</u>
Net cash flows used in investing activities		(24,037,410)	(13,732,946)
Cash flows from financing activities			
Repayment of borrowings	36(i)	(10,982,641)	(10,625,802)
Proceeds from borrowings	36(i)	81,452	2,354,969
Repayment of principal portion of lease liabilities	29	(302,384)	(318,748)
Dividends paid to owners of the Company	36(f)	<u>(5,352)</u>	<u>(8,488)</u>
Net cash flows used in financing activities		(11,208,325)	(8,593,049)
Net increase in cash and cash equivalents		<u>(7,671,520)</u>	<u>10,258,771</u>
Cash and cash equivalents at the beginning of year		18,430,616	6,081,288
Effect of foreign exchange rate changes on cash and cash equivalents		<u>(405,647)</u>	<u>50,572</u>
Cash and cash equivalents at end of year	36(c)	<u>10,353,449</u>	<u>16,430,638</u>

NOTES TO THE FINANCIAL STATEMENTS

1. GENERAL INFORMATION

The Kenya Power and Lighting Company Plc, a public company domiciled in the Republic of Kenya, was incorporated on 8 January 1922, as East Africa Power & Lighting Limited. The Company changed its name on 11 October 1983. The core business of the Company continues to be the transmission, distribution and retail of electricity purchased in bulk from Kenya Electricity Generating Company Plc (KenGen), Independent Power Producers (IPPs), Uganda Electricity Transmission Company Limited (UETCL) and Tanzania Electric Supply Company Limited (TANESCO). The shares of the Company are listed on the Nairobi Securities Exchange. The Government of Kenya is the principal shareholder in the Company holding a 50.1% equity interest.

The address of the Company's registered office is as follows:

Staria Plaza
Kolobot Road, Parklands
P.O. Box 30089 - 00100, Nairobi

2. BASIS OF PREPARATION

The financial statements are prepared on a going concern basis and in compliance with International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board and the requirements of the Kenyan Companies Act, 2015. They are presented in Kenya Shillings, which is also the functional currency (see Note 3(i) below), rounded to the nearest thousand (Shs000), except where otherwise indicated.

The financial statements comprise a profit and loss account (statement of profit or loss and other comprehensive income), balance sheet (statement of financial position), statement of changes in equity, statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognised in the profit or loss section of the statement of profit or loss and other comprehensive income. Other comprehensive income is recognised in the other comprehensive income section of the statement of profit or loss and other comprehensive income and comprises items of income and expense (including reclassification adjustments) that are not recognised in the profit and loss account as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to the profit and loss account in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognised in the statement of changes in equity.

(a) Going concern assessment

The Company recorded a profit before tax of KShs 41,666 Million for the year ended 30 June 2024 compared to a loss before tax of KShs 4,434 Million the previous year, an increase of KShs 46,100 Million. The improved performance is attributable to decrease in finance cost by KShs 24,87 Million as a result of significant appreciation of the Kenya Shilling against major world currencies. Electricity sales increased by 3% to 9,855GWh, and the revenue improved by 21% to KShs. 231 Billion. The growth in revenue was supported by the increased sales and the approval of the electricity retail tariff review application by the regulator which was effected in April 2023.

The Company's working capital position continued to improve during the period under review. The negative working capital improved from a low of Ksh 74,849 Million to Ksh 27,435 Million as shown is the improvement path of the over the past 5 years.

	2020	2021	2022	2023	2024
	KSH M	KSH M	KSH M	KSH M	KSH M
Net Working Capital	(74,845)	(55,851)	(55,429)	(51,234)	(27,439)

This positive trend reflects the Company's ongoing commitment to optimizing its financial resources and enhancing its overall financial performance.

The Company launched its Five Year Strategic Plan aimed at redefining our operational paradigm to ensure reliability and efficiency of power distribution and explore new avenues of growth geared at improving the financial results of the Company going forward. The key focus area in the strategy will be improving cash flows, enhancing cost management across all business operations, and ensuring the Company's financial sustainability. To achieve this, the Company will continue to deploy initiatives that are aimed at boosting sales, optimizing revenue collection, balance sheet restructuring, new financing options and revenue diversification.

Preparation of financial statements on a going concern basis

Despite the challenging operating environment, the Company has made significant strides in improving its financial performance as evidenced by the increased sales revenue and the improving working capital position. These coupled with the new approved tariff and the initiatives highlighted above will strengthen the Company's financial position and improve its performance.

The Board of Directors and management are confident that the foregoing initiatives will drive financial turnaround and enhance business sustainability, and wish to assure all stakeholders of their commitment to the stated initiatives that will ensure business continuity and excellence in the delivery of services to our customers.

Based on the above, the directors consider it appropriate to prepare the financial statements on going concern basis.

(b) Changes in accounting policy and disclosures

(i) New and amended standards and interpretations in issue and effective in the year ended 30 June 2024.

Title	Description	Effective Date
Amendments to IAS 1 titled Classification of Liabilities as Current or Non-current (issued in January 2020, amended in October 2022)	The amendments, applicable to annual periods beginning on or after 1st January 2024, clarify a criterion in IAS 1 for classifying a liability as non-current: the requirement for an entity to have the right to defer settlement of the liability for at least 12 months after the reporting period.	The amendments are effective for annual periods beginning on or after January 1, 2024. Earlier application is permitted.
Amendment to IFRS 16 titled Lease Liability in a Sale and Leaseback (issued in September 2022)	The amendment, applicable to annual periods beginning on or after 1st January 2024, requires a seller-lessee to subsequently measure lease liabilities arising from a leaseback in a way that it does not recognise any amount of the gain or loss.	The amendments are effective for annual periods beginning on or after January 1, 2024. Earlier application is permitted.
Amendments to IAS 1 titled Non-current Liabilities with Covenants (issued in October 2022)	The amendments, applicable to annual periods beginning on or after 1st January 2024, improve the information an entity provides about liabilities arising from loan arrangements for which an entity's right to defer settlement of those liabilities for at least twelve months after the reporting period is subject to the entity complying with conditions specified in the loan arrangement.	The amendments are effective for annual periods beginning on or after January 1, 2024. Earlier application is permitted.

The Directors have assessed the applicable standards and amendments. Based on their assessment of impact of application of the above, they do not expect that there will be a significant impact on the company's financial statements.

(ii) New and amended standards and interpretations in issue but not yet effective in the year ended 30 June 2024.

The standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Company's financial statements are listed below. The Company intends to adopt these standards, if applicable, when they become effective:

Title	Description	Effective Date
IFRS 18 Presentation and Disclosure in Financial statements	The objective of IFRS 18 is to set out requirements for the presentation and disclosure of information in general purpose financial statements (financial statements) to help ensure they provide relevant information that faithfully represents an entity's assets, liabilities, equity, income and expenses.	The new standard is effective for annual periods beginning on or after January 1, 2027. Earlier application is permitted.

None of the standards and interpretations listed above are expected to have a significant impact on the Company's financial statements when they become effective.

(iii) Early adoption of standards

The Entity did not early – adopt any new or amended standards in the financial year.

3. SIGNIFICANT ACCOUNTING POLICIES

(a) Revenue

(i) Electricity sales

The Company's contracts with domestic business and other electricity consumers covers the sale of electricity, with a performance obligation on the Company to supply electricity to the customer. The transaction price depends on the customer tariff category as determined by the Energy and Petroleum Regulatory Authority (EPRA). The revenue is recognised based on the fees chargeable from the customer. If automated meter reading is not available, the electricity consumption between the last meter reading and end of the month is estimated.

Electricity sales revenue is recognised when customers on post-paid metering are billed for the power consumed. The billing is done for each monthly billing cycle based on the units consumed as read on the customers' electricity meters and the approved consumer tariffs. Uncollected revenue is included in electricity receivables, net of provision for expected credit losses, to the extent that it is considered recoverable. Electricity sales revenue for customers on prepaid metering is recognised when customers purchase electricity units and then adjusted for the estimated amount of unconsumed power based on the consumption rate over a period of time.

(ii) Fuel cost charge

The Company recognises revenue relating to fuel costs recoveries in the month of approval by the Energy and Petroleum Regulatory Authority (EPRA). The billing to customers is based on their individual consumption in the month and applied as a charge per KWh. Fuel costs recoveries comprise the actual amounts billed to the customers.

(iii) Foreign exchange adjustment

Exchange variations on payments for foreign currency denominated obligations, arising from exchange rate differences beyond the approved rate as factored in the retail tariffs, are recognised and charged or refunded to the consumers of electricity to recover/credit the losses/gains in the foreign exchange rates. The net foreign currency losses/gains are passed on to the customers as a charge per KWh, which is approved each month by the EPRA.

The recovery of fuel costs and the foreign exchange costs is based on supplier invoices and factors in the Regulator's target loss factor in transmission and distribution. For the year ended 30 June 2024, the target loss factor was 18.5% (2023: 19.5%).

(iv) Deferred revenue

The Company has used a weighted average approach to determine the amount of revenue to defer and recognise in the subsequent period(s).

Historical value of transactions and the current month's value of transactions is obtained over each day of the current month.

The historical data is then used to obtain the average number of tickets purchased in a month that is to be applied to the current month's (June 2024) data to obtain the revenue to be deferred.

(h) Other income

(i) Finance revenue

Finance revenue comprises interest receivable from bank and other deposits. Finance revenue is recognised as it accrues in profit or loss, using the effective interest method.

(ii) Rental income

Rental income is recognised on the straight-line basis over the lease term.

(iii) Capital contribution

When the connection provides the customer with a material right to supply of electricity, the connection is allocated to deferred income (contract liabilities) when the customer is connected to the electricity network. The deferred income is recognised in profit or loss within revenue on a straight-line basis over the estimated customer liferelationship period of 5 years as the connection provides the customer with a material right of renewal that extends the revenue recognition period beyond the initial contractual period. A period of 5 years was determined after considering, inter alia, assumptions about the life cycle of the distribution network used to supply electricity to customers.

(iv) Fibre optic income

This represents income from the lease of Company fibre optic cable lines to third parties. The revenue from fibre optic leases is recognised on a straight-line basis over the lease term.

(c) Power purchase costs

Power purchase costs are recognised at the actual amounts charged to the Company by the suppliers of power. These comprise:

(i) Non-fuel costs

These include capacity charges, energy cost and steam charges.

(ii) Foreign exchange costs

These relate to the net foreign currency losses incurred by Kenya Electricity Generating Company Plc (KenGen) which are charged to the Company in accordance with the Power Purchase Agreements (PPAs) and the net foreign currency losses incurred by the Company in the settlement of foreign currency denominated invoices from independent power producers (IPPs).

(iii) Fuel costs

These comprise the cost of fuel incurred in the generation of electricity as invoiced by electricity generators.

The recharge of power purchase costs relating to customers under the Rural Electrification Scheme (RES) is covered in Note 3 (s).

(d) Inventories

Inventories are stated at the lower of cost and net realisable value after due regard for obsolete and slow-moving stocks. The cost of inventories comprises purchase price, import duties, transport and handling charges and is determined on a weighted average price. Net realisable value is the price at which the inventory can be realised in the normal course of business after allowing for the costs of realisation.

(e) Property and equipment

All property and equipment are stated at cost less accumulated depreciation and accumulated impairment losses. Such cost includes the cost of replacing part of the property and equipment when that cost is incurred, if the recognition criteria are met. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the property and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in profit or loss as incurred.

No depreciation is charged on freehold land. Leasehold land parcels have a finite useful life. The Company amortises the cost of leasehold land over the duration of the lease term. Depreciation on other assets is calculated to write down their cost to their residual values, on a straight-line basis, over their expected useful lives. The depreciation rates used are as follows:

Buildings	The greater of 2% and 1/10th the unexpired period of the lease
Transmission and distribution lines	2.5 – 20%
Machinery	2.85 – 9.66%
Motor vehicles & aircrafts	25%
Furniture, equipment and fittings	5.66 – 20%
Computers and photocopiers	30%

The assets' residual values, estimated useful lives and methods of depreciation are reviewed at the end of each reporting period with the effect of any changes in estimate accounted for prospectively. An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising from the recognition of an item of property and equipment (calculated as the difference between the net disposal proceeds and the carrying amount of the asset at the disposal date) is included in profit or loss for the year. This does not apply to assets acquired by the Company on sale and leaseback transactions.

Properties in the course of construction for production, supply or administrative purposes are carried at cost less any recognised impairment loss. Cost includes professional fees and for qualifying assets, borrowing costs capitalised in accordance with the Company's accounting policy. Such properties are classified to the appropriate categories of property and equipment when completed and ready for intended use. Depreciation of these assets, on the same basis as other property assets, commences when the assets are ready for their intended use.

At the end of each accounting period, the Company conducts impairment tests where there are indications of impairment of an asset.

Capital work in progress

Capital work-in-progress is included under property and equipment and comprises costs incurred on ongoing capital works relating to both customer and internal works. These costs include material, transport and labour cost incurred.

(f) Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The company's intangible assets currently include software with both finite and indefinite useful lives. Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for the Company's intangible assets are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the profit or loss in the expense category consistent with the function of the intangible asset.

Software with indefinite useful lives is not amortised but is reviewed periodically to assess whether the indefinite life classification remains appropriate. If it is determined that the useful life is no longer indefinite, the reclassification to a finite life will be treated as a change in accounting estimate and amortised accordingly.

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from unforeseeable changes of such intangible assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss when the asset is derecognised.

(g) Income tax expense

Income tax expense represents the sum of the tax currently payable and deferred income tax.

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the profit or loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Deferred income tax

Deferred income tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred income tax liabilities are generally recognised for all taxable temporary differences. Deferred income tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred income tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other

then in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

The carrying amounts of deferred income tax assets are reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred income tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Current and deferred income tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

(h) Leases

A contract is or contains a lease if it conveys the right to control the use of an identifiable asset for a period of time in exchange for a consideration.

Company as a lessee

For a contract that contains a lease component and additional lease and non-lease components such as the lease of an asset and provision of a maintenance services, the Company shall allocate the consideration payable on the basis of the relative stand-alone prices, which shall be estimated if observable prices are not readily available.

The Company recognises a right-of-use asset and a lease liability at the lease commencement date. These two items will be separately disclosed on the statement of financial position.

The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability plus any initial direct costs and adjusted for any lease incentives, payments at or prior to commencement of the lease and restoration obligations.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term.

The Lease liability is initially measured at the present value of the lease payments payable over the lease term discounted using the incremental borrowing rate. The incremental borrowing rate is the rate the Company would have to borrow funds necessary (over similar term, with similar security), to obtain similar value asset, in similar economic environment.

The lease liability is subsequently remeasured to reflect changes in the lease term, the assessment of a purchase option, the amounts expected to be payable under residual value guarantees or future lease payments resulting from a change in an index or a rate used to determine those payments.

Company as a lessor

When the Company acts as a lessor, it determines at lease inception whether the lease is a finance lease or an operating lease. Leases where the Company does not transfer substantially all the risks and benefits of ownership of the asset are classified as operating leases.

The Company recognises operating lease payments as income on a straight-line basis.

(i) Functional currency

The financial statements are presented in Kenya Shillings (Shs), which is the Company's Functional and Presentation currency. Transactions in foreign currencies are initially recorded at the Functional Currency rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the Functional Currency rate of exchange ruling at the reporting date. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with in the statement profit or loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

(j) Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

The Company adopted IFRS 9 Financial Instruments with a date of transition of 1 July 2018.

The Company classifies its financial assets into the 'amortised cost' classification category based on the cash flow characteristics of the asset and the business model assessment. All financial liabilities are classified as subsequently measured at amortised cost.

This is demonstrated in the following table:

<i>Description of financial asset/financial liability</i>	<i>IFRS 9 Classification</i>
Short-term deposits (Note 22 (a))	Amortised cost
Cash and bank balances (Note 22 (b))	Amortised cost
Overdraft (Note 22(b))	Amortised cost
Trade and other receivables (Note 21 (a) and (b))	Amortised cost
Lease liabilities (Note 29)	Amortised cost
Borrowings (Note 30)	Amortised cost
Dividends payable (Note 34)	Amortised cost
Trade and other payables (Note 26 (a) and (b))	Amortised cost
Preference shares (Note 31)	Amortised cost

Financial assets

Classification and measurement

The Company recognises financial assets when it becomes a party to the contractual rights and obligations in the contract.

The classification requirements for debt instruments are described below.

Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Company assesses whether the financial instruments' cash flows represent solely payments of principal and interest (the 'SPPI test'). In making this assessment, the entity considers whether the contractual cash flows are consistent with a basic lending arrangement, (i.e. interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

Subsequent measurement

Based on the business model and the cash flow characteristics, the Company classifies its debt instruments into amortised cost or fair value categories for financial instruments. Movements in fair value are presented in either profit or loss or other comprehensive income (OCI), subject to certain criteria being met.

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

Financial assets at amortised cost (debt instruments)

This category is the most relevant to the Company. The Company measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows, and,
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

Trade receivables are amounts due from customers for electricity supplied. If collection is expected in one year or less, they are classified as current assets. If not, they are presented as non-current assets.

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method less provision for impairment. A provision for impairment of receivables is established using an ECL model in line with the requirements of IFRS 9 as outlined in the next section below. The amount of the provision is the difference between the carrying amount and the present value of estimated future cash flows, discounted at the effective interest rate. The amount of the provision is charged to profit or loss.

Financial assets at fair value through OCI (debt instruments)

The Company measures debt instruments at fair value through OCI if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows, and,
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

For debt instruments at fair value through OCI, interest income, foreign exchange revaluation and impairment losses or reversals are recognised in profit or loss and computed in the same manner as for financial assets measured at amortised cost. The remaining fair value changes are recognised in OCI. Upon derecognition, the cumulative fair value change recognised in OCI is recycled to profit or loss.

The Company does not have any financial assets classified as debt instruments at fair value through OCI.

Financial assets designated at fair value through OCI (equity instruments)

Upon initial recognition, the Company can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they meet the definition of equity under IAS 32 Financial Instruments: Presentation and are not held for trading. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognised as other income in the statement of profit or loss when the right of payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at fair value through OCI are not subject to impairment assessment.

The Company does not have any financial assets classified as equity instruments at fair value through OCI.

Financial assets at fair value through profit or loss

This includes financial assets held for trading, financial assets designated upon initial recognition at fair value through profit or loss, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments.

Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at fair value through profit or loss, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at amortised cost or at fair value through OCI, as described above, debt instruments may be designated at fair value through profit or loss on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

Financial assets at fair value through profit or loss are carried in the statement of financial position at fair value with net changes in fair value recognised in profit or loss.

The Company does not have any financial assets classified under this category.

Derecognition of financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e., removed from the Company's statement of financial position) when:

- The rights to receive cash flows from the asset have expired; Or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognise the transferred asset to the extent of its continuing involvement. In that case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

Impairment of financial assets

The Company assesses, on a forward-looking basis, the expected credit loss ("ECL") associated with its debt instrument assets carried at amortised cost and FVOCI. The Company recognises a loss allowance for such losses at each reporting date.

The amount of expected credit losses is updated at each reporting date to reflect changes in credit risk since initial recognition of the respective financial instrument.

The Company always recognises lifetime ECL for trade receivables, contract assets and lease receivables. The expected credit losses on these financial assets are estimated using a provision matrix based on the Company's historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

For all other financial instruments, the Company recognises lifetime ECL when there has been a significant increase in credit risk since initial recognition. However, if the credit risk on the financial instrument has not increased significantly since initial recognition, the Company measures the loss allowance for that financial instrument at an amount equal to 12-month ECL.

Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12-month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial instrument that are possible within 12 months after the reporting date.

(i) Significant increase in credit risk

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Company compares the risk of a default occurring on the financial instrument at the reporting date with the risk of a default occurring on the financial instrument at the date of initial recognition. In making this assessment, the Company considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort.

(ii) Definition of default

The Company considers the following as constituting an event of default for internal credit risk management purposes as historical experience indicates that financial assets that meet either of the following criteria are generally not recoverable:

when there is a breach of financial covenants by the debtor, or
information developed internally or obtained from external sources indicates that the debtor is unlikely to pay its creditors, including the Company, in full (without considering any collateral held by the Company).

Except for amounts where the counterparty is the Government or related public sector entities or Government Business Entities, the Company considers that default has occurred when a financial asset is more than 90 days past due.

The Company writes off debt only when there is objective evidence that the debt will not be recovered and after it has exhausted its collection avenues.

(iii) Measurement and recognition of expected credit losses

The measurement of expected credit losses is a function of the probability of default, loss given default (i.e. the magnitude of the loss if there is a default) and the exposure at default. The assessment of the probability of default and loss given default is based on historical data adjusted by forward-looking information as described above.

As for the exposure at default, for financial assets, this is represented by the assets' gross carrying amount at the reporting date.

For financial assets, the expected credit loss is estimated as the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive, discounted at the original effective interest rate.

The Company recognises an impairment gain or loss in profit or loss or other comprehensive income for all financial assets with a corresponding adjustment to their carrying amount through a loss allowance account.

Financial liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

Subsequent measurement

For purposes of subsequent measurement, financial liabilities are classified in two categories:

- Financial liabilities at fair value through profit or loss
- Financial liabilities at amortised cost (loans and borrowings)

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognised in the statement of profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated at the initial date of recognition, and only if the criteria in IFRS 9 are satisfied. The Company has not designated any financial liability as at fair value through profit or loss.

Financial liabilities at amortised cost (loans and borrowings)

This is the category most relevant to the Company. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit or loss.

Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in the statement of profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset, and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

(k) Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Capitalised costs include interest charges and foreign currency exchange differences on borrowings for projects under construction to the extent that they are regarded as adjustments to interest rates.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

(l) Provisions

Provisions are recognised when:

- the Company has a present legal or constructive obligation as a result of past events;
- it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated;

(m) Impairment of non-financial assets

The Company reviews the carrying amounts of its tangible and intangible assets, to determine whether there is any indication that those assets have suffered an impairment loss at reporting date, or when there are indications of impairment. If any such indication exists, the recoverable amount of the asset is estimated, and an impairment loss is recognised in profit or loss whenever the carrying amount of the asset exceeds its recoverable amount. An asset's recoverable amount is the higher of the asset's or cash-generating unit's (CGU's) fair value less costs to sell and its value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. Where it is not possible to estimate the recoverable amount of an individual asset, the Directors estimate the recoverable amount of the cash-generating unit to which the asset belongs.

Impairment of transmission and distribution lines

A decline in the value of the transmission and distribution lines could have a significant effect on the amounts recognised in the financial statements. Management assesses the impairment of the lines whenever events or changes in circumstances indicate that the carrying value may not be recoverable. Factors that are considered important which could make an impairment review necessary include the following:

- (i) Significant decline in the market value beyond that which would be expected from the passage of time and normal use
- (ii) Evidence from internal reporting which indicates that the performance of the asset is, or will be, worse than expected
- (iii) Significant changes with adverse effect on the Company have taken place during the period, or will take place in the near future, in the technology or market environment in which the Company operates, or in the market to which an asset is dedicated
- (iv) Evidence is available of the obsolescence or physical damage of an asset
- (v) Significant changes with an adverse effect on the Company have taken place during the period or are expected to take place in the near future, which impact the manner or the extent to which an asset is used. These changes include plans to discontinue or restructure
- (vi) The operation to which an asset belongs to or an asset is disposed before the previously expected date

In management's judgment, the impaired carrying values of the lines and substations are reinforced, replaced or upgraded under network strengthening, reinforcement and modernisation programs, after considering the above key indicators of impairment.

(n) Employees' benefits

(i) Company's defined contribution scheme

The Company employees are eligible for retirement benefits under a defined contribution scheme. Payments to the defined contribution scheme are charged to the statement of profit or loss as incurred.

(ii) Company's defined benefit scheme

Pensioners and deferred pensioners (those who have left the employment of the Company but have not attained retirement age to qualify as pensioners) existing at 30 June 2024 are eligible for retirement benefits under a defined benefit scheme.

For defined benefit plans, the cost of providing benefits is determined using the projected unit credit method, with actuarial valuations being carried out at the end of each annual reporting period. Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling and the return on plan assets (excluding interest), is reflected immediately in the statement of financial position with a charge or credit recognised in other comprehensive income in the period in which they occur. Remeasurement recognised in

other comprehensive income is reflected immediately in retained earnings and will not be reclassified to profit or loss. Past service cost is recognised in profit or loss in the period of a plan amendment. Net interest is calculated by applying the discount rate at the beginning of the period to the net defined benefit liability or asset. Defined benefit costs are categorised as service costs (including current service cost, past service cost, as well as gains and losses on curtailments and settlements), net interest expense or income and remeasurement.

The Company presents the first two components of defined benefit costs in profit or loss in the one item of pension cost-defined benefit scheme (included in staff costs). Curtailment gains and losses are accounted for as past service costs.

The retirement benefit asset recognised in the Company's statement of financial position represents the actual surplus in the Company's defined benefit plans. Any surplus resulting from this calculation is limited to the present value of any economic benefits available in the form of refunds from the plans or reductions in future contributions to the plans.

A liability for a termination benefit is recognised at the earlier of when the entity can no longer withdraw the offer of the termination benefit and when the entity recognises any related restructuring costs.

(iii) Statutory defined contribution pension scheme

The employees and the Company also contribute to the National Social Security Fund, a national defined contribution scheme. Contributions are determined by the country's statutes and the Company's contributions are charged to profit or loss as incurred.

(a) Operating segments

The Company's business is organised by regions (reporting segments) comprising Nairobi, Mount Kenya, Coast and West Kenya. Business administration is by geographic region as the Company deals in only supply of electricity. There are no inter-region sales. The Chief Operating Decision Maker (CODM) is the Executive Management Committee.

Regions derive their revenues from the distribution and retail of electricity purchased centrally in bulk by the head office. Region assets and liabilities comprise those operating assets and liabilities that are directly attributable to the region or can be allocated to the region on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire assets for the regions that are expected to be used during more than one period (property and equipment).

(b) Earnings per share

Basic and diluted earnings per share (EPS) data for ordinary shares are presented in the financial statements. Basic EPS is calculated by dividing the profit for the year attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all potentially dilutive ordinary shares, if any.

(q) Dividends

Dividends on ordinary shares are charged to reserves in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

(r) Government grants

Government grants are not recognised until there is reasonable assurance that the Company will comply with the conditions attaching to them and that the grants will be received.

Government grants are recognised in profit or loss on a systematic basis over the periods in which the Company recognises as expenses the related costs for which the grants are intended to compensate. Specifically, government grants whose primary condition is that the Company should purchase, construct or otherwise acquire non-current assets are recognised as deferred revenue in the statement of financial position and transferred to profit or loss on a systematic and rational basis over the useful lives of the related assets.

Government grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Company with no future related costs are recognised in profit or loss in the period in which they become receivable.

(s) Recharge of costs to Rural Electrification Scheme

The Rural Electrification Scheme (RES) was established in 1973 by the Government of Kenya following an agreement between the Government and East African Power & Lighting Company (now The Kenya Power and Lighting Company Plc (KPLC). The Scheme was established with the specific objective of extending electricity to the rural areas.

Recharge of costs to the RES is based on a formula determined by the Government of Kenya following an agreement between it and East African Power & Lighting Company Limited, the predecessor to The Kenya Power & Lighting Company Plc.

The power purchase costs recharge is calculated as a proportion of RES electricity unit sales to gross electricity unit sales. The distribution costs recharge is calculated based on 2% and 4% of the total high voltage and low voltage assets respectively in the books of RES at the close of the financial year.

Customer service costs recharge is calculated as a proportion of RES metered customers to total number of metered customers. Administration costs recharge are calculated based on the proportion of RES electricity unit sales to gross electricity unit sales.

(t) Cash and cash equivalents

Cash and cash equivalents in the statement of financial position comprise cash at banks and on hand and short-term deposits with a maturity of three months or less, which are subject to an insignificant risk of changes in value. For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Company's cash management.

4 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the accounting policies adopted by the Company, the Directors make certain judgements and estimates that may affect the amounts recognised in the financial statements. Such judgements and estimates are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the current circumstances. However, actual results may differ from those estimates. The judgements and estimates are reviewed at each financial reporting date to ensure that they are still reasonable under the prevailing circumstances based on the information available, and any revisions to such judgements and estimates are recognised in the year in which the revision is made.

(a) Significant judgements made in applying the Company's accounting policies

The judgements made by the Directors in the process of applying the Company's accounting policies that have the most significant effect on the amounts recognised in the financial statements include:

- (i) Whether it is probable that future taxable profits will be available against which temporary differences can be utilised;
- (ii) Classification of financial assets, whether the business model in which financial assets are held has as its objective the holding of such assets to collect contractual cash flows or to both collect contractual cash flows and sell the assets; and whether the contractual terms of financial assets give rise on specified dates to cash flows that are solely payments of principal and interest; and whether credit risk on financial assets has increased significantly since initial recognition.

(b) Key sources of estimation uncertainty

The key assumptions about the future, and other sources of estimation uncertainty that have a significant risk of causing material adjustment to the carrying amount of assets and liabilities within the next financial year include:

Deferred prepaid revenue

Revenue from prepaid customers is recognised when the customer purchases the tokens, before the customer actually consumes the electricity. The amount of unused tokens to be adjusted at year end is estimated based on historical customer trends.

Further details on deferred prepaid revenue are disclosed in Note 28(b).

Impairment losses on trade and other receivables

When measuring expected credit losses (ECL), the Company uses reasonable and supportable forward-looking information, which is based on assumptions for the future movement of different economic drivers and how these drivers will affect each other.

Loss given default is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that the Company would expect to receive, taking into account cash flows from collateral and integral credit enhancements.

Probability of default constitutes a key input in measuring ECL. Probability of default is an estimate of the likelihood of default over a given time horizon, the calculation of which includes historical data, assumptions and expectations of future conditions.

Further details on impairment losses on trade receivables are disclosed in Note 21(c).

Provisions

The Company faces exposure to claims and other liabilities. The claims and other liabilities normally take time to be determined and therefore significant judgement is required in assessing the likely outcome and the potential liabilities for such matters.

Further details on provisions are disclosed in Note 28.

Deferred income tax assets

Deferred income tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies. Details of the carrying value of recognised tax losses at 30 June 2022 are provided in Note 27.

Pension and other post-employment benefits

The cost of defined benefit pension plans and other post-employment medical benefits is determined using actuarial valuations. The actuarial valuation involves making assumptions about: discount rates, expected rates of return on assets, future salary increases, mortality rates and future pension increases. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty. Details of the defined benefit asset at 30 June 2024 are provided in Note 32.

Useful lives of property and equipment

The Company's management determines the estimated useful lives and related depreciation charges for its property and equipment. Management will increase the depreciation charge where useful lives are less than previously estimated lives, or it will write-off or write-down obsolete items of property and equipment that have been abandoned or sold.

Further details on useful lives of property and equipment are provided in Note 16.

Estimating the incremental borrowing rate

The Company cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate (IBR) to measure lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company would have to pay. The Company estimates the IBR using observable inputs (such as market interest rates).

Further details on the IBR are disclosed in Notes 3 (h) and 29.

Determination of the lease term for lease contracts with renewal and termination options (Company as a lessee)

The Company determines the lease term as the non-cancelable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Company applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create

an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Company reassesses the lease term if there is a significant event or change in circumstances that is within its control that affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customisation of the leased asset).

Further details on determination of lease term are disclosed in Note 3(b).

Property lease classification – Company as lessor

The Company has entered into fibre optic leases on its property portfolio. The Company has determined, based on an evaluation of the terms and conditions of the arrangements, such as the lease term not constituting a major part of the economic life of the property portfolio and the present value of the minimum lease payments not amounting to substantially all of the fair value of the fibre optic, that it retains substantially all the risks and rewards incidental to ownership of these properties and accounts for the contracts as operating leases.

Amortisation of capital contribution

Capital contribution is the amount contributed by new customers and relates to assets such as cables used in connecting the customer. Management assumes a useful life of five years for capital contribution assets and therefore amortizing them over 5 years. An amortisation period of 5 years is used after considering, inter alia, assumptions about the life cycle of the distribution network used to supply electricity to customers.

Further details on amortisation of capital contribution are disclosed in Note 28.

Provision for slow moving inventories

Provision for inventories is based on the aged report obtained from the system. This is also determined through physical verification of the inventories during stock counts and also based on experience and the usage of the products.

Further details on provisions for slow moving inventories are disclosed in Note 20.

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

1. OPERATING SEGMENTS

For management purposes, the Company is currently organised into four administrative regions (reporting segments). These regions are the basis on which the Company reports its primary information. The four regions comprise Nairobi, Coast, West Kenya and Mount Kenya. The Regional Managers monitor the operating results of their business units separately for the purpose of making decisions about resource allocation and performance assessment.

The table below shows the Company's revenue, expenses, assets and liabilities per region. The table also shows capital expenditure and depreciation by region for the year. There are no inter-segment sales and all revenue is from external customers. Energy purchase and head office expenses are apportioned to various regions based on percentage of sales.

2024	Nairobi Region Shs'000	West Kenya Region Shs'000	Coast Region Shs'000	Mount Kenya Region Shs'000	Total Shs'000
Revenue	105,576,908	44,833,417	41,399,105	39,112,026	231,123,597
Energy purchases	(82,833,247)	(27,100,061)	(27,109,060)	(13,564,531)	(150,606,904)
Operating expenses	(17,474,344)	(14,463,697)	(5,774,520)	(8,836,300)	(46,277,959)
Other income	<u>2,443,824</u>	<u>1,634,248</u>	<u>255,585</u>	<u>1,175,260</u>	<u>7,249,521</u>
Operating profit	8,215,221	4,864,926	9,211,061	18,108,065	41,499,273
Finance income					1,483,946
Finance costs					(887,796)
Income tax expense					<u>(13,595,059)</u>
Loss for the year					30,099,370
Assets	120,001,072	527,906,313	81,493,777	68,695,032	359,096,199
Liabilities	<u>172,398,967</u>	<u>62,117,899</u>	<u>45,423,646</u>	<u>49,939,630</u>	<u>270,772,072</u>
Capital expenditure (including intangible assets)	13,728,114	4,837,262	4,253,769	2,272,751	25,092,927
Depreciation/amortisation	<u>8,877,930</u>	<u>6,896,341</u>	<u>1,853,305</u>	<u>2,708,403</u>	<u>19,495,499</u>

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

There were no revenues deriving from transactions with a single external customer that amounted to 10% or more of the Company's revenue. Finance income, finance costs and tax expenses are not segment specific and are largely head office items and therefore have not been apportioned to the operating segments.

2023	Nairobi Region Shs'000	West Kenya Region Shs'000	Coast Region Shs'000	Mount Kenya Region Shs'000	Total Shs'000
Revenue	87,272,064	36,954,831	34,583,001	32,123,578	190,974,954
Energy purchases	(18,958,275)	(25,831,702)	(26,831,702)	(12,945,851)	(143,578,530)
Operating expenses	(13,452,182)	(11,888,377)	(4,584,438)	(7,278,822)	(37,201,817)
Other income	4,252,138	2,082,711	1,418,400	1,302,474	9,055,819
Operating profit	583,426	1,237,462	5,880,000	13,269,379	19,110,428
Finance income					508,840
Finance costs					(24,151,922)
Income tax expense					1,240,577
Loss for the year					(12,193,175)
Assets	117,290,433	129,687,522	43,895,302	62,892,018	353,725,272
Liabilities	142,034,939	60,742,879	65,075,090	27,420,853	295,302,421
Capital expenditure (including intangible assets)	2,564,271	2,943,019	2,358,678	1,259,587	12,817,258
Depreciation/amortization	6,849,401	4,852,142	1,981,976	2,788,203	16,391,322

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

The Company's core business in the four regions (reporting segments) continues to be the transmission, distribution and retail of electricity. There is no distinguishable component of the Company that is engaged in providing an individual service that is subject to risks and returns that are different from those of other business segments.

The information on property and equipment details at net book values is shown below:

2024	Land and buildings* Shs'000	Lines Shs'000	Machinery Shs'000	Motor vehicles Shs'000	Furniture equipment and other Shs'000	Intangible assets Shs'000	Total Shs'000
Transmission Distribution	370,337 <u>11,334,079</u>	17,233,050 <u>258,078,540</u>	4,142 <u>828,103</u>	7,791 <u>1,662,916</u>	234,565 <u>(18,624,181)</u>	- <u>2,013,305</u>	17,910,743 <u>240,547,230</u>
Total	11,704,416	225,312,521	832,245	1,670,707	18,389,722	2,013,305	238,457,943
2023							
Transmission Distribution	378,614 <u>11,356,692</u>	18,284,745 <u>234,304,000</u>	4,375 <u>887,224</u>	10,979 <u>1,628,116</u>	231,512 <u>(16,070,178)</u>	- <u>1,704,093</u>	18,910,426 <u>234,060,397</u>
Total	11,734,610	222,389,735	891,709	1,639,025	15,301,821	1,704,093	253,560,823

* Includes freehold land and buildings and leased leases on leasehold land disclosed in Note 16 and Note 17 respectively.

E. FINANCIAL RISK AND CAPITAL MANAGEMENT

Information about the Company's exposure to risks, its objectives, policies and processes for measuring and managing such risks, as well as quantitative disclosure, is discussed in this Note. The management of capital is also discussed.

The Company has an integrated risk management framework. The Company's approach to risk management is based on risk governance structures, risk management policies, risk identification, measurement and reporting. Three types of risks are reported as part of the risk profile, namely operational, strategic and business continuity risks.

For the Company, a strategic risk is a significant unexpected or unpredictable change or outcome beyond what was factored into the organisation's strategy and business model which could have an impact on the Company's performance.

Business continuity risks are those events, hazards, variances and opportunities which could influence the continuity of the Company.

One of the key risks for the Kenya Power and Lighting Company Plc, identified both under the operational and strategic risk categories, is financial sustainability of the Company. The financial risks, as defined by IFRS 7, and the management thereof, form part of this key risk area.

The Board of Directors has delegated the management of the Companywide risk to the Finance and Risk Committee. One of the committee's responsibilities is to review risk management strategies in order to ensure business continuity and survival. Most of the financial risks arising from financial instruments are managed in the centralised finance function of the Company.

The Company's exposure to risk, its objectives, policies and processes for managing the risk and the methods used to measure it have been consistently applied in the years presented, unless otherwise stated.

The Company has exposure to the following risks as a result of its financial instruments.

(a) Credit risk

The Company has exposure to credit risk, which is the risk that a counter party will be unable to pay amounts in full when due. Credit risk mainly arises from electricity and other receivables, short-term deposits and bank balances.

Counterparty risk is the risk that a counterparty is unable to meet its financial and/or contractual obligations during the period of a transaction. Delivery or settlement risk is the risk that counterparty does not deliver on its contractual commitment on maturity date (including the settlement of money and delivery of securities).

Credit risk arising from short-term deposits and bank balances is low because the counter parties are financial institutions with high credit ratings. Bank balances and bank deposits are thus low credit risk assets.

Management assesses the credit quality of each counterparty, taking into account its financial position, past experiences and other factors. Individual risk limits are set based on internal ratings in accordance with limits set by management. The utilisation of credit limits is regularly monitored.

The tables below detail the credit quality of the Company's financial assets as well as the Company's maximum exposure to credit risk by credit risk rating grade.

	Notes	Gross carrying amount Shs'000	Loss allowance Shs'000	Net amount Shs'000
30 June 2024				
Electricity receivables	21(a)	26,066,667	(19,284,655)	16,781,612
Prepaid fixed charge receivable		2,460,567	(2,460,567)	-
Other receivables		28,757,856	(4,828,241)	23,929,615
Short-term deposits	22(a)	559,460	(7,350)	543,100
Bank balances	22(b)	<u>9,068,894</u>	<u>(71,313)</u>	<u>8,997,581</u>
		<u>86,304,444</u>	<u>(25,652,326)</u>	<u>60,652,118</u>
30 June 2023				
Electricity receivables	21(a)	35,555,558	(17,286,233)	18,412,753
Prepaid fixed charge receivable		2,523,558	(2,523,558)	-
Other receivables		35,438,380	(5,460,964)	29,977,416
Short-term deposits	22(a)	508,141	(7,091)	501,050
Bank balances	22(b)	<u>17,922,476</u>	<u>(192,336)</u>	<u>17,730,140</u>
		<u>91,091,541</u>	<u>(25,479,182)</u>	<u>65,612,359</u>

The customers under the fully performing category are paying their debts.

The loss allowance represents the cost that is fully provided for in line with the expected credit loss model.

Trade receivables

An impairment analysis is performed at each reporting date using a provision matrix to measure expected credit losses. The provision rates are based on days past due for various customer segments with similar loss patterns. An impairment analysis is performed at each reporting date using a provision matrix to measure expected credit losses.

The provision rates are based on days past due for various customer segments with similar loss patterns. The calculation reflects the probability-weighted outcome, the time value of money and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions.

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

Set out below is the information about the credit risk exposure on the Company's electricity receivables and other receivables using a provision matrix:

Total exposure at 30 June

	0-30 Shs'000	31-60 Shs'000	>90 Shs'000	2024 Shs'000
Electricity receivables	14,600,764	3,223,054	18,154,349	30,000,567
Prepaid fixed charge receivable	-	-	2,460,567	2,460,567
Other receivables	6,264,538	537,559	32,955,359	39,757,556
Short term deposits	550,460	-	-	550,460
Bank balances	<u>2,088,894</u>	<u>-</u>	<u>-</u>	<u>2,088,894</u>
Total	<u>23,572,856</u>	<u>3,760,613</u>	<u>63,670,275</u>	<u>89,909,449</u>

	0-30 Shs'000	31-60 Shs'000	>90 Shs'000	2023 Shs'000
Electricity receivables	15,137,543	3,661,865	16,895,579	35,098,668
Prepaid fixed charge receivables	-	-	2,523,558	2,523,558
Other receivables	8,407,408	574,541	25,456,431	35,438,380
Short term deposits	508,141	-	-	508,141
Bank balances	<u>17,322,475</u>	<u>-</u>	<u>-</u>	<u>17,322,475</u>
Total	<u>41,975,588</u>	<u>4,236,406</u>	<u>43,879,583</u>	<u>92,091,541</u>

Total impairment at 30 June

	0-30 Shs'000	31-60 Shs'000	>90 Shs'000	2024 Shs'000
Electricity receivables	639,101	1,330,675	17,315,079	19,264,855
Prepaid fixed charge receivables	-	-	2,460,567	2,460,567
Other receivables	605,970	431,838	3,790,035	4,828,241
Short term deposits	7,360	-	-	7,360
Bank balances	<u>71,313</u>	<u>-</u>	<u>-</u>	<u>71,313</u>
Total	<u>1,323,744</u>	<u>1,762,513</u>	<u>23,565,381</u>	<u>26,652,336</u>

	0-30 Shs'000	31-60 Shs'000	>90 Shs'000	2023 Shs'000
Electricity receivables	777,266	1,538,301	14,666,666	17,296,233
Prepaid fixed charge receivables	-	-	2,523,558	2,523,558
Other receivables	1,837,257	545,820	3,078,087	5,400,964
Short term deposits	7,091	-	-	7,091
Bank balances	<u>192,336</u>	<u>-</u>	<u>-</u>	<u>192,336</u>
Total	<u>2,813,950</u>	<u>2,084,921</u>	<u>20,573,211</u>	<u>25,479,182</u>

Expected credit loss rate at:	0-30 days	31-90 days	>90 days
30 June 2024	5%	41%	95%
30 June 2023	5%	42%	94%

Management of credit risk

Financial instruments are managed by the Finance and Commercial Services functions.

Management of electricity receivables

The Company supplies electricity to customers in its licensed areas of supply. A large proportion comprises small commercial and domestic customers who settle their accounts within twenty-one days after receipt of the bill. The Company's exposure to credit risk is influenced by the individual characteristics of each customer.

In monitoring credit risk, customers are grouped according to their credit characteristics, including whether they are large, small or domestic electricity users, profile, security (deposits and guarantees) held and payment history.

The main classes of electricity receivables are industrial, government ministries, local authorities, parastatals, commercial and domestic customers. Electricity supply agreements are entered into with all customers. All customers are required to deposit an amount equivalent to two times their monthly consumption being security in the form of a cash deposit depending on the load supplied, subject to a minimum of two thousand five hundred shillings. Industrial and large commercial customers have the option of providing a bank guarantee in lieu of a cash deposit. Payment is enforced by way of disconnection of the supply if bills are not paid within twenty-one days after billing. No interest is charged on balances in arrears.

The Company has well-established credit control procedures that monitor activity on customer accounts and allow for remedial action should the customer not comply with payment terms. These procedures include the issue of a notice for disconnection of supply, an internal collection process, follow up of the customer by telephone or in person, negotiations of mutually acceptable payment arrangements and letters of demand. Non-payment will result in disconnection of supply and the account's closure if the disconnection is done and there is no payment within three months. The legal collection process is pursued thereafter. The decision to impair overdue amounts is assessed on the probability of recovery based on the customer's credit risk profile.

Progress on the collection process is reviewed on a regular basis and if it is evident that the amount will not be recovered, it is recommended for write-off in terms of the Company's policy. The process of recovery continues unless it is confirmed that there is no prospect of recovery or the costs of such action will exceed the benefits to be derived. Amounts written off are determined after taking into account the value of the security held.

The Company evaluates the concentration of risk with respect to electricity receivables as low, as its customers are located in all regions in Kenya and electricity is supplied to different classes of customers including individual households, private industries, companies and Government institutions. The total cumulative provision for impairment of electricity receivables at 30 June 2024 was Shs. 13,284 million (2023: Shs 17,286 million).

The Company continues to install prepaid and automatic meters as strategies to minimise the risk of non-collection. In addition, the following strategies are currently in operation and are largely successful in other high-risk areas of non-paying customers. These include:

- disconnections
- increased internal debt management capacity
- use of third party debt collectors
- focus on early identification and requirement for higher security deposits for defaulting customers

(b) Liquidity risk

Liquidity risk is the risk that the Company will not have sufficient financial resources to meet its obligations when they fall due or will have to do so at excessive cost. This risk can arise from mismatches in the timing of cash flows from revenue and capital and operational outflows.

The objective of the Company's liquidity management is to ensure that all foreseeable operational capital expansion and loan commitment expenditure can be met under both normal and stressed conditions. The Company has adopted an overall balance sheet approach, which consolidates all sources and uses of liquidity, while aiming to maintain a balance between liquidity, profitability and interest rate considerations.

The Company's liquidity management process includes:

- projecting cash flows and considering the cash required by the Company and optimising the short-term requirements as well as the long-term funding;
- monitoring statement of financial position liquidity ratios;
- maintaining a diverse range of funding sources with adequate back-up facilities;
- managing the concentration and profile of debt maturities; and
- maintaining liquidity contingency plans.

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

The table below summarises the maturity profile of the Company's financial liabilities based on the remaining period using 30 June as a base period to the contractual maturity date and the undiscounted cash flows:

	On demand Shs '000	Less than 3 months Shs '000	3 -12 months Shs '000	1-5 Years Shs '000	>5 years Shs '000	Total Shs '000
At 30 June 2024						
Borrowings			16,819,184	75,152,127	41,537,733	133,509,044
Trade and other payables	300,630	48,575,310	22,707,001	510,424	14,545,800	86,755,789
Lease liabilities			230,844	417,715	295,272	943,632
Dividends payable	743,100					743,100
	<u>1,073,820</u>	<u>48,575,310</u>	<u>39,617,429</u>	<u>26,089,251</u>	<u>55,309,805</u>	<u>221,757,655</u>
At 30 June 2023						
Borrowings			20,061,125	43,376,158	78,741,303	143,068,636
Trade and other payables	470,561	71,811,382	24,114,829	971,293	12,290,002	110,617,354
Lease liabilities			309,055	560,812	398,423	1,268,890
Dividends payable	751,612					751,612
	<u>1,181,253</u>	<u>71,811,382</u>	<u>45,375,979</u>	<u>44,908,253</u>	<u>92,427,818</u>	<u>215,784,412</u>

The Company has an established corporate governance structure and process for managing the risks regarding guarantees and contingent liabilities. All significant guarantees issued by the Company are approved by the Board of Directors and are administratively managed by the Treasury department. Updated guarantee schedules are compiled every month.

(c) Market risk

Market risk is the risk that the fair value or future cash flow of financial instruments will fluctuate because of changes in foreign exchange rates, commodity prices and interest rates. The objective of market risk management policy is to protect and enhance the statement of financial position and statement of comprehensive income by managing and controlling market risk exposures within acceptable parameters and to optimise the funding of business operations and facilitate capital expansion. The Company is exposed to the following risks:

(i) Currency risk

Currency risk arises primarily from purchasing imported goods and services directly from overseas or indirectly via local suppliers and foreign borrowings. The Company is exposed to foreign exchange risk arising from future commercial transactions and recognised assets and liabilities that are denominated in a currency other than the Functional Currency of the Company.

The following table demonstrates the sensitivity to a reasonably possible change in the respective foreign currency/Shs exchange rate, with all other variables held constant, on the Company's loss/profit before income tax (due to changes in the fair value of monetary assets and liabilities).

Currency	Appreciation/ (depreciation) of exchange rate	Effect on profit/(loss) before tax Shs million	Effect on equity Shs million
Year 2024			
US\$	+/-1%	+/- 4,820	+/- 3,374
Euro	+/-1%	+/- 740	+/- 524
Year 2023			
US\$	+/-2%	+/- 7,740	+/- 5,418
Euro	+/-6%	+/- 1,542	+/- 1,079

Management of currency risk

Exposure due to foreign currency risk is managed by recovering from customers the realised fluctuations in the exchange rates not factored in the retail tariffs.

(ii) Commodity or price risk

Commodity or price risk arises from the fuel that is used for the generation of electricity.

Exposure due to commodity risk is managed by passing the cost of fuel used in generation to customers. In addition, the Company has well-established credit control procedures that monitor activity on customer accounts and allow for remedial action should the customer not comply with payment terms. These procedures include the issue of a notice of disconnection of supply, an internal collection process, follow up of the customer by telephone or in person, negotiations of mutually acceptable payment arrangements and letters of demand. Non-payment will result in disconnection of supply and the customer's account being closed. The legal collection process is pursued thereafter.

The decision to impair overdue amounts is assessed on the probability of recovery based on the customer's credit risk profile.

III Interest rate risk

Interest rate risk is the risk that the Company's financial condition may be adversely affected as a result of changes in interest rate levels. The Company's interest rate risk arises from short-term borrowings. Borrowings issued at variable rates expose the Company to cash flow interest rate risk. Long-term borrowings issued at fixed rates expose the Company to fair value interest rate risk.

The interest rate risk exposure arises mainly from interest rate movements on the Company's borrowings.

Management of interest rate risk

To manage the interest rate risk, the Company monitors the changes in interest rates in the currencies in which loans and borrowings are denominated. Additionally, the Company manages its interest rate risk by having a balanced portfolio of fixed and variable rate loans and borrowings. Based on the various scenarios, the Company also manages its fair value interest rate risk by using floating-to-fixed interest rate swaps, where applicable.

Sensitivity analysis

The Company analyses its interest rate exposure on a dynamic basis by conducting a sensitivity analysis. This involves determining the impact on profit or loss of defined rate shifts. The sensitivity analysis for interest rate risk assumes that all other variables, in particular foreign exchange rates, remain constant. The calculation excludes borrowing costs capitalised in terms of the Company's accounting policy. The analysis has been performed on the same basis as the prior year.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on loans and borrowings. With all other variables held constant, the Company's profit before tax is affected through the impact on floating rate borrowings, as follows:

	Change in interest rate	Effect on profit / (loss) before tax Shs' 000	Effect on equity Shs' 000
2024	1%	545,010	561,853
	5%	4,727,592	3,309,214
2023	1%	1,057,078	738,294
	5%	5,285,388	3,098,771

The assumed movement in interest rate is based on the currently observable market environment.

(d) Capital management

Capital managed by the Company is the equity attributable to the equity holders. The primary objective of the Company's capital management is to ensure that it maintains healthy capital ratios in order to support its business and maximise shareholder value.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders or issue new shares. No changes were made in the objectives, policies or processes during the years ended 30 June 2024 and 30 June 2023.

The Company monitors capital using a gearing ratio. This ratio is calculated as net debt divided by capital. Net debt is calculated as total of interest-bearing loans and borrowings, less cash and cash equivalents.

	2024 Shs' million	2023 Shs' million
Interest-bearing loans and borrowings (Note 36 (b))	98,818	115,408
Cash and cash equivalents (Note 36 (b))	<u>(19,274)</u>	<u>(18,231)</u>
Net debt	<u>79,544</u>	<u>97,177</u>
Equity	<u>87,514</u>	<u>58,642</u>
Gearing ratio	<u>102%</u>	<u>171%</u>

In order to achieve this overall objective, the Company's capital management, among other things, aims to ensure that it meets financial covenants attached to the interest-bearing loans and borrowings that define capital structure requirements. Breaches in meeting the financial covenants would permit the bank to immediately call loans and borrowings. Further information on compliance of debt covenants is disclosed in Note 30 (d).

No changes were made in the objectives, policies or processes for managing capital during the years ended 30 June 2024 and 30 June 2023.

(e) Fair values of financial assets and liabilities

The management assessed that the fair values of the Company's financial instruments approximate their carrying amounts.

Fair value hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities;

Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly;

Level 3: techniques which use inputs which have a significant effect on the recorded fair value that are not based on observable market data.

None of the financial instruments is carried at fair value.

7. REVENUE

IFRS 15 Revenue from contracts with customers requires disclosure to reflect the nature, timing, amount and uncertainty of its revenue within its disclosure requirements. The Company has determined that the disaggregation using the below segments and the nature of revenues is appropriate for its circumstances.

(a) Revenue from contracts with customers	2024 Shs'000	2023 Shs'000
Electricity sales*		
• Post-paid	100,909,121	120,186,026
• Prepaid	34,297,848	24,172,173
Foreign exchange adjustment	23,936,217	14,021,413
Fuel cost charge	<u>24,292,059</u>	<u>34,155,000</u>
	183,435,245	192,534,612
Revenue apportioned to RES**	<u>(2,373,646)</u>	<u>(1,559,706)</u>
	181,061,599	190,974,906

*All electricity sales are recognised at a point in time.

**Revenue apportioned to RES based on electricity retail tariff approved by EPRA.

(b) Unit sales

Analysis of unit sales by broad customer category in gigawatt hours (GWh) is as follows:

	2024 GWh	2023 GWh
Type of customers		
Domestic	3,220	3,054
Small Commercial	1,717	1,698
Commercial and Industrial	5,432	5,153
Street Lighting	104	101
Exports	43	28
	10,516	10,234
Less:		
RES unit sales	<u>(861)</u>	<u>(867)</u>
KPLC unit sales	9,655	9,367

(c) Other income

	2024	2023
	Shs'000	Shs'000
GOK support for 15% tariff reduction	-	2,368,333
Amortisation of capital contribution (Note 26)	3,675,584	3,670,513
Fibre optic leases	939,530	812,587
Miscellaneous sales	1,322,782	1,081,051
Capital contribution- KPLC last mile	162,606	180,333
Reconnection charges	1,004,351	951,734
Rent	144,668	125,558
	7,249,521	9,095,819

B. COST OF SALES

	2024	2023
	Shs'000	Shs'000
Renewable energy (B (a))	106,366,400	90,820,431
Thermal energy (B (b))	43,750,771	40,600,426
Unrealised foreign exchange costs (c)	270,497	5,319,075
Other power purchase costs*	<u>203,146</u>	<u>750,599</u>
	150,600,804	143,575,530

2024

(a) Renewable Energy

The non-thermal purchase costs according to technology of generation and the source of power producer were as follows:

	Units GWh	Energy Shs'000	Capacity Shs'000	Forest Shs'000	Steam Shs'000	Total Shs'000
(i) Hydro						
KenGen						
Major hydro	3,260	1,000,334	7,874,949	938,564	-	9,813,847
Small hydro	79	773,597	-	49,329	-	823,022
	3,339	1,774,031	7,874,949	987,890	-	10,636,869
Independent Power Producers						
Rejon-Tenem	23	319,103	-	-	-	319,103
Melumi Power Plant	17	264,178	-	-	-	264,178
Gura	14	156,219	-	-	-	156,219
Hydro Project Services Petara	3	48,700	-	-	-	48,700
Power Technology Solutions Limited	2	22,264	-	-	-	22,264
Charlie Power Limited	1	29,949	-	-	-	29,949
Invent Tea Factory	1	8,296	-	-	-	8,296
	61	848,805	-	-	-	848,805
Hydro Total	3,399	2,622,836	7,874,949	987,890	-	11,485,674

(ii) Geothermal

	Units GWh	Energy Shs'000	Capacity Shs'000	Force Shs'000	Steam Shs'000	Total Shs'000
KenGen						
Olkaria I (units 1,2 & 3)	-	-	-	-	-	-
Olkaria II	627	79,879	2,404,278	350,510	-	2,834,667
Olkaria IV	970	1,195,332	4,132,265	594,980	2,801,603	8,724,200
Olkaria I A/U (units 4 & 5)	1,020	1,257,907	3,798,066	588,227	3,019,308	8,623,538
Olkaria V	1,154	1,485,429	7,583,782	529,298	-	9,598,509
Olkaria I (unit 6)	583	620,115	3,375,645	470,520	-	5,065,781
Eburu Hill	9	107,132	-	-	-	107,132
Wellheads	260	2,074,317	-	-	1,144,257	3,218,574
	4,633	6,826,112	21,854,086	2,533,635	6,965,168	38,172,401

Independent Power Producers

OrPower 4 Inc.	753	4,254,212	11,501,045	-	-	15,755,257
Sosian Menengai	281	2,092,779	-	-	-	2,092,779
GDC	-	-	-	-	760,181	760,181
	1,074	6,296,991	11,501,045	-	760,181	18,558,217
Geothermal Total	5,707	13,117,103	33,355,131	2,533,635	7,725,349	56,738,818

(iii) Wind

KenGen						
Ngong	50	350,145	-	89,931	-	440,076

Independent Power Producers

Lake Turkana Wind Power	1,325	18,294,025	-	-	-	18,294,025
Kipepeo Energy Plc	404	7,159,534	-	-	-	7,159,534
	1,730	25,454,299	-	-	-	25,454,299
Wind Total	1,780	25,804,404	-	89,931	-	25,894,335

(iv) Solar

Independent Power Producers

Strathmore University	0.08	1,463	-	-	-	1,463
Selenkei Solar Farm	94	1,704,844	-	-	-	1,704,844
Cedate Solar Farm	95	1,716,217	-	-	-	1,716,217
Malindi Solar Group	99	1,743,485	-	-	-	1,743,485
Allen Kenya	100	1,822,605	-	-	-	1,822,605
	388	6,988,614	-	-	-	6,988,614
REREC Garissa Solar Plant	84	674,942	-	-	-	674,942
Solar Total	473	7,663,556	-	-	-	7,663,556

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

	Units GWh	Energy Shs'000	Capacity Shs'000	Foreign Shs'000	Steam Shs'000	Total Shs'000
(v) Cogeneration Biojoule Kenya Limited	0.11	1686	-	-	-	1686
(vi) Imports						
Uganda Electricity Transmission Company Limited	217	3,459,726	-	-	-	3,459,726
Ethiopia Electricity Power Company (EEP)	877	62,483,359	-	-	-	62,483,359
Ethiopian Electric Utility (EEU) Moysie	5	124,218	-	-	-	124,218
Imports Total	1,199	12,932,303	-	-	-	12,932,303
	12,555	62,141,888	41,230,000	3,010,800	7,725,349	114,709,172
Less:						
Recharged to RES	(788)	-	-	-	-	(8,341,563)
	11,766	-	-	-	-	106,367,609

(b) Thermal energy

	Units GWh	Energy Shs'000	Capacity Shs'000	Forex Shs'000	Steam Shs'000	Total Shs'000
KenGen						
Kipevu Diesel Power I	-	-	-	-	-	-
Kipevu Diesel Power II	365	375,528	2,315,205	7,935,049	131,038	10,756,820
Muhoroni GT	0.06	-	-	-	-	-
	365	375,528	2,315,205	7,935,049	131,038	10,756,820
Independent Power Producers						
Rasin Power Limited	441	658,418	3,557,569	8,552,569	-	12,548,556
Thika Power Limited	121	204,228	2,614,522	2,465,364	-	5,584,514
IberAfrica Power (E.A.) Company Limited	38	76,200	2,383,682	866,376	-	3,335,658
Gulf Power Limited	53	76,177	2,636,230	1,179,679	-	4,089,083
Triumph Power Generating Company Limited	25	46,412	3,481,544	525,410	-	4,053,157
	679	1,061,435	14,963,147	13,685,394	-	29,710,977
Off grid power stations	85	-	-	4,981,992	-	4,981,992
	1,129	1,436,364	17,278,352	26,603,435	131,038	45,449,789
Less:						
Recharged to RES	(71)	-	-	(1,093,018)	-	(1,093,018)
	1,058	1,436,364	17,278,352	24,910,417	131,038	43,786,771

fuel cost is a pass through cost. During the year, fuel cost amounted to Shs 24,910 million (2023: Shs 26,604 million) against recovery of Shs 24,260million (2023: Shs 24,155 million).

2023

(a) Renewable Energy

The non-thermal purchase costs according to technology of generation and the source/ power producer were as follows:

	Units GWh	Energy Shs'000	Capacity Shs'000	Forex Shs'000	Steam Shs'000	Total Shs'000
(i) Hydro						
KenGen*						
Major hydroes	2,455	929,025	8,003,296	406,614	-	7,338,935
Small hydroes	67	712,780	-	13,900	-	726,680
	2,522	1,641,805	8,003,296	420,523	-	8,065,624
Independent Power Producers						
Regen-Terem	20	257,036	-	-	-	257,036
Metumi Power Plant	14	175,191	-	-	-	175,191
Gura	11	115,228	-	-	-	115,228
Hydro Project Services Peters	1	21,568	-	-	-	21,568
Power Technology Solutions Limited	1	13,264	-	-	-	13,264
Chania Power Limited	0.25	3,306	-	-	-	3,306
Ineris Tea Factory	0.20	2,098	-	-	-	2,098
	47.81	587,690	-	-	-	587,690
Hydroes Total	2,570	2,229,495	8,003,296	420,523	-	8,653,314
(ii) Geothermal						
KenGen						0
Okaria I (units 1,2 & 3)	115	131,545	-	(204)	-	131,341
Okaria II	730	66,153	2,894,775	113,123	-	3,097,051
Okaria IV	1,013	1,199,896	1,436,839	106,007	2,751,731	5,493,273
Okaria I AU (units 4 & 5)	1,042	1,235,256	3,318,602	181,463	2,507,422	7,242,798
Okaria V	1,206	1,556,736	7,530,438	271,902	-	9,358,076
Okaria I (unit 6)	607	620,735	3,667,750	201,234	-	4,589,719
Eburu Hill	8	82,600	-	-	-	82,600
Wellheads	310	2,290,379	-	-	1,072,479	3,371,858
	5,089	7,214,103	18,848,424	962,565	6,331,632	32,346,714
Independent Power Producers						
OrPower 4 Inc.	640	4,162,661	10,246,665	-	-	14,598,546
Solaris Menenga	6	44,929	-	-	-	44,929
Geothermal Development Company (GDC)	-	-	-	-	-	-
	646	4,197,790	10,246,665	-	-	14,444,475
Geothermal Total	6,035	11,411,893	29,095,109	962,565	6,331,632	47,791,189

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

(iii) Wind

	Units GWh	Energy Shs'000	Capacity Shs'000	Forex Shs'000	Steam Shs'000	Total Shs'000
KanGen						
Ngong	57	365,179	-	126,100	-	491,287
Independent Power Producers			-	-	-	0
Lake Turkana Wind Power	1,679	20,523,716	-	-	-	20,523,716
Kipeto Energy Plc	486	7,345,768	-	-	-	7,345,768
	2,144	27,889,484	-	-	-	27,889,484
Wind Total	2,201	28,234,663	-	126,100	-	28,360,771

(iv) Solar

Independent Power Producers

Strathmore University	0.08	1,347	-	-	-	1,347
Seemba Solar Farm	85	1,458,900	-	-	-	1,458,900
Cedate Solar Farm	94	1,585,788	-	-	-	1,585,788
Malindi Solar Group	99	1,609,038	-	-	-	1,609,038
Altan Kenya	79	1,290,964	-	-	-	1,290,964
	358	5,945,125	-	-	-	5,945,125
NEREC Garissa Solar Plant	86	816,189	-	-	-	816,189

Solar Total	444	6,562,314	-	-	-	6,562,314
-------------	-----	-----------	---	---	---	-----------

(v) Cogeneration

Biojoule Kenya Limited	0.21	2,927	-	-	-	2,927
---------------------------	------	-------	---	---	---	-------

(vi) Imports

Uganda Electricity Transmission Company Limited	275	3,723,280	-	-	-	3,723,280
Ethiopia Electricity Power Company (EEP)	364	3,247,277	-	-	-	3,247,277
Ethiopian Electric Utility (EEU) Moyale	8	103,102	-	-	-	103,102
Imports Total	645	7,073,859	-	-	-	7,073,859

	11,395	55,514,951	35,098,405	1,489,186	6,331,832	98,444,174
--	--------	------------	------------	-----------	-----------	------------

Less:

Recharged to RES	(779)	-	-	-	-	(7,523,743)
------------------	-------	---	---	---	---	-------------

	11,116	55,514,951	35,098,405	1,489,186	6,331,832	90,820,431
--	--------	------------	------------	-----------	-----------	------------

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

(b) Thermal energy

	Units GWh	Energy Shs'000	Capacity Shs'000	Fuel Shs'000	Forex Shs'000	Total Shs'000
KenGen						
Kipevu Diesel Power I	93	34,119	421,829	1,819,027	287,590	2,562,365
Kipevu Diesel Power II	231	228,601	2,313,509	4,468,359	44,822	7,055,291
Muhoroni GT	35	21,413	294,246	1,882,342	(200)	2,197,802
	359	284,133	3,029,584	8,169,728	332,012	11,815,458
Independent Power Producers						
Rabai Power Limited	446	579,617	2,592,074	7,956,809	-	11,528,500
Thika Power Limited	194	276,551	2,546,289	3,320,157	-	6,142,107
Iberdrola Power (E.A.) Company Limited	116	169,468	2,149,493	2,044,120	-	4,363,080
Gulf Power Limited	170	169,228	2,550,714	3,455,131	-	6,215,071
Triumph Power Generating Company Limited	35	55,844	3,389,019	810,818	-	4,255,470
	961	1,210,604	12,636,600	17,587,123	-	32,834,397
Off grid power stations	75	-	-	4,313,218	-	4,313,218
	1,386	1,594,837	16,666,264	30,070,070	332,012	48,662,983
Less:						
Recharged to RES	(87)	-	-	(1,975,558)	-	(1,975,558)
	1,309	1,594,837	16,666,264	28,093,512	332,012	46,686,425

(c) Unrealised foreign exchange costs

The unrealised foreign exchange costs according to source/ power producer were as follows:

	2024 Shs'000	2023 Shs'000
KenGen	10,315	645,557
Lake Turkana Wind Power	630,683	1,363,830
OrPower 4 Inc.	(226,445)	577,105
Kipeto Energy Pco	130,076	436,260
Uganda Electricity Transmission Company Limited	41,235	179,193
Rabai Power Limited	(107,105)	495,679
Triumph Power Generating Company Limited	10,726	138,210
Thika Power Limited	135,708	323,895
Gulf Power Limited	58,391	241,024
Iberdrola Power (E.A.) Company Limited	(10,786)	253,287
Cedara	(6,550)	123,193
Selenker Solar Farm	(2,143)	124,144
Malindi	9,118	65,637
Gamasa Solar Power Plant	20,214	55,265
Tsavo Power Company Limited	(6,558)	15,988
Gera	(630)	1,729
Regeh-Terem	1,976	2,986
Metumi Power Plant	(97,925)	72,733
Ethiopia Electricity Power Company (EEP)	(238,423)	163,024
Ethiopian Electric Utility (EEU)	(150)	-
Hydro Project Services Peters	(604)	700
Power Technology Solutions Limited	(375)	274
Chania Power Limited	(5,171)	9,118
Geothermal Development Company (GDC)	(2,738)	-
Soran Menengai Geothermal	(44,477)	-
Binjoui Kenya Limited	40	39
Alfan Kenya Solarfarm	(11,210)	51,511
Invent Tea Factory	(212)	33
Tanzania Electric Supply Company Limited	(24)	50
Strathmore University	(72)	74
	298,231	5,688,630
Less:		
Recharged to RES	(18,734)	(370,555)
	279,497	5,318,075

9. NET OPERATING EXPENSES

(a) Network management

	2024 Shs'000	2023 Shs'000
Salaries and wages	8,347,321	7,213,517
Depreciation of property and equipment	12,363,447	12,138,209
Impairment loss on WIP	2,858	28,538
Reversal of impairment loss on WIP	(1,838)	(3,868)
Wheeling charges - KETRACO*	5,215,614	2,720,100
Loss on disposal of fixed assets	488,377	832,628
Losses on transformer repairs	189,143	373,421
Fuel costs	1,337,159	967,468
Consumable goods	963,812	866,158
Staff welfare	415,018	199,439
Repairs & maintenance- vehicles	389,411	242,567
Transport and traveling	(258,547)	(121,442)
Office expenses	1,380	517
Net recharge of distribution and transmission costs to RES	(5,451,039)	(4,591,257)
	22,872,920	29,864,385

* These are fees levied by KETRACO for the use of their transmission lines to transport electricity from the generators. The amount is determined by EPRA.

	2024 Shs'000	2023 Shs'000
(b) Commercial services		
Salaries and wages	4,967,294	3,889,276
Depreciation of property and equipment	2,222,840	2,500,382
Advertising and public relations	11,513	-
Staff welfare	725,944	75,795
Transport and travelling	114,099	58,141
Consumable goods	2,644	1,900
Office expenses	809	204
Net recharge of customer service costs to RES	(1,588,924)	(3,548,875)
	6,936,218	2,976,823

(c) Administration

	2024 Shs'000	2023 Shs'000
Salaries and wages	5,297,919	4,750,113
Depreciation of property and equipment	1,405,709	867,757
Staff welfare	1,410,010	1,447,317
Depreciation- ROU asset (Note 19)	273,599	291,130
Amortisation of intangible assets (Notes 10, 35 (a))	208,200	359,648
Amortisation of operating lease prepayment (Notes 17, 35 (a))	27,896	34,798
Repairs and maintenance	812,013	353,652
Security and surveillance	827,449	806,318
Transport and travelling	840,327	438,826
External services	724,291	401,841
Office expenses	127,821	116,893
Other financial expenses*	53,725	165,744
Licenses	1,646,529	301,053
Legal expenses	185,806	228,971
Insurance	458,838	633,536
Public relations	323,128	96,032
Company electricity expenses	259,076	162,682
Training expenses and consumer services	192,522	157,144
Other consumable goods	267,252	234,426
Movement in leave obligation (Note 33 (a))	155,434	(33,270)
Movement in gratuity provision (Note 33 (c))	229,939	301,547
Movement in leave allowance provision (Note 33 (b))	31,914	(8,375)
Consultancy fees	243,818	95,746
Directors' emoluments	19,608	33,391
Auditor's remuneration	20,509	27,596
Other Directors' expenses	19,070	4,189
Allowance for inventories (Note 20)	836	(448,986)
Expense relating to losses of low-value assets (Note 19)	16,375	14,370
Other costs**	112,710	737,944
Retirement benefit plan debts (Note 32)	877,384	(60,514)
	19,785,917	12,711,956
Recharge of administration costs to RES***	<u>(615,002)</u>	<u>(1,442,445)</u>
	19,170,915	11,269,511

*Other financial expenses mainly relate to bank charges, excise duty on financial services and exchange differences arising from foreign denominated transactions.

**Other costs mainly relate to prepaid vendor commission, wayleaves, representation, AGM costs, local authority taxes, utilities and contracted services including clearing, service maintenance contracts among others.

*** Recharges to RES relate to operating costs apportioned to RES based on the predetermined formula developed by the Government of Kenya.

(d) Expected credit losses on financial assets	2024 Shs'000	2023 Shs'000
Provision for electricity debtors (Note 21(c))	1,068,832	2,290,526
(Write back)/Provision for other receivables, bank deposits and bank balances and guarantees	(767,143)	143,164
Write back of provisions for prepaid fixed charge (Note 21(c))	(62,590)	(92,601)
Movement in expected credit losses	1,178,409	2,371,009
10. EMPLOYEE BENEFITS		
Salaries and wages		
Salaries and allowances of permanent employees	17,768,360	16,088,442
Wages of temporary employees	1,216,122	1,019,414
Recharge of capital works supervision to capital jobs*	(1,515,474)	(1,090,762)
NSSF employer contributions	191,862	65,312
Pension costs – defined contribution	<u>942,285</u>	<u>799,500</u>
Salaries and wages	16,603,135	15,852,906
Pension credit - defined benefit scheme (Note 32)	<u>877,384</u>	<u>(66,514)</u>
	19,480,529	15,786,392
Movement in leave pay provision (Note 33 (a))	165,434	(33,270)
Movement in gratuity and leave allowance provisions (Note 33 (b) and Note 33 (c))	<u>291,852</u>	<u>293,172</u>
	<u>19,897,815</u>	<u>16,046,294</u>

* Recharge of recurrent expenditure to capital jobs relates to the labour and transport costs incurred by staff on capital jobs.

11. NET FINANCE COSTS

	2024 Shs'000	2023 Shs'000
(a) Finance income		
Interest income on bank and other deposits (Note 30 (g))	1,492,955	506,610
(b) Finance costs		
Interest incurred on:		
• Loans	(8,638,562)	(5,365,561)
• Bank overdrafts	(63)	(603)
• Lease liabilities (Note 29)	(76,613)	(102,583)
Foreign exchange differences on loans*	7,661,752	(16,867,665)
Interest on late payment of invoices	(981,803)	(1,120,143)
Time value of money of RES receivable (Note 21 (a))	(96,663)	(196,637)
Dividends on cumulative preference shares	<u>(1,930)</u>	<u>(1,930)</u>
	<u>882,798</u>	<u>(24,163,321)</u>

* Finance costs include unrealised foreign exchange gain Shs 7.882 million, against a loss of Shs 18,868 million in 2023 arising from movement of the Shilling against the USD and EUR in which some of the loans are denominated in

12. EXPENSES BY NATURE

The profit before income tax is arrived at after charging/(crediting):

	2024	2023
	Shs'000	Shs'000
Employee benefits (Note 10)	19,897,815	18,046,294
Depreciation of property and equipment (Note 15)	15,991,391	15,506,348
Impairment loss on WIP (Note 10)	1,221	28,535
Finance costs (Note 11(b))	(682,798)	24,183,022
Expected credit losses on financial assets (Note 9 (d))	1,178,488	2,371,088
Amortisation of intangible assets (Note 16)	208,206	559,045
Loss on disposal/retirement of assets (Note 35 (d))	(408,377)	(932,628)
Movement in leave provision (Note 33 (a))	155,434	(33,270)
Movement in gratuity provision ((Note 33 (c))	229,938	301,547
Movement in leave allowance provision ((Note 33 (b))	31,914	(8,375)
Amortisation of leasehold land (Note 17)	27,899	34,798
Directors' emoluments:		
- Fees (Note 37 c (v))	5,145	4,627
- Other (Note 37 c (vi))	14,368	16,488
Other Directors' expenses	18,220	4,159
Auditor's remuneration (Note 9 (c))	20,500	20,500
Movement in provision for inventories (Note 20)	830	(448,965)
Retirement benefit debit (Note 32)	<u>877,394</u>	<u>(86,514)</u>

13. (a) INCOME TAX EXPENSE

	2024	2023
	Shs'000	Shs'000
Statement of profit or loss		
Income tax		
Current income tax (Note 13 (c))	3,448,951	293,491
Deferred income tax		
Adjustment in respect of deferred tax for previous year (Note 27)	156,920	(14,316)
Movement for the year (Note 27)	<u>3,605,871</u>	<u>(1,619,853)</u>
Tax charge/(credit)	<u>13,585,659</u>	<u>(1,240,577)</u>

13. (b) RECONCILIATION OF INCOME TAX EXPENSE

Reconciliation of the income tax expense and the accounting profit multiplied by the statutory income tax rate for 2024 and 2023:

	2024	2023
	Shs'000	Shs'000
Profit/(Loss) before income tax	41,658,029	(4,433,855)
Tax calculated at the statutory income tax rate of 30%	13,099,809	(1,330,157)
Tax effect of adjustments on taxable income		
Expenses not deductible for tax purposes	485,850	89,480
Prior year adjustment (Note 27)		
Adjustment in respect of deferred tax due to tax loss		
Income tax expense/(credit)	<u>13,585,659</u>	<u>(1,240,677)</u>

(c) CURRENT INCOME TAX RECOVERABLE

At start of year	(12,136)	143,605
Tax paid	897,725	137,470
Tax charge (Note 13 (a))	<u>(3,445,951)</u>	<u>(293,491)</u>
At end of year	<u>(2,651,362)</u>	<u>(12,136)</u>

14. EARNINGS PER SHARE

The calculation of basic and diluted earnings per share is based on continuing operations attributable to the ordinary equity holders of the Company. There were no discontinued operations during the year. There were no potentially dilutive ordinary shares as at 30 June 2024 and 2023. Diluted earnings per share is therefore the same as basic earnings per share.

The earnings and weighted average number of ordinary shares used in the calculation of basic and diluted earnings per share are as follows:

	2024	2023
	Shs'000	Shs'000
Profit/(Loss) for the year attributable to owners of the Company	30,080,370	(3,180,179)

The total number of shares and the weighted average number of shares for the purpose of calculating the basic and diluted earnings are as follows:

	2024	2023
Weighted average number of ordinary shares for the purpose of basic and diluted earnings per share	1,951,457,045	1,951,457,045

Earnings per share is calculated by dividing the profit attributable to owners of the Company by the number of ordinary shares.

	2024	2023
Basic earnings per share (Shs)	15.41	(1.64)
Diluted earnings per share (Shs)	15.41	(1.64)

15. DIVIDENDS PER SHARE

Proposed dividends are accrued after they have been ratified at an Annual General Meeting. No interim dividend was paid in 2024 (2023: Nil). At the Annual General Meeting to be held before 31 December 2024, the Directors will recommend a dividend payment of Kshs 0.70 per ordinary share in respect of the year ended 30 June 2024 (2023: Nil).

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

10. PROPERTY AND EQUIPMENT

2024	Freehold land Shs'000	Buildings Shs'000	Transmission lines Shs'000	Distribution lines Shs'000	Machinery Shs'000	Motor Vehicles** Shs'000	Furniture equipment Shs'000	Work in progress Shs'000	Total Shs'000
Cost									
At 1 July 2023	785,710	13,027,318	33,318,333	284,738,648	1,326,644	8,215,319	61,675,270	16,547,563	430,235,365
Work in progress additions	-	-	-	-	-	-	-	24,382,155	24,382,155
Transfers from work in progress	-	351,607	1,609	14,628,186	2,052	610,003	6,354,996	(21,040,703)	-
Refrainments	-	-	-	(870,525)	-	(258,363)	(102)	-	(1,094,390)
At 30 June 2024	<u>785,710</u>	<u>13,278,925</u>	<u>33,320,201</u>	<u>298,737,199</u>	<u>1,328,696</u>	<u>8,563,959</u>	<u>67,136,164</u>	<u>20,275,413</u>	<u>443,522,479</u>
Depreciation									
At 1 July 2023	-	2,747,861	16,033,567	60,561,216	437,971	6,686,224	46,526,360	-	191,968,847
Charge for the year	-	365,473	1,052,759	10,364,844	61,924	462,367	3,654,073	-	15,991,998
Refrainments	-	-	-	(307,810)	-	(236,032)	(441)	-	(594,414)
At 30 June 2024	<u>-</u>	<u>3,114,304</u>	<u>16,086,326</u>	<u>69,658,644</u>	<u>499,095</u>	<u>6,903,729</u>	<u>50,219,395</u>	<u>-</u>	<u>167,472,433</u>
Impairment									
At 1 July 2023	-	-	-	-	-	-	-	273,992	273,992
Impairment loss for the year*	-	-	-	-	-	-	-	2,858	2,858
Reversal	-	-	-	-	-	-	-	(1,636)	(1,636)
At 30 June 2024	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>275,214</u>	<u>275,214</u>
Net book value									
At 30 June 2024	<u>785,710</u>	<u>10,264,621</u>	<u>17,233,835</u>	<u>208,078,648</u>	<u>831,811</u>	<u>1,660,230</u>	<u>16,916,769</u>	<u>20,000,201</u>	<u>275,274,823</u>

The Company has not pledged any of its assets as collateral for liabilities and any other restrictions on title.

*This relates to impairment loss on Work in Progress (WIP) relating to projects that have stalled for the last three years.

**Included in motor vehicles is an aircraft with a gross value of Shs 297,700,653 (2023: Shs 267,700,663) and accumulated depreciation of Shs 261,820,364 (2023: Shs 258,032,431).

Included in property and equipment at 30 June 2024 are assets with a gross value of Shs 61,124,758 (2023: Shs 57,502,204,567) which are fully depreciated but still in use. The notional depreciation charge for the year would have been Shs 11,210,289,739 (2023: Shs 10,594,841,137).

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

14. PROPERTY AND EQUIPMENT (Continued)

2023	Freehold land Shs'000	Buildings Shs'000	Transmission lines Shs'000	Distribution lines Shs'000	Machinery Shs'000	Motor Vehicles** Shs'000	Furniture equipment Shs'000	Work in Progress Shs'000	Total Shs'000
Cost									
At 1 July 2022	795,432	12,467,228	32,260,804	273,663,319	1,276,128	8,304,351	80,675,836	23,278,875	412,700,041
Work in progress additions	-	-	-	-	-	-	-	12,300,538	12,300,538
Transfers from work in progress	30,276	560,050	39,172	12,935,187	49,716	217,437	6,805,971	(18,037,451)	-
Retirements	-	-	(1,704)	(1,858,054)	-	(202,495)	(2,601,157)	-	(5,265,274)
At 30 June 2023	<u>785,710</u>	<u>13,027,318</u>	<u>23,518,332</u>	<u>284,738,598</u>	<u>1,325,844</u>	<u>8,219,319</u>	<u>81,879,279</u>	<u>15,541,963</u>	<u>420,235,305</u>
Depreciation									
At 1 July 2022	-	2,362,411	13,068,313	71,411,503	376,280	6,541,704	46,384,835	-	141,088,146
Charge for the year	-	305,470	1,055,295	9,899,248	61,282	607,652	3,717,402	-	15,506,349
Retirements	-	-	(21)	(249,533)	-	(272,221)	(3,585,871)	-	(4,007,647)
At 30 June 2023	-	<u>2,667,881</u>	<u>15,933,587</u>	<u>80,561,218</u>	<u>437,571</u>	<u>6,930,224</u>	<u>46,526,366</u>	-	<u>151,808,567</u>
Impairment									
At 1 July 2022	-	-	-	-	-	-	-	251,322	251,322
Impairment loss for the year*	-	-	-	-	-	-	-	26,536	26,536
Reversal	-	-	-	-	-	-	-	(3,800)	(3,800)
At 30 June 2023	-	-	-	-	-	-	-	<u>273,992</u>	<u>273,992</u>
Net book value									
At 30 June 2023	<u>785,710</u>	<u>10,272,437</u>	<u>15,284,749</u>	<u>204,177,333</u>	<u>881,273</u>	<u>1,529,095</u>	<u>15,248,904</u>	<u>16,067,923</u>	<u>267,874,468</u>

The Company has not pledged any of its assets as collateral for liabilities and any other restrictions in life.

*This relates to impairment loss on Work in Progress (WIP) relating to projects that have stalled for the last three years.

17. LEASEHOLD LAND	2024 Shs'000	2023 Shs'000
Cost		
At start of year	871,032	795,362
Additions	-	75,870
Transfer to ROUA	(4,500)	-
Disposal	-	-
At end of year	866,532	871,032
Amortisation		
At start of year	(181,338)	(150,540)
Charge for the year	(27,696)	(34,796)
Transfer to ROUA	587	-
Charge on disposals	-	-
At end of year	(212,447)	(185,336)
Net book value	654,085	685,696
18. INTANGIBLE ASSETS		
Cost		
At start of year	9,322,381	8,067,672
Additions	357,376	1,615,668
Disposal	-	(352,158)
At end of year	9,679,757	9,322,381
Amortisation		
At start of year	(7,658,248)	(7,474,360)
Charge for the year	(208,206)	(559,046)
Charge on disposals	-	375,157
At end of year	(7,866,454)	(7,658,248)
Net book value	1,813,303	1,664,133

Included in intangible assets at 30 June 2024 are assets with a gross value of Shs 7,549,234,420.55 (2023: Shs 7,549,234,420.55) which are fully amortised but still in use. The notional amortisation charge on these assets for the year would have been Shs 1,509,646,684.11 (2023: Shs 1,509,646,684.11).

19. RIGHT-OF-USE (ROU) ASSET

	2024 Shs'000	2023 Shs'000
Cost		
At start of year	1,801,561	1,854,171
Additions	82,642	215,228
Retirements	(645,522)	(107,038)
At end of year	1,238,681	1,962,361
Depreciation		
At start of year	(938,799)	(754,376)
Charge for the year	(270,596)	(291,130)
Charge on retirements	837,611	106,709
At end of year	(874,784)	(938,799)
Net book value	363,897	1,023,562

The following are the amounts recognized in profit or loss

	2024 Shs'000	2023 Shs'000
Depreciation expense of right-of-use assets (Note 9 (c))	270,589	291,130
Interest expense on lease liabilities (Note 20)	106,547	106,047
Expense relating to leases of low-value assets ((Note 9 (c))	19,373	14,373
	396,511	411,547

The Company had total cash outflows for leases of Shs 396,562,000 in 2024 (2023: Shs 436,101,000). The Company also had non-cash additions to right-of-use assets and lease liabilities of Shs 82,642,000 in 2024 (2023: Shs 215,228,000). The future cash outflows relating to leases that have not yet commenced are disclosed in Note 41.

20. INVENTORIES

	2024 Shs'000	2023 Shs'000
General stores	5,489,375	4,350,261
Transformers	2,179,221	1,009,397
Conductors and cables	2,201,550	2,946,067
Metering accessories	1,212,874	26,685
Poles	294,374	670,455
Fuel and oil	244,384	182,961
Motor vehicle spares	127,700	104,461
Engineering spares	12,114	12,481
	11,761,585	8,951,756
Provision for impairment	(2,513,180)	(2,878,763)
	9,248,405	6,072,993

Movements in the provisions for inventories were as follows:

At start of year	(2,878,763)	(3,325,729)
Correction of incomplete good issues during system transition	170,745	-
Write off	196,665	-
(Additional provision) / write back (Notes 9 (c))	(835)	446,965

At end of year **(2,313,189)** **(2,878,753)**

21. TRADE AND OTHER RECEIVABLES

(a) Non-current - Trade and other receivables

	2024 Shs'000	2023 Shs'000
Prepayments-loan origination fee*	150,460	380,103

This relates to arrangement costs charged upfront on long-term loans extended by Standard Chartered Bank, NCBA Kenya Bank Plc and Rand Merchant Bank. The fee is amortised over the tenure of the loans.

(b) Current - Trade and other receivables

	2024 Shs'000	2023 Shs'000
Electricity receivables (Note 21(c))	35,046,657	35,698,988
Receivable from Government of Kenya-RES recurrent losses***** (Note 37 (b) (ii))	30,888,124	20,028,111
RES - vitroncompany (Note 37 (b) (i))	6,104,883	6,117,753
Prepayments- Loan origination fees	189,642	189,642
Receivable from GOK-15% tariff reduction support	-	595,833
Receivable from Government of Kenya***** (Note 37 (b) (i) and Note 38)	424,549	371,549
Last mile prepaid debtors	1,710,840	1,857,200
Sundry debtors & prepayments	110,582	881,547
Conversion to prepaid debt	610,216	302,008
Non-commercial debt	792,983	1,217,769
Last mile token contribution for RES	597,834	-
Prepaid fixed charge debt	2,460,567	2,523,558
VAT recoverable (Note 37 (b) (i))	1,784,046	1,438,511
Project funds****	46,103	26,292
Due from KETRACO**	1,718,063	1,718,063
Staff receivables	803,114	684,529
Some loan deferred payment customers *	200,402	233,135
Rural Electrification Authority current account (Note 37 (b) (i))	-	246,564
GPOBA prepaid debtors***	36,916	743,646
Other *****	1,632,972	1,350,924
Gross trade and other receivables	86,373,293	83,175,688
Provision for credit losses		
Electricity receivables	(19,284,856)	(17,286,233)
Prepaid fixed charge	(2,460,567)	(2,523,558)
Last mile debtors	(1,289,727)	(1,441,679)
Receivable from GOK-RES Recurrent	(150,753)	(412,054)
Staff debtors	(348,249)	(324,800)
Other receivables	(3,028,512)	(3,282,966)
	(26,571,863)	(25,270,766)
Impairment of RES receivable*****	(1,267,201)	(1,167,339)
Net trade and other receivables	58,532,339	56,737,372

Movement in impairment of RES receivable is as follows:

	2024 Shs'000	2023 Shs'000
At start of year	1,167,539	972,502
Increase during year (Note 11 (ii))	99,992	196,027
At end of year	<u>1,267,531</u>	<u>1,168,529</u>

Trade and other receivables are non – interest bearing

* Deferred payment customers balances represent debts outstanding under the Stima Loan Revolving Fund Programme which was established in 2010 to facilitate credit access to the low-income segments of the market for the purpose of electricity connection. It is funded by Agence Française de Développement (AFD).

**This represents amounts due from KETRACO for local costs incurred in the construction of Sondu Miru transmission and distribution line and repayments in relation to 0.75% Japan Bank for International Corporation loan that was transferred to Ketraco in 2018 upon signing of the Novation agreement.

***GPOBA prepaid debtors relate to the Global Partnership on Output Based Assistance (GPOBA) project for customers with prepaid meters. This project aims to provide safe, legal and affordable electricity to informal settlements. In 2015, the Company entered into an arrangement with the World Bank's International Development Association (IDA), which acts as an administrator of GPOBA. Under the agreement, the Company pre-invests its own resources to provide electricity to informal settlements after which IDA reimburses the Company for every connection done under this project.

**** The Company receives funding from the World Bank through Credit No.5887-KE to support electrification projects. The total amount received as at 30 June 2024 was Shs. 15,996,632,000 (2023: Shs. 15,650,532,000) and Shs. 15,572,000 (2023: Shs. 15,976,622,000) has been spent on the projects.

*****Receivable from Government of Kenya (GoK) relates to subsidies due to the Company to enhance universal access to electricity through connectivity to the national grid. During the year, the Company received Shs nil disbursements (2023: Shs. 25,000,000) of which Shs. 153,000,000 (2023: Shs. nil) was utilised to improve electricity supply in off grid stations through supply of generators.

*****Included in other receivables is an amount of Shs. 247,339,000 (2022: Shs. 247,339,000) deposited in Imperial Bank Limited which was placed under receivership in 2015. The balance is fully provided for.

***** KPLC is the management agent for RES on behalf of Ministry of Energy and Petroleum (MOEP). The Schemes of RES are generally sub-economic since their operational and maintenance costs exceed their revenue. The resultant accumulated deficit is recoverable from the Government of Kenya (GoK) as stipulated in the 1973 Mercado agreement signed between KPLC and the GoK through the MOEP.

***** This relates to additional impairment of the RES receivable as a result of the time value of money. The amount was recognised as a finance cost.

(c) Electricity receivables

	<30 days Shs'000	30-90 days Shs'000	>90 days Shs'000	Total Shs'000
2024				
Gross	14,638,764	3,223,554	18,154,349	35,066,557
Impairment	(639,121)	(1,330,975)	(17,315,079)	(19,284,955)
Net	14,049,663	1,892,579	839,270	16,791,812
2023				
Gross	16,137,542	3,561,665	15,889,579	35,698,586
Impairment	(777,268)	(1,539,301)	(14,569,566)	(17,286,233)
Net	15,360,278	2,122,564	929,913	18,412,753

Information about the credit exposure is disclosed in Note 6 (a).

(d) Movement in the expected credit losses for trade and other receivables is as follows:

	Electricity receivables Shs'000	Prepaid fixed charge Shs'000	Other receivables Shs'000	Total Shs'000
2024				
At start of year	(17,286,233)	(2,523,558)	(5,460,964)	(25,270,755)
Additional provision	(1,958,822)	-	(377,125)	(2,375,751)
Write back (Note 9 (d))	-	62,590	1,009,853	1,072,843
At end of year (Note 21(b))	(19,284,955)	(2,460,967)	(4,828,241)	(26,573,963)
2023				
At start of year	(14,965,709)	(2,589,159)	(5,307,135)	(22,949,002)
Additional provision (Note 9 (d))	(2,290,625)	-	(83,628)	(2,384,354)
Write back (Note 9 (d))	-	62,591	-	62,591
At end of year (Note 21(b))	(17,286,233)	(2,523,558)	(5,460,964)	(25,270,755)

22. SHORT-TERM DEPOSITS, BANK AND CASH BALANCES

a) Short-term deposits

	2024 Shs'000	2023 Shs'000
Housing Finance Company of Kenya Limited	547,848	505,529
The Co-operative Bank of Kenya Limited	2,612	2,612
	550,460	508,141
Expected credit losses- charge for the year:	<u>(7,380)</u>	<u>(7,591)</u>
	543,100	501,000

The average effective interest rate on the short-term deposits for the year ended 30 June 2024 was 7.47% (2023: 7.47%).

Movement in the expected credit losses is as follows;

	2024 Shs'000	2023 Shs'000
At start of year	7,081	12,578
Movement during the year	298	(5,498)
At end of year	<u>7,369</u>	<u>7,081</u>

b) Bank and cash balances

	2024 Shs'000	2023 Shs'000
Cash at bank	9,799,393	17,922,068
Cash on hand	<u>3,507</u>	<u>408</u>
	<u>9,802,900</u>	<u>17,922,476</u>
c) Expected credit losses	<u>(71,313)</u>	<u>(192,338)</u>
	<u>9,731,587</u>	<u>17,730,140</u>

Movement in the expected credit losses is as follows;

At start of year	192,338	132,899
Increase during the year	<u>(121,023)</u>	<u>59,457</u>
At end of year	<u>71,313</u>	<u>192,338</u>

(c) Detailed analysis of the cash and cash equivalents

Description	2024 Kshs	2023 Kshs
a) Current Account		
Other Commercial banks	8,068,279	11,103,400
Sub- Total	<u>8,068,279</u>	<u>11,103,400</u>
b) On - Call Deposits		
Other Commercial banks	1,685,237	5,332,698
Sub- Total	<u>1,685,237</u>	<u>5,332,698</u>
c) Fixed Deposits Account		
Other Commercial banks	-	-
Sub- Total	<u>-</u>	<u>-</u>
d) Staff Car Loan/ Mortgage		
Other Commercial banks	547,548	508,140
Sub- Total	<u>547,548</u>	<u>508,140</u>
e) Others		
Cash in transit	2,046,489	1,485,970
Cash in hand	88	73
Mobile money accounts	3,519	336
Sub- Total	<u>2,052,076</u>	<u>1,486,378</u>
Grand Total	<u>10,263,440</u>	<u>18,430,616</u>

23. SHARE CAPITAL

Authorized:

2,692,812,000 ordinary shares of Shs 2.50 each 6,482,030 6,482,030

Issued and fully paid:

1,661,467,045 ordinary shares of Shs 2.50 each 4,153,667 4,153,667

24. SHARE PREMIUM

The share premium arose from the redemption of the 7.95% redeemable non-cumulative preference shares and a rights issue in the year 2011 at a price of Shs 207.50 giving rise to a share premium of Shs 14.367 million.

A further premium was received from the rights issue of 488,630,245 ordinary shares of Shs 2.50 each at a price of Shs 19.60, hence resulting to a share premium of Shs 17 per share or a total share premium of Shs 8.307 million. The transaction costs amounting to Shs 653 million were netted off against the share premium.

25. RETAINED EARNINGS

The retained earnings balance represents the amount available for distribution to the shareholders of the Company.

Further details on retained earnings are provided in statement of changes in equity.

26. DEFERRED INCOME

Deferred income relates to capital contributions received from electricity customers for the construction of electricity assets. The amounts are amortised through profit or loss on a straight-line basis over the useful life of the related asset used to provide the ongoing service.

	2024 Shs'000	2023 Shs'000
At start of year	17,002,674	14,824,857
Additional contributions	6,214,033	5,754,330
Recognised as income (Note 7(c))	<u>(3,576,564)</u>	<u>(3,576,512)</u>
At end of year	19,641,124	17,002,674
Maturity analysis:		
Non-current	15,760,476	12,775,246
Current	<u>3,840,648</u>	<u>4,227,428</u>
At end of year	19,641,124	17,002,674

27. DEFERRED INCOME TAX

	2024 Shs'000	2023 Shs'000
At start of year	27,217,478	28,679,124
Debit/(Credit) to other comprehensive income	167,551	172,523
Prior year adjustment	158,929	(14,315)
(Credit)/Charge to profit or loss (Note 12 (w))	<u>9,081,779</u>	<u>(1,519,854)</u>
At end of year	27,523,727	27,217,478

Deferred income tax balance is analysed as follows:

	At July 2023	Prior year adjustments	(Credited)/ Charged to profit or loss	Credited to OCI	At 30 June 2024
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
2024					
Deferred income tax liabilities					
Property and equipment	51,424,561	-	3,488,544	-	54,922,605
Unrealised foreign exchange loss	(11,133,828)	-	3,340,336	-	(7,769,492)
Right of use asset	258,830	-	(59,889)	-	199,141
Retirement benefit asset	334,968	-	(203,218)	148,514	220,264
	<u>40,882,021</u>	-	<u>6,521,873</u>	<u>148,514</u>	<u>47,552,518</u>
Deferred income tax assets					
Lease liabilities	(258,371)	-	65,928	-	(192,443)
Provisions	(9,522,348)	-	(333,025)	19,037	(9,836,336)
Tax losses	(3,853,834)	156,929	3,725,905	-	-
Prior year adjustments	-	-	-	-	-
	<u>(13,654,553)</u>	<u>156,929</u>	<u>3,459,808</u>	<u>19,037</u>	<u>(10,028,781)</u>
Net deferred income tax liabilities	<u>27,227,478</u>	<u>156,929</u>	<u>9,981,772</u>	<u>167,551</u>	<u>37,523,737</u>

	At July 2022	Prior year adjustments	(Credited)/ Charged to profit or loss	Credited to OCI	At 30 June 2023
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
2023					
Deferred income tax liabilities					
Property and equipment	48,792,937	-	2,631,124	-	51,424,061
Unrealised foreign exchange loss	(5,237,100)	-	(5,898,738)	-	(11,135,828)
Right of use asset	283,135	-	(24,505)	-	258,830
Retirement benefit asset	153,498	-	10,054	181,518	334,968
	<u>43,882,668</u>	-	<u>(3,272,159)</u>	<u>181,518</u>	<u>40,882,021</u>
Deferred income tax assets					
Lease liabilities	(289,427)	-	31,066	-	(258,371)
Provisions	(4,967,976)	-	(551,062)	11,005	(5,588,033)
Tax losses	(6,156,141)	-	2,272,307	-	(3,883,834)
Prior year adjustments	-	(14,315)	-	-	(14,315)
	<u>(11,413,544)</u>	<u>(14,315)</u>	<u>1,752,301</u>	<u>11,005</u>	<u>(13,664,553)</u>
Net deferred income tax liabilities	<u>22,473,124</u>	<u>(14,315)</u>	<u>(1,519,854)</u>	<u>172,623</u>	<u>27,217,478</u>

28. TRADE AND OTHER PAYABLES	2024 Shs'000	2023 Shs'000
(a) Non-current liabilities		
Capital contribution - on-going projects**	12,323,602	12,079,656
Customer deposits*	7,162,801	6,670,637
Capital contributions-projects not commenced	3,732,037	5,012,208
Deferred creditor (Fibre optic)	-	55,678
RES current account - capital (Note 37 (b) (ii))	2,350,513	1,212,864
Donor funds	1,138,763	1,328,126
Kenya Off-Grid Solar Access Project (KOSAP)	110,801	138,163
Electrification of health facilities	15,572	129,566
Sub-Station Installation-GOK Funded Account	160,000	150,000
Nuclear electricity project	4,500	11,847
Other payables	2,588,088	2,675,218
	22,194,178	22,362,883

*Customer deposits are held as a non-current liability because the Company will continue to offer services to the customers for the foreseeable future and the customers are not expected to discontinue their use of electricity in the short run. In addition, the customer deposits are a security for the electric meters supplied to the customer for long-term electricity supply.

**Capital contributions for on-going projects relate to customer contributions for capital works not completed.

(b) Current liabilities	2024 Shs'000	2023 Shs'000
KanGen (Note 37 (e))	17,327,379	22,560,531
Other suppliers' accounts	4,983,889	5,445,331
Other electricity suppliers	28,254,483	44,367,545
Other payables	11,285,128	10,541,872
RES current account - Last Mile Project (Note 37 (b) (iii))	1,978,051	2,079,238
Last mile token contribution for RES	-	1,362,138
Deferred KPLC last mile	1,658,424	1,708,287
Retention money	479,052	856,258
Rural Electrification Authority Levy** ((Note 37 (b) (ii))	10,581,274	10,363,339
Ketraco wheeling charge (Note 37 (f))	3,485,703	2,526,194
Ministry of Finance (Note 37 (b) (iii))	875,041	875,041
Prepaid revenue***	330,638	429,681
Street lighting project (Note 37 (b) (ii) and Note 38)	908,619	641,878
Energy Regulatory Levy	236,655	221,300
Deferred creditor (Fibre optic)	<u>35,328</u>	<u>72,721</u>
	80,236,426	109,058,453
Provision for impairment (Note 28 (c))	<u>2,804</u>	<u>(1,465)</u>
	80,238,230	109,064,922

(c) Movement in the provision for impairment for the Company guaranteed staff loans is as follows:

	2024 Shs'000	2023 Shs'000
At start of year	6,460	11,114
Increase/(decrease) in provision	(3,995)	(4,945)
At end of year (Note 23 (b))	2,464	6,169

(d) Aging analysis for trade payables

	2024 Shs'000	% of the total	2023 Shs'000	% of the total
0-30 days	13,233,739	30%	12,987,326	19%
31-60 days	12,821,144	30%	14,596,267	22%
61-90 days	7,379,045	17%	12,681,423	19%
Over 90 days	10,040,142	23%	26,820,345	40%
Total	43,474,130		66,985,361	

29. LEASE LIABILITIES

Lease liabilities include the net present value of the fixed lease payments discounted using the incremental borrowing rate.

	2024 Shs'000	2023 Shs'000
Balance at start year	861,237	904,757
Additions for the year	82,642	215,228
Interest charge (Note 11(b))	76,813	102,983
Payment of interest	(70,813)	(102,983)
Payment of principal	(302,394)	(318,748)
	647,485	861,237

The carrying amount of the current portion is Shs. 239,644,000 (2023: Shs. 309,655,000) while the non-current portion is Shs. 410,841,000 (2023: Shs. 556,879,000).

The maturity analysis of undiscounted lease liabilities is disclosed in Note 6 (b).

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2023

30. BORROWINGS

(a) Borrowings summary

	Currency	Interest rate	Start date	End date	2024 Shs '000	2023 Shs '000
Commercial borrowings						
StanChart Chartered Bank Loan	USD	4.15% + Libor	15/05/2016	23/06/2026	14,107,019	23,054,637
Equity Bank USD Medium Term Loan	USD	4.5% + Libor	30/09/2014	30/09/2025	283,948	1,465,021
Rand Merchant Bank Medium Term Loan	USD	7.85%	25/09/2018	25/09/2025	2,206,723	4,046,552
NCBA Bank Kenya PLC	Shs	7% (CBR +2%)	09/10/2020	03/10/2032	6,535,382	6,750,000
Accrued Interest (Note 35 (b))					916,630	559,403
					21,851,699	35,977,613
On-lent borrowings						
GOKIDA Kenya Electricity Expansion Project	USD	3.00%	11/05/2011	01/03/2036	17,602,219	17,158,094
GOKCHINA EXIM BANK (USD 109,414,648)	USD	3.00%	20/08/2014	25/06/2035	18,693,200	16,956,583
GOKIDA JSS&S 4572 KE ESRP	USD	4.50%	29/06/2025	01/06/2030	13,132,842	12,363,818
GOKINORDEA	EUR	3.00%	19/12/2014	15/09/2027	3,243,710	3,089,246
GOKIEB 23324 KE ESRP	EUR	3.97%	10/10/2007	20/07/2036	2,637,120	2,637,525
GOK/Agencia Franchise III Development	EUR	4.50%	23/09/2007	20/03/2036	1,989,909	1,018,074
GOK/ Nordic Development Fund 435 ESRP	EUR	4.50%	22/05/2007	15/06/2027	638,349	621,407
KPLCAFD Revolving Fund Loan	EUR	2.70%	31/12/2014	31/07/2035	3,696,710	3,411,487
GOKIDA 5687 KE LOAN	USD	2.00%	27/02/2010	19/11/2063	9,273,038	9,583,000
GOKIDA 2688 KE loan	Shs	7.75%	30/06/2016	30/06/2023	186,349	188,349
GOKAFD Transformer Denatification	EUR	3.70%	21/12/2014	31/07/2035	1,131,326	1,000,503
Accrued Interest (Note 35 (b))					3,246,129	9,140,980
					74,652,909	79,489,477
Total borrowings					96,504,608	115,467,090

Description	2024 Kshs	2023 Kshs
Commercial borrowings		
Balance at beginning of the year	35,927,660	42,967,616
Commercial borrowings during the year	-	-
Repayments of during the year	(10,662,041)	(10,620,802)
Revaluation (gain)/loss	(1,151,150)	5,462,826
Accrued Interest brought forward	(559,400)	(441,380)
Accrued Interest carried forward	516,600	559,400
Balance at end of the year	23,851,669	35,927,660
On Lend borrowings		
Balance at beginning of the year	79,480,477	63,675,272
On lend borrowings during the year	81,453	2,354,569
Repayments during the year	-	-
Capitalised interest	5,886,521	-
Revaluation (gain)/loss	(4,790,699)	11,455,416
Accrued Interest brought forward	(9,140,980)	(7,146,190)
Accrued Interest carried forward	3,346,129	3,140,580
Balance at end of the year	74,662,900	79,480,477
Balance at end of the period- commercial and onlend borrowings c = a+b	98,514,569	115,408,137
	2024 Shs'000	2023 Shs'000
Total borrowings	98,514,569	115,408,137
Less: amounts repayable within 12 months	(16,618,184)	(20,951,165)
Non-current	81,896,385	94,456,972

(b) Analysis of borrowings by currency	Shs Shs' 000	USD Shs' 000	Euros Shs' 000	Total Shs' 000
2024				
Loans	10,666,861	75,490,985	12,337,123	98,514,969
2023				
Loans	16,636,729	85,290,656	12,478,752	115,406,137

(c) Maturity of borrowings	2024 Shs'000	2023 Shs'000
Due within 1 year	16,618,184	20,951,165
Due between 1 and 2 years	23,970,253	13,953,213
Due between 2 and 5 years	26,314,972	26,027,692
Due after 5 years	29,610,180	54,476,037
	96,514,589	115,408,137

(d) Compliance with debt covenants

During the year, the Company met all its loan repayment obligations. The Company was in compliance with all financial covenants during the year except for the Current Ratio covenant relating to the below borrowings from Standard Chartered Bank and Rand Merchant Bank. This covenant compares the current assets with the current liabilities.

	Current Shs'000	Non-current Shs'000	Total Shs'000
Standard Chartered Bank USD 350m loan	5,541,754	10,625,262	14,167,016
Rand Merchant Bank USD Medium Term Loan	2,295,723	-	2,295,723
	<u>5,808,477</u>	<u>10,625,262</u>	<u>16,433,739</u>
		Covenant requirement	As per the financial statements
For Standard Chartered Bank and Rand Merchant Bank			
Current assets (Shs'000)		-	78,065,512
Current liabilities (Shs'000)		-	105,540,333
Current ratio		1	0.74

Paragraph 14 of IAS 1 'Presentation of financial statements' requires the reclassification of the non-current portion of borrowings with covenant breaches to current. This reclassification has not been performed in the financial statements because the Company obtained waivers before the end of the reporting period, 30 June 2024, which gave consent of extension of the breach from 30 June 2024 to 30 June 2025.

Through a letter from Standard Chartered Bank dated 26 June 2024, the lender communicated consent of extension of the breach from 30 June 2024 to 30 June 2025.

Through a letter from Rand Merchant Bank dated 12 June 2024, the lender communicated that the breach would be condoned from 30 June 2024 to 30 June 2025 while reserving the rights under the facility agreement.

31. PREFERENCE SHARES

	2024 Shs'000	2023 Shs'000
Authorised, issued and fully paid		
350,000 - 7% cumulative preference shares of Shs 20 each	7,000	7,000
1,800,000 - 4% cumulative preference shares of Shs 20 each	<u>36,000</u>	<u>36,000</u>
	<u>43,000</u>	<u>43,000</u>

The preference shares are treated as financial liabilities because the Company has a contractual obligation to pay preference dividends on the shares.

32. RETIREMENT BENEFIT ASSET

The Company operates a funded defined benefit plan (the "DB Scheme") for its employees that is established under irrevocable trust. The DB Scheme was closed to new members and future accrual of service as from 1 July 2006. Currently, no contributions are payable by employees to the DB Scheme and the Company is on a contribution holiday. DB Scheme assets are invested in a variety of asset classes comprising of government securities, fixed and time deposits, corporate bonds, equities and offshore investments. A separate defined contribution scheme (the "DC Scheme") was setup in respect of service from 1 July 2006. The contributions to the DC Scheme are accounted separately in the Company's statement of profit or loss.

The benefits provided by the DB Scheme are based on a formula taking into account years and complete months of service with the employer since joining the scheme to the closing date. Under the DB Scheme, the employees are entitled to retirement benefits varying between 3 and 5 percent of final pensionable emoluments on attainment of the retirement age.

The DB Scheme is governed by the Retirement Benefits Act, 1997. This requires that an actuarial valuation be carried out at least every three years for the DB Scheme. The most recent actuarial valuation of the DB Scheme was carried out at 31 December 2019 using the Projected Credit Method, by an independent qualified actuary. For the purposes of calculating the actuarial liability under the Scheme as at 30 June 2022 the Company engaged the services of an actuary, Actuarial Services (East Africa) Limited. The Actuary "rolled forward" the results of the actuarial valuation as at 31 December 2022 to 30 June 2024.

The Company is exposed to the following actuarial risks:

a) Investment risk

The present value of the defined benefit plan liability is calculated using a discount rate determined by reference to high-quality corporate bond yields; if the return on plan assets is below this rate, it will create a plan deficit. Currently, the plan has a relatively balanced investment in investment properties, government securities, equity investments, corporate bonds and short-term deposits. Due to the long-term nature of the DB Scheme liabilities, management considers it appropriate that a reasonable portion of the plan assets should be invested in equity securities and in real estate to leverage the return generated by the DB Scheme.

b) Interest risk

A decrease in bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments.

c) Longevity risk

Benefits in the DB Scheme are payable on retirement, resignation, death or ill-health retirement. The actual cost to the Company of the benefits is therefore subject to the demographic movements of employees.

- it) The benefits are linked to salary and consequently have an associated risk to increases in salary.

The principal assumptions used for the purposes of the actuarial valuations were as follows:

	2024	2023
Discount rate	16%	15%
Expected rate of return on assets	18%	16%
Future salary increases	5.0%	5.0%
Retirement age	55 years	50 years

The updated position arising from the Company's obligation in respect of its DB Scheme is as follows:

The current service costs and the net interest expense for the year are included in administration expenses in profit or loss (Note 9 (c)).

The measurement of the defined benefit liability is included in other comprehensive income. The amounts recognised in profit or loss and other comprehensive income in respect of the defined benefit plan are as follows:

	2024 Shs'000	2023 Shs'000
Current service cost	-	-
Past service cost*	1,044,878	-
Interest cost on defined benefit obligation	1,954,470	1,756,434
Interest income on plan assets	(2,288,436)	(2,142,675)
Interest on the effect of the asset ceiling	167,454	318,726
Adjustments for previous years asset values	-	-
Net expense recognised in profit or loss (Note 10)	87,926	(169,515)

*The past service cost arises from two changes: the revision of the NRA from 50 to 55, and the adjustment of the effective period for the revised accrual rate. Initially, it was assumed that the revised accrual rate would take effect from 1 January 2005, but it is now assumed to take effect from the date of the Amended TOR, 12 June 2003.

	2024 Shs'000	2023 Shs'000
Net actuarial gains	(2,291,304)	(552,808)
Return on plan assets (excluding amount in interest cost)	2,346,695	1,676,014
Changes in effect of asset ceiling (excluding amounts in interest cost)	(543,834)	(1,662,597)
Recognised in other comprehensive income	(498,443)	(539,392)
Total net actuarial (gains)/losses	(990,886)	(1,076,784)

The amount included in the statement of financial position arising from the Company's obligation in respect of its defined benefit retirement plan is as follows:

	2024 Shs'000	2023 Shs'000
Fair value of plan assets	14,745,708	15,691,828
Present value of funded defined benefit obligation	<u>(13,277,292)</u>	<u>(13,458,711)</u>
	1,468,416	2,233,117
Limit on defined benefit asset	<u>(734,202)</u>	<u>(1,116,558)</u>
Present value of funded defined benefit asset	734,202	1,116,558

The reconciliation of the amount included in the statement of financial position is as follows:

	2024 Shs'000	2023 Shs'000
Net asset at the start of the year	1,116,558	511,652
Net income recognised in profit or loss (Note 9 (c))	(877,394)	66,514
Amount recognised in other comprehensive income	<u>496,043</u>	<u>538,292</u>
Present value of funded defined benefit asset	734,202	1,116,558

Movement in the present value of defined benefit funded obligations in the current year is as follows:

	2024 Shs'000	2023 Shs'000
At start of year	13,458,711	13,954,701
Current service cost	-	-
Past service cost	1,044,878	-
Interest cost on obligation	1,954,470	1,768,434
Actuarial gain	(2,291,904)	(1,337,127)
Benefits paid	<u>(688,862)</u>	<u>(915,397)</u>
At end of year	13,277,292	13,458,711

Movement in the fair value of defined benefit scheme assets is as follows:

	2024 Shs'000	2023 Shs'000
At start of year	(15,691,828)	(16,925,783)
Interest income on plan assets	(2,289,438)	(2,142,879)
Return on plan assets, excluding amount in interest income	2,346,695	2,481,333
Benefits paid	688,862	915,297
At end of year	(14,745,708)	(15,691,828)

The fair value of the plan assets at the end of the reporting period for each category, are as follows:

	2024 Shs'000	2023 Shs'000
Property	7,418,718	7,115,350
Debt instruments	4,407,057	4,819,348
Equity instruments	2,251,108	2,449,282
Others	<u>668,825</u>	<u>1,307,860</u>
Total scheme assets	14,745,708	15,691,828

The fair values of the above equity and debt instruments are determined based on quoted market prices in active markets whereas the fair values of properties are not based on quoted market prices in active markets. This treatment has been implemented during the current and prior years.

The Company also contributes to the statutory National Social Security Fund (NSSF). This is a defined contribution scheme registered under the National Social Security Act. The Company's obligations under the scheme are limited to making specific contributions as mandated by the law, which are currently set at 6% of an employee's pensionable earnings subject to an upper limit of Shs 2,160 for employees earning above Shs 18,000.

Sensitivity analysis

A sensitivity analysis was performed on the model and A 1% p.a. reduction in the discount rate will increase the actuarial liability estimated at 30 June 2024 to around KShs 13.9 billion (with all other assumptions remaining the same). If the discount rate is increased by 1% p.a., then the actuarial liability estimated would fall to around KShs 12.7 billion.

33. PROVISIONS

This is estimated provision for monetary liability for employees' accrued annual leave entitlement and present value of employee gratuity benefits.

	2024 Shs'000	2023 Shs'000
(a) Leave pay obligation		
At start of year	342,534	375,804
Increase/(decrease) in provisions (Note 9 (c))	155,434	(30,370)
At end of year	497,968	345,434
(b) Leave allowance provision		
At start of year	163,548	171,924
Increase/(decrease) in provisions (Note 9 (c))	31,914	(8,375)
At end of year	195,462	163,548
(c) Gratuity provision		
Opening benefit obligation	452,459	435,039
Current service cost	185,023	253,343
Interest cost	44,915	48,204
Actuarial gain	(53,458)	(36,884)
Benefits and expenses paid	(457,208)	(249,043)
Net liability at end of year	161,731	452,459

Movement in the present value of defined benefit funded obligations in the current year is as follows:

	2024 Shs'000	2023 Shs'000
Present value of the defined benefit obligation at start of year	452,459	435,039
Charge recognised in the profit or loss for the year (Note 9 (c))	229,938	301,547
Benefits paid to the outgoing employees during the year	(457,208)	(249,043)
Actuarial gain on the obligation recognised in other comprehensive income	(53,458)	(36,884)
Present value of the defined obligation at end of year	161,731	452,459
Total provisions	855,162	968,542

34. DIVIDENDS PAYABLE

	2024 Shs'000	2023 Shs'000
Dividends payable on ordinary shares	748,130	731,812

These relate to unclaimed dividends payable to different ordinary shareholders.

The movement in the dividend payable account is as follows:

	2024 Shs'000	2023 Shs'000
At start of year	751,812	756,170
Declared during the year	1,930	1,930
Paid during the year	(9,382)	(18,488)
At end of year	748,130	731,812

35. CONTRACT BALANCES

Electricity receivables (Note 21(b))	16,781,812	18,358,829
Contract liabilities (Note 28)	12,323,602	12,079,656

The net carrying amount of electricity receivables stood at Shs 16,782 million (2023: Shs 18,360 million.)

Contract liabilities relate to contributions from customers for connection to the Company's electricity network and the works are ongoing. These contributions are held in trade payables as progress payments until the work on the connection has been completed. Once the customers are connected to the electricity supply, the Company would have satisfied its performance obligation hence transferring the capital contributions to deferred income and released to revenue in the income statement over the estimated useful economic lives of the related assets.

The movement in the contract liabilities is as follows:

	2024 Shs'000	2023 Shs'000
At start of year	12,079,656	12,874,798
Additions during the year	8,457,979	4,959,187
Transferred to deferred income during the year (Note 26)	(8,214,033)	(5,754,330)
At end of year	12,323,602	12,079,656

34. NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of operating profit to cash generated from operations

	2024	2023
	Shs'000	Shs'000
Profit before taxation	43,556,029	(4,433,868)
Depreciation of property and equipment (Note 16)	15,991,991	15,806,349
Impairment loss on Work in Progress (WIP) (Note 16)	3,358	25,638
Reversal of impairment loss on WIP	(1,630)	(3,805)
Amortisation of intangible assets (Note 18)	208,208	559,045
Amortisation of leasehold land (Note 17)	27,598	34,759
Depreciation of ROU (Right-of-use) asset (Note 19)	273,595	291,130
Amortisation of capital contribution (Note 7 (c))	(3,575,564)	(3,578,513)
Loss on disposal of property and equipment (Note 36 (d))	486,453	931,499
Loss on retirement of ROU (Note 36 (d))	6,011	1,129
Loss on retirement of leasehold to ROU (Note 36 (d))	3,913	-
Finance income (Note 11 (a))	(1,403,055)	(558,540)
Finance costs (Note 11 (b))	(1,165,260)	24,101,536
Interest expense on lease liabilities (Note 11 (b))	76,813	102,983
Movement in provision for leave pay, gratuity and leave allowance (Note 33)	417,280	250,902
Movement in provisions for credit losses on short-term deposits (Note 22 (a))	259	(5,488)
Movement in provisions for credit losses on bank balances ((Note 22 (b))	(121,023)	59,487
Movement in provisions for company guaranteed loans ((Note 25 (b))	(3,685)	(4,645)
Movement in provisions for credit losses on trade and other receivables	1,178,489	2,321,753
Movement in provision for slow moving inventories (Note 20)	836	(445,889)
Retirement benefit plan credits (Note 9 (c))	877,384	(65,514)
Unrealised foreign exchange losses on cash and cash equivalents (Note 11 (d))	405,647	(50,577)
Working capital changes:		
Inventories	(3,175,246)	690,213
Trade and other receivables	(3,039,952)	(18,993,781)
Deferred income	6,214,034	8,754,330
Trade and other payables	(24,580,541)	14,592,707
Cash generated from operations	32,681,246	37,644,911

(b) Analysis of changes in borrowings

At start of year	115,408,137	104,542,888
Proceeds	81,452	2,354,909
Capitalised interest	5,688,520	-
Repayments	(10,982,047)	(10,820,807)
Repayment of previous year's accrued interest	(9,700,380)	(7,587,550)
Foreign exchange losses	(5,941,849)	16,918,242
Accrued interest (Note 30 (a))	3,962,730	9,700,380
At end of year	88,514,563	115,408,137

	2024 Shs'000	2023 Shs'000
Net debt reconciliation		
Cash and bank balances (Note 22 (b))	8,997,581	17,730,140
Short-term deposits (Note 22 (a))	576,368	501,060
Overdrafts (Note 22 (b))	-	-
Borrowings (Note 30)	(98,814,528)	(115,408,137)
Net debt	(89,240,620)	(97,176,937)
Net debt reconciliation		
Cash, bank balances and short-term deposits	9,573,949	18,231,180
Gross debt – fixed interest rates	(77,001,223)	(63,669,378)
Gross debt – variable interest rates	(21,513,348)	(31,748,758)
Net debt	(88,940,620)	(97,176,947)
(c) Analysis of cash and cash equivalents		
Short-term deposits (Note 22 (a))	550,400	508,140
Cash and bank balances (Note 22(b))	9,802,980	17,822,476
	10,353,440	18,330,616
For the purpose of the cash flow statement, cash and cash equivalents include short-term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired; less advances from banks repayable within three months from date of disbursement or date of confirmation of the advance.		
(d) Analysis of proceeds from disposal of property and equipment		
Proceeds from disposal of property and equipment	102,123	233,130
Less: disposed assets at net book value	(528,579)	(1,164,829)
Loss on disposal of property and equipment	(426,453)	(931,699)
Proceeds of retirement of right of use assets (ROU)		
Proceeds from retirement of ROU	-	-
Less: retired assets at net book value	8,911	1,129
Loss on retirement of ROU	(8,911)	(1,129)
Proceeds on retirement of leasehold land		
Proceeds from retirement of leasehold land	-	-
Less: retired assets at net book value	3,913	-
Loss on retirement of leasehold land	(3,913)	-
Loss on disposal/retirement of non-current assets (Note 9 (a))	(439,377)	(932,828)

(e) Analysis of interest paid

	2024 Shs'000	2023 Shs'000
Interest on loans (Note 11(b))	8,038,682	5,865,561
Overdraft interest (Note 11(b))	83	603
Interest on late payment invoices (Note 11(b))	281,853	1,125,142
	7,026,548	6,986,507
Interest on loans capitalized	-	-
Accrued interest brought forward (Note 30 (a))	9,700,360	7,587,560
Interest on loans capitalised	(5,889,520)	-
Revaluation of interest capitalised	(2,489,972)	-
Accrued interest carried forward (Note 30 (a))	(3,952,720)	(9,700,360)
Interest paid	4,681,798	4,873,487

(f) Analysis of dividends paid

	2024 Shs'000	2023 Shs'000
At start of year	751,612	758,176
Preference dividends - 4% and 7% cumulative preference shares	1,920	1,920
At end of year	(748,190)	(751,612)
Dividends paid	5,352	8,488

(g) Analysis of interest received

Interest received on bank and other deposits (Note 11 (a))	1,483,956	506,640
Accrued interest brought forward	30,656	2,259
Accrued interest carried forward	(7,886)	(39,556)
Interest received	1,525,722	469,343

(h) Purchase of property and equipment

Work in progress additions (Note 18)	24,382,165	12,300,538
Exchange loss on loans for on-going projects capitalised	-	-
Property and equipment purchased	24,382,165	12,300,538

*The Company capitalises interest on qualifying projects quarterly at the average cost of debt of 5.03% (2023: 5.46%).

37. RELATED PARTY DISCLOSURES

The Government of Kenya is the principal shareholder in The Kenya Power & Lighting Company Plc (KPLC) holding a 50.1% equity interest. The Government also holds 70% and 100% of the equity interest in Kenya Electricity Generating Company Plc (KenGen) and Kenya Electricity Transmission Company (KETRACO), respectively. The Company is related to KenGen and KETRACO through common control. During the year, the following transactions were carried out with related parties:

(a) The Company had no individually significant transactions carried out on non-market terms.

(b) Other transactions that are collectively significant are detailed as follows:

	2024 Shs'000	2023 Shs'000
(i) Ministries:		
Electricity sales to Government Ministries	5,321,714	4,976,128
Electricity sales to strategic parastatals	2,221,635	1,574,920
(ii) Outstanding balances at the year-end included in trade and other receivables:		
Receivable from Government of Kenya-RES recurrent losses (Note 21 (b))	20,885,124	20,928,111
Receivable from Government of Kenya (Note 21 (b))	424,549	271,549
VAT recoverable (Note 21 (b))	1,764,046	1,439,848
RES – Intercompany (Note 21 (b))	6,104,883	6,117,783
Last mile token contribution for RES	597,834	-
Ministries & County governments- Electricity sales receivable*	5,340,628	4,166,543
Strategic parastatals- Electricity sales receivable	403,947	487,193
Rural Electrification Authority current account (Note 21 (b))	-	248,504
Ministry of Energy and other sector entities	158,383	158,383
	45,700,416	38,818,284

* Ministries & County governments: amended to include devolved services and public health facilities

(iii) Outstanding balances at the year-end included in trade and other payables:

	2024 Shs'000	2023 Shs'000
RES current account - Last Mile (Note 28 (b))	1,876,051	2,076,239
Rural Electrification Authority levy (Note 28 (b))	10,591,274	10,993,339
REREC Garissa Solar Plant	160,161	494,600
Ministry of Finance (Note 28 (b))	875,041	875,041
Government of Kenya - Street lighting project (Note 28 (b))	808,819	641,870
RES – capital (Note 25 (a))	2,350,513	1,212,864
	16,762,879	16,294,981
Net amount owed by Government of Kenya	28,936,735	23,551,400

The tariffs applicable to Government Institutions are the same as those charged to other ordinary customers.

(c) Staff

	2024 Shs'000	2023 Shs'000
(i) Advances to staff included in trade and other receivables	<u>803,114</u>	<u>684,529</u>

The Company advances loans to staff at an interest charge of 12% (2022 13%). The loans are mainly classified into salary, motorcycle, laptop and domestic appliances loans. The outstanding amounts are recovered from payroll on a monthly basis. The repayment period is between 12 to 36 months.

(ii) Key management compensation	2024 Shs'000	2023 Shs'000
Short-term employee benefits	8,131	11,186
Termination benefits	<u>28,327</u>	<u>17,522</u>
	<u>36,458</u>	<u>28,708</u>

Short-term employee benefits include those relating to the Managing Director and Chief Executive Officer who is also a Director are disclosed below:

	2024 Shs'000	2023 Shs'000
Fees for services as Director Non-Executive Directors (Note 12)	5,145	4,627
Other emoluments: Salaries and other short-term employment benefits: Non-Executive Directors (Note 12)	14,305	15,485
Executive Directors and key management staff	<u>26,458</u>	<u>28,708</u>
	<u>50,024</u>	<u>45,183</u>
	<u>55,869</u>	<u>49,820</u>

(d) Rural Electrification Scheme (RES)

The Company continued to manage the RES under the Rural Electrification Programme (REP), on behalf of the Government of Kenya.

The Rural Electrification Programme (REP) was established in 1973 by the Government of Kenya following an agreement between the Government and East African Power & Lighting Company Limited, the predecessor to The Kenya Power & Lighting Company Plc. The programme was established with the specific objective to extend electricity to the sub-economic rural areas. In order to intensify the expansion of these sub-economic regions, the Government has established the Rural Electrification Authority (REA). However, KPLC continues to operate and maintain the whole network, in addition to implementing projects for the Authority on contract basis.

The Company has entered into a Mutual Co-operation and Provision of Services Agreement with REA to operate and maintain lines owned by REA. In return, the Company will retain revenues generated from RES customers to cover maintenance costs incurred by the Company. However, the Company continues to invoice the Government for the expenditure incurred to complete on-going projects.

The REP is funded by the Government of Kenya. Any property acquired by REP remains the property of the Government of Kenya. KPLC only acts as a management agent on behalf of the Government. The balances due to RES are disclosed in Note 37 (b) (i) and (ii).

(e) KenGen

	2024 Shs'000	2023 Shs'000
Electricity purchases (before allocation to RES)	80,008,167	53,570,323
Amounts due to KenGen on electricity purchases (Note 28 (b))	17,327,329	22,560,531
Electricity sales	553,568	485,597
Amounts due from KenGen on account of electricity sales	186,746	164,885
Amounts due from KenGen on account of sector entities media campaign	30,000	30,000
Amounts due from KenGen on account of lease of fiber	26,586	46,448

(f) KETRACO

	2024 Shs'000	2023 Shs'000
During the year, the following transactions were carried out with KETRACO		
Wheeling charge KETRACO (Note 9 (a))	5,215,614	3,720,102
Maintenance costs for Transmission lines (Note 7 (c))	-	-
KEEP/KETRACO 132/33KV substations	-	-
	<u>5,215,614</u>	<u>3,720,102</u>
Outstanding balances at the year-end included in trade and other payables:		
KETRACO wheeling charge (Note 28 (b))	<u>3,485,759</u>	<u>2,589,156</u>
Outstanding balances at the year-end included in trade and other receivables:		
KEEP/KETRACO 132KV Transmission lines	47,208	47,208
KEEP/KETRACO 132/33KV substations	107,391	107,391
Interest paid on repayment of 2.5% Exim Bank Loan	27,699	27,695
Amount due from Ketraco on account of local costs*	597,942	597,942
Amount due from Ketraco on 0.75% JICA loan (inclusive of interest)	221,272	221,272
Maintenance costs for Transmission lines	<u>143,855</u>	<u>143,855</u>
	<u>1,715,063</u>	<u>1,715,063</u>

*These are local costs incurred by KPLC in the construction of Kisii Chempost and Kamukuru- Meru lines

(g) KPLC Staff Retirement Benefits Scheme

The Company rents property owned by the staff retirement benefits scheme for office space. Rent paid to the scheme in the year amounted to Shs 177 million (2023: Shs 177 million). The outstanding balance to the retirement benefit scheme as at 30 June 2024 was Shs nil million (2023: Shs nil million).

The year-end outstanding balances with related parties are interest free and settlement occurs in cash.

38. GOVERNMENT GRANT

The Company received grants from the Government of Kenya to subsidise electricity connectivity and to finance street lighting projects. The grants amounted to Shs 795,297,000 (2023: Shs 381,500,000).

The movement in the grant accounts in the current year is as follows:

	2024 Shs'000	2023 Shs'000
Connectivity		
At start of year	271,549	296,549
Disbursements received during the year	-	(25,000)
Utilised during the year	153,000	-
New connections during the year	<u>-</u>	<u>-</u>
At end of year	424,549	271,549
Street lighting		
At start of year	541,879	2,152,548
Disbursements received during the year	755,297	336,500
Completed projects during the year	(628,555)	(1,857,170)
At end of year	868,619	641,878

The connectivity amount of Shs 425 million (2023: Shs 272 million) receivable for connectivity projects has been disclosed under trade and other receivables, while Shs 868 million (2023: Shs 642 million) for street lighting is accounted for under trade and other payables.

39. CAPITAL COMMITMENTS

The capital commitments relate to the ongoing capital projects which have been approved and are at various stages of implementation.

	2024 Shs'000	2023 Shs'000
Authorised and contracted for	82,749,332	41,119,799
Less: amount incurred and included in work-in-progress	<u>(10,375,190)</u>	<u>(10,375,638)</u>
	72,374,142	30,744,161

40. CONTINGENT LIABILITIES

	2024 Shs'000	2023 Shs'000
Bank guarantees	683,525	-
Claims on the Company	7,817,493	7,008,575
	<u>8,501,018</u>	<u>7,008,575</u>

Cases filed against the Company are being handled by legal counsel appointed by the Company.

The Directors, based on professional advice and previous courts' pronouncements, are of the opinion that significant loss may arise from these matters.

The following is a highlight of the significant claims against the Company: -

Litigation and claims

- i) Case No. 1720 of 2002 is a case for alleged trespass to land.
- ii) Case No. 3664 of 2003 seeks compensation for the wayleaves trace.
- iii) Case No. 87 of 2012 (formerly CoA 73 of 2016) is a claim for an alleged trespass to land.
- iv) Case No. 1048 of 2014 is a case for alleged trespass to land.
- v) Case No. 166 of 2016 seeks for payments, interest, and demurrages charges for an alleged loss occasioned as a result of an alleged breach of contract.
- vi) Case No. 311 of 2016 is a claim on account of the alleged losses incurred due to alleged transformer failure.
- vii) Case No. 332 of 2017 is a claim for an alleged breach of contract.
- viii) Case No. 432 of 2017 is a suit for an alleged breach of contract.
- ix) Cause No. 2130 of 2017 is a suit for alleged unlawful dismissal.
- x) Case No. E046 of 2018 claims for alleged breach of contracts for supply of poles.
- xi) Case No. 206 of 2018 is a claim for an alleged breach of contract.
- xii) Miscellaneous Application No. 331 of 2018 seeks to stop the Company from disconnecting power supply to the Plaintiff arising out of unpaid electricity debt.
- xiii) Petition No. 448 of 2018 seeks orders to stop the commissioning of a project.
- xiv) Cause No. 17 of 2018 (formerly Case No. 74 of 2003) is an employment matter instituted by former staff.
- xv) Case No. E091 of 2020 claims for alleged breach of contracts for supply of poles.
- xvi) Case No. E006 of 2021 is a claim for alleged breach of contract.
- xvii) Case No. E008 of 2021 is a claim for alleged trespass on land.
- xviii) Case No. E307 of 2021 is a claim for alleged trespass on land.
- xix) Case No. E802 of 2021 is a claim arising out of a procurement.
- xx) Case No. E047 of 2022 is a claim for alleged trespass on land.
- xxi) Case No. E106 of 2022 is a claim for compensation for an alleged breach of contract.
- xxii) Case No. E157 of 2022 claims for alleged breach of contract for supply of wooden poles.
- xxiii) Case No. E215 of 2022 is a dispute regarding alleged termination of contracts for supply of transformers.
- xxiv) Petition No. E103 of 2023 challenges the implementation of the RTA.

Other claims lodged against the Company relate to civil suits which have arisen in the normal course of business.

41. FUTURE RENTAL COMMITMENTS UNDER OPERATING LEASES

As a lessor:

The future minimum lease payments receivable under non-cancellable operating leases are as follows:

	2024 Shs'000	2023 Shs'000
Not later than 1 year	100,213	67,420
Later than 1 year and not later than 5 years	347,498	412,521
More than 5 years	80,465	143,820
	528,176	623,761

As a lessor, the Company has entered into commercial property leases on its property, and it retains all the significant risks and rewards of ownership of these properties and therefore accounts for the contracts as operating leases.

42. WORLD BANK FINANCING

(a) KEEP Loan (IDA Credit No. 4743-KE)

The Company received funding from the World Bank through Credit No. 4743-KE to support electricity expansion projects.

Included in the long-term borrowings is an amount of Shs 17,092,219,000 (US\$136,590,976) (2023: Shs 17,158,994,455,000 (US\$ 122,107,851) in respect of the amounts disbursed under the loan to date. The proceeds of the World Bank loan have been expended in accordance with the intended purpose as specified in the loan agreement.

(b) KEMP (IDA Credit No. 5587-KE) LOAN

The Company received funding from the World Bank through Credit No. 5587-KE to support electricity modernization projects. Summary information on transactions under KEMP Loan during the two years ended 30 June 2024 and 2023 were as follows:

	2024 Shs'000	2023 Shs'000
At start of year	102,797	305,607
Amounts received during the year	-	155,730
Net interest income	1,447	5,038
Expenditure during the year	<u>(71,189)</u>	<u>(363,578)</u>
Balance at end of year	32,055	192,797

The closing balances shown above are included in cash and cash equivalents and represent balances in the World Bank funded Special Account No. 1400266705947 held at Equity Bank Limited. Included in the long-term borrowings is an amount of Shs 9,273,038,000 (US\$ 71,591,541) (2023: Shs 9,592,999,056 (US\$ 68,266,159) in respect of the amounts disbursed under the loan to date. The proceeds of the World Bank through Credit No. 5587-KE have been expended in accordance with the intended purpose as specified in the loan agreement.

(c) KEMP (IDA Credit No. 5587-KE) GRANT

The Company received funding from the World Bank through Credit No.5587-KE to support electrification projects. Summary information on transactions under KEMP Grant during the two years ended 30 June 2024 and 2023 were as follows:

	2024 Shs'000	2023 Shs'000
As start of year	55,099	167,901
Amounts received during year	-	258,469
Net interest income	1,068	3,191
Expenditure during year	(17,968)	(274,492)
Balance at end of year	38,199	55,099

The closing balances shown above are included in cash and cash equivalents and represent balances on the World Bank funded Special Account No14092087090088 held at Equity Bank Limited. The proceeds of World Bank grant have been expended in accordance with the intended purpose as specified in the loan agreement.

43. EUROPEAN INVESTMENT BANK (EIB) FINANCING

The Company received financial support from EIB for Grid development, included in the long-term borrowings is an amount of Shs 2,637,120,000 (Euro 18,980,408) (2023: Shs 2,637,954,754 (Euro 17,243,475) in respect of the outstanding loan balance. The proceeds of the European Investment Bank loan have been expended in accordance with the intended purpose as specified in the loan agreement.

44. EVENTS AFTER THE REPORTING DATE

The Directors are not aware of any other material events after the reporting date that would require adjustment to, or disclosure in, these financial statements.

ANNEXURE I: IMPLEMENTATION STATUS OF AUDITOR GENERAL PRIOR YEAR RECOMMENDATIONS

Matter in the 2023 Auditor-General Report	Status in 2024	Management Response	Timeframe																		
Material Uncertainty Relating to Going Concern	Not Resolved	Despite the challenging operating environment, the Company has made significant strides in improving its financial performance as evidenced by the increased sales revenue and the improving working capital position. These coupled with the now approved tariff and the strategic initiatives put in place will strengthen the Company's financial position and improve its performance. The Company's working capital position has continued to steadily improve over the past five years. The negative working capital improved from a low of Ksh 74,640 billion in FY 2020 to Ksh 27,485 million in the year under review. <table><tr><th></th><th>2020</th><th>2021</th><th>2022</th><th>2023</th><th>2024</th></tr><tr><td></td><td>KSH M</td><td>KSH M</td><td>KSH M</td><td>KSH M</td><td>KSH M</td></tr><tr><td>Net Working Capital</td><td>(74,640)</td><td>(59,351)</td><td>(66,429)</td><td>(51,234)</td><td>(27,485)</td></tr></table> The Board of Directors and management are confident that the Strategic initiatives put in place will drive financial turnaround and enhance business sustainability. - The Company wrote to the MOE requesting the Cabinet Secretary to assist in demanding the sector agencies to honour their commitments and settle the outstanding payments. - The Company has since stopped invoicing the County Governments and has subsequently sought MOEP approval for any County Street Lighting requirement. MOEP has since given consent for the implementation of Street Lighting projects utilising funds allocated for the National Street lighting program. The Company is seeking		2020	2021	2022	2023	2024		KSH M	KSH M	KSH M	KSH M	KSH M	Net Working Capital	(74,640)	(59,351)	(66,429)	(51,234)	(27,485)	30 June 2025
	2020	2021	2022	2023	2024																
	KSH M	KSH M	KSH M	KSH M	KSH M																
Net Working Capital	(74,640)	(59,351)	(66,429)	(51,234)	(27,485)																
Long Receivables Outstanding from Other Government Entities	Not Resolved			30 June 2025																	

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

			assistance of the National Government in having the county governments pay these amounts.	
			The RES deficit of Ksh. 33,734,986,000 is an accumulation of carried forward deficit Ksh. 26,920,000,000 plus current deficit of Ksh. 4,814,026,000 less part repayment of Ksh. 809,500,000 by GOK in the year 2023/24. The 19,460,000,000 provided in The MOEP Budget is yet to be disbursed. The Company, on a monthly basis, provides the MOEP with a reconciliation on RES Schemes, hence Ministry is aware of the increasing RES Deficit.	
Foreign Currency Exposure and Uncompensated Forex Losses	Not Resolved		To mitigate this forex risk exposure, the Company is reviewing the current treatment of the unrealised exchange losses through its income statement. This review is informed by Kenya Power's right to recover its unrealised exchange losses through the Foreign Exchange Rate Fluctuation Adjustment (FERFA) model, as provided by the Energy and Petroleum Regulatory Authority (EPRA).	
Unmatched Pass through Costs to Revenue	Resolved		The Gazetted Schedule of Tariffs, 2021 Part II (PASS THROUGH CHARGES, TAXES AND LEVIES), provides under the Fuel Energy Cost (FEC) a mechanism to recover power purchase costs associated with future temporary power plants, geothermal steam charge and costs of other power plants to be constructed in respect of which the Company shall enter into a power purchase agreement. In this regard, during the FY 2022/23 there were some power purchase costs that had not been factored in the approved base-run-fuel tariffs (Approved Tariffs in Nov 2018) and therefore these costs were allowed by the EPRA to be recovered through FEC pass-through mechanism. This explains the observed variation.	
Penalties on Overdue Invoices	Not Resolved		The interest in late payment of invoices is aimed at compensating the counterparties for payments made outside the agreed credit period as provided for in the power purchase agreement. KPLC incurred this interest based on the following: Owing to the persistent negative working capital position of the business, KPLC had, over the last seven years, accumulated overdue obligations for which payment plans had to be entered into with the counterparties. In the year under review, KPLC made payments of	30 June 2025

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

		over Ksh 24 billion (Koribon Ksh 5.2b, IPPs Ksh 18.1b, KETRACO Ksh 0.9b) over and above the annual invoice total in a deliberate effort to reduce the overdue amounts that lead to penalty charges. - Relatedly, if KPLC was to make payment of all outstanding obligations within the credit period, it would have to borrow funds thus incurring a financing cost at the market rate that is much higher than the charges incurred. - The acute shortage of foreign currency in the market over the past two years driven up the outstanding obligations especially considering that a significant part of power purchase is denominated in foreign currency. This was a situation beyond KPLC's control and thus not avoidable.		
Power losses in the system	Not Resolved	The Technical Losses are integrated as Transmission Losses and Distribution Losses. Metering of energy from Power producers is done at source hence they don't bear losses. As at now the existing instruments don't provide for transfer of losses responsibility from KPLC to KETRACO and NERC. All transmission lines and medium voltage feeders are metered so it is practical to ascertain losses associated with specific transmission lines and able to ascertain losses associated with KETRACO Lines.		30 June 2025
Un-procedural purchase of land	Resolved			
Irregular procurement of spare parts for Distribution Automation Systems	Resolved			
Failure to prepare financial statements for a donor funded project	Resolved			

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

Irregular payment of long outstanding payables	Resolved	The delay in settlement of the trade payables (vendors) arose mainly due to disputed power purchase invoices. Late payment resulted in delayed power purchase payments, cash flow challenges due to unreliability of local currency and pending court cases. Management had engaged the power generators to accept payment in Ksh equivalent but the update was slow. Management has intensified efforts through engagements with power generators to resolve disputed amounts. Availability of foreign currency has since improved in the first quarter of the current year and the settlement of the long outstanding payable is ongoing.	
Irregular payment of exit pay	Resolved		
Acting allowance beyond the limit	Resolved	The current Human Resource policies and procedures No.2 part (f) provides for payment of acting allowance for employees who have acted for beyond 9 months on approval by the General Manager, HR & Admin.	
Delays in completion of customer electricity connection projects	Recurring	During the year under review there has been enhanced customer connectivity and schemes over 3 years reduced from 21,231 as reported in last year audit findings to the reported 2,252 schemes in the year under audit. The rapid response initiative to connect all pending customers are still ongoing in the current financial year. The projects are at different levels of execution and delays are experienced by lack of materials in prior years preceding the year under audit.	30 June 2025
Weaknesses in project management	Not Resolved	Management is currently tracking all the pending schemes for completion during the current financial year.	30 June 2025

THE KENYA POWER AND LIGHTING COMPANY PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2024

Unpaid electricity bills	Not Resolved	Management has engaged with the various counties and Government agencies to settle the outstanding bills which is a significant percentage of the outstanding debt.	30 June 2024
Pre-loaded units debt	Resolved		
Power outages as a result of unstable renewable energy generation	Resolved		
Unsettled connections	Not Resolved	KPLC was indeed facing a shortage of meters and the concerned user departments had already raised requisitions which had been approved by the Accounting Officer through a Business Case dated 1st August 2023. Due to the protracted legal cases KPLC experienced delayed connections and unable to clear the matter. The shortage of meters thus sits in KPLC and not in the market which was caused by the delayed court processes.	30 June 2024



Dr. Eng. Joseph Gior
Managing Director and CEO

ANNEXURE B : TOP 20 SHAREHOLDERS AS AT 30TH JUNE 2024

No.	Name of the Shareholder	Ordinary Shares (KSh 2.50 each)	4% Cum. Pref. (KSh 20/- each)	7% Cum. Pref. (KSh 20/- each)	Total Shares	Percentage
1	PERMANENT SECRETARY TO THE TREASURY	977,641,695	655,808	183,531	978,482,034	50.09
2	STANDARD CHARTERED KENYA NOMINEES LTD A/C 131550500013	38,894,400	-	-	38,894,400	1.99
3	STANDARD CHARTERED NOMINEES RESO A/C KE11450	32,518,589	-	-	32,518,589	1.66
4	STANDARD CHARTERED NOMINEES NON-RESO A/C KE11794	24,076,800	-	-	24,076,800	1.23
5	HIRANI, NARAN KHMJI & HIRANI, VIHLI KHMJI	23,845,364	-	-	23,845,364	1.22
6	KENYA COMMERCIAL BANK NOMINEES LIMITED A/C 9158	22,887,268	-	-	22,887,268	1.17
7	NYORO, SAMSON NOUNDI	20,079,800	-	-	20,079,800	1.03
8	VARSANI, SURESH NARAN RATNA	17,221,325	-	-	17,221,325	0.88
9	HYDERY (P) LIMITED	15,168,500	-	-	15,168,500	0.78

No.	Name of the Shareholder	Ordinary Shares (KSh 3.50 each)	4% Cum. Pref. (Ksh. 20/- each)	7% Cum. Pref. (Ksh. 20/- each)	Total Shares	Percentage
10	KALE INVESTMENTS LIMITED	12,000,100	-	-	12,000,100	0.61
11	SBM BANK NOMINEES LTD AC 005T	10,008,200	-	-	10,008,200	0.50
12	MAIYO, WILSON KIMELI	10,055,100	-	-	10,055,100	0.53
13	RUHARI, NEHEMIA IKUAH	9,471,355	-	-	9,471,355	0.48
14	KALE, KIPKALE CHETALAM	9,416,555	-	-	9,416,555	0.48
15	NGUGI, JOHN NJUGUNA	8,396,700	-	-	8,396,700	0.43
16	STANBIC NOMINEES LIMITED AC RT55T016	8,064,279	-	-	8,064,279	0.41
17	OOKO, JAMES OCHIENG	7,528,700	-	-	7,528,700	0.38
18	SB AC NOMINEE	7,197,700	-	-	7,197,700	0.37
19	TARICA LIMITED	7,112,500	-	-	7,112,500	0.36
20	STANDARD CHARTERED NOMINEES AC 125EE	5,728,709	-	-	5,728,709	0.29
Sub - Totals		1,288,513,789	658,808	193,331	1,289,364,928	64.88
Other Shareholders		682,983,288	1,149,182	196,489	684,252,947	35.02
Total Issued Shares		1,971,497,077	1,808,000	389,820	1,973,617,948	100.00